Financial Conditions and the Transmission of Monetary Policy Surprises

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Abstract

Policymakers judge the stance of monetary policy by financial conditions, but the evidence on its effects traces a policy surprise through one interest rate. Applied to surprises around Federal Reserve announcements since the mid-1990s, that evidence finds that a tightening lowers unemployment and leaves prices unchanged. The puzzle comes from what the evidence leaves out. A policy surprise that raises the two-year yield comes with a tightening of long yields, stock prices and the dollar 3.6 times as large as an ordinary rise of the same size. I measure these moves in a short window around each announcement and carry them forward in a daily and a monthly model, with rates and financial conditions measured relative to the neutral rate. Traced this way, a tightening raises unemployment and lowers prices. Adding financial conditions raises the two-year unemployment response by about 0.6 percentage point whether the yield is nominal, real or relative to the neutral rate. Started instead with the financial movement of an ordinary day, the same model gives almost no unemployment response. The responses imply a steep tradeoff: lowering the core price level 1 percent costs about 0.9 percentage-point years of unemployment, a small fraction of what earlier high-frequency estimates for recent decades imply.

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1 Introduction

Policymakers describe the stance of monetary policy in terms of financial conditions. In November 2023 the Chair noted that "Financial conditions have tightened significantly in recent months, driven by higher longer-term bond yields, among other factors" (Powell, 2023). The empirical evidence on the effects of policy is built differently. It traces a policy shock through a single interest rate, and in samples that start after the early 1980s it often finds that a tightening has small effects on unemployment, or effects of the wrong sign (Ramey, 2016). If that evidence is right, policy has become less powerful (Boivin and Giannoni, 2006; Boivin, Kiley and Mishkin, 2010), or inflation responds so little to slack that lowering it requires a large and lasting rise in unemployment (Hazell et al., 2022; Del Negro et al., 2020). Either conclusion would change how policy is set. This paper asks whether the evidence, rather than the economy, is the problem: do the estimated effects of a policy surprise depend on how its financial consequences are measured?

One fact suggests that they should. A policy surprise that raises the two-year Treasury yield 1 percentage point in the minutes around an FOMC announcement also raises long yields and the dollar and lowers stock prices. Together these moves tighten a broad index of financial conditions by about one unit, measured in two-year-yield equivalents. An ordinary 1 percentage point rise in the two-year yield, on a day without an announcement, comes with a tightening of about a quarter of a unit. The two-year yield records the same increase in both cases. Does measuring the accompanying movement in financial conditions change the estimated response of the economy?

It does. I take the policy-news surprise of Nakamura and Steinsson (2018) around 252 FOMC announcements from 1996 to 2026 and change only how its effects are carried through the economy. Carried through the nominal two-year yield alone, the surprises reproduce the standard result: unemployment falls and prices do not respond. Carried through the yield and a broad financial conditions index (FCI), a tightening raises unemployment and lowers the price level (Figure 1). With the yield measured relative to the neutral rate r^* in both models, adding the index raises the two-year unemployment response from -0.07 to 0.50 percentage point and deepens the decline in the core price level from 0.44 to 0.81 percent. The shift in unemployment is about 0.6 percentage point whether the yield is nominal, real or relative to r^*.

The size of the initial financial movement accounts for most of the difference. Give the model with the FCI the same 1 percentage point rise in the two-year yield, but start the FCI at the movement that ordinarily accompanies such a rise. The unemployment response after two years falls from 0.50 to 0.03 percentage point, close to the -0.07 of the separately estimated yield-only model. A valid external instrument can in principle recover the total response even when the transmission channels are unobserved. In these data, a monthly VAR initialized with the observed announcement-window movements also gives a rise in unemployment. The responses also imply a cost of lowering inflation: a 1 percent lower core price level after two years comes with about 0.9 percentage-point years of additional unemployment, or unemployment about half a percentage point higher for two years.

Four main conclusions emerge.

1. **An omitted channel, not a changed economy, produces the unemployment puzzle.** In the data since 1996, where the wrong-signed response appears, adding financial conditions raises the two-year unemployment response by 0.56 percentage point, with a 90 percent interval that excludes zero, for the same surprise, sample and model. With the FCI in the model and the baseline lag length, no variation of the sample, the neutral rate, the trend, credit conditions or the surprise gives a significant fall in unemployment after a tightening.

2. **The size of the initial financial movement is the mechanism.** On announcement days a rise in the two-year yield comes with a tightening of financial conditions 3.6 times as large as on ordinary days, and the effects on the economy follow that movement. Credit spreads and the timing of announcements within the month, the two other explanations of the puzzle, do not account for it.

3. **Measuring rates against the neutral rate matters for prices.** The shift in unemployment is the same whether rates are nominal, real or relative to r^*. Measuring both the yield and the index relative to r^* removes the common downward trend in rates and inflation and gives the largest fall in prices.

4. **Lowering inflation costs less unemployment than recent estimates imply.** The sacrifice ratio of about 0.9 percentage-point years per 1 percent of the price level is a small fraction of the value of about 7 implied by high-frequency estimates for 1990–2008 (Barnichon and Mesters, 2021), and closer to estimates for the decades before 1990.

The approach has three features. First, I measure the effect of each surprise in a short window around the announcement, when unemployment and inflation cannot move, and carry it forward in a daily and a monthly model estimated on ordinary data. As in Jacobson, Matthes and Walker (2026), the model takes into account when each announcement falls within its month. Second, financial conditions enter as a whole, as the transmission mechanism of standard models implies (Boivin, Kiley and Mishkin, 2010). The FCI combines the 10-year yield, equity valuation and the real dollar, weighted by their responses to policy news. Third, I measure the yield and the index relative to r^*, the real rate that neither speeds up nor slows down the economy. Interest rates trended down with r^* from the 1990s to the 2010s (Laubach and Williams, 2003; Holston, Laubach and Williams, 2017, 2023; Hamilton et al., 2016; Bauer and Rudebusch, 2020; Kiley, 2020) while activity trended up, and a model that links the level of rates to activity would partly pick up these opposite trends.

The results give the index of my companion paper (Kiley, 2026) a use beyond describing conditions. Measured in units of a policy move and relative to r^*, financial conditions are the variable that standard estimates of transmission leave out.

Section 4 tests the approach against the alternatives. The unemployment result holds when the three components of the index enter separately, and under each of the four calibrations of the weights in the companion paper, which value the dollar relative to equities very differently.[1] With

[1]The price result from 1996 needs the dollar to act in proportion to the long yield in the inflation equation; from 1973 it does not (Section 4.1).

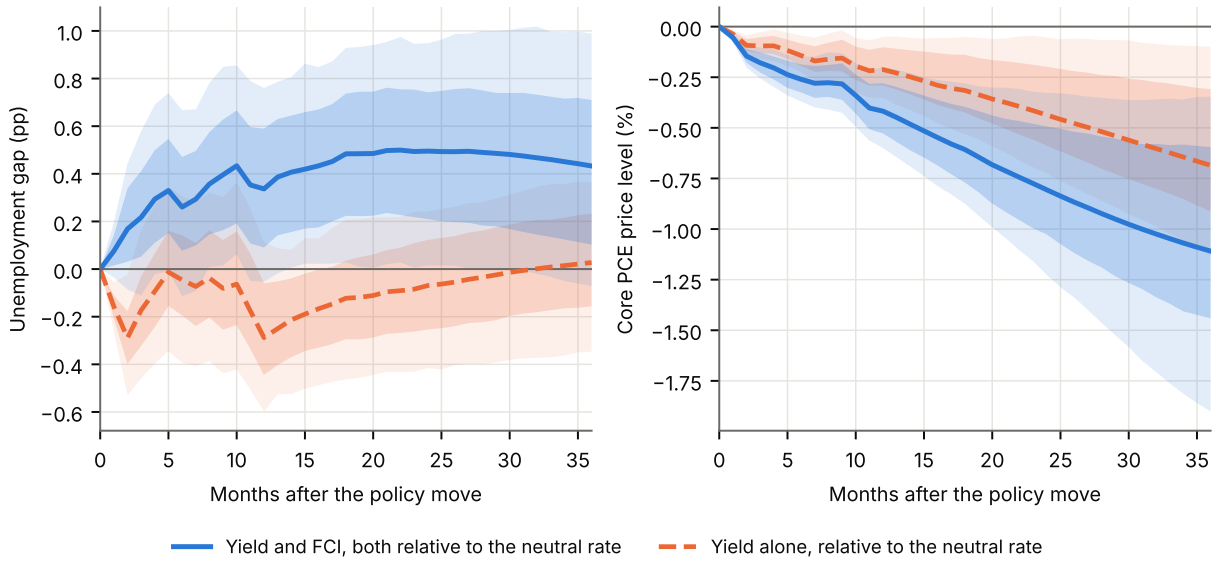


Figure 1: Responses to a Policy Move That Raises the Two-Year Yield 1 Percentage Point

Notes: The move occurs in the window around the announcement. Blue: the surprise carried through the two-year yield and the financial conditions index, both relative to the neutral rate. Orange dashed: carried through the two-year yield alone, relative to the neutral rate. Same surprise, normalization, sample (1996–2026), 12 monthly lags and bootstrap draws. Shaded bands: 68 and 90 percent intervals.

credit spreads added, in the monthly or the daily block, unemployment still rises and prices still fall. Tracking when in the month each announcement falls, the correction of Jacobson, Matthes and Walker (2026), adds most to the response once financial conditions are measured; without them unemployment still falls. Section 5 varies the sample, the measure of r^*, the trend, the surprise and the lag length.

1.1 Connection to the Literature

Surprises and their effects. Interest-rate surprises around FOMC announcements were meant to settle the measurement problem. The decision precedes the announcement, so market moves in a narrow window around it cannot have caused it (Kuttner, 2001; Gürkaynak, Sack and Swanson, 2005). Such surprises measure the effects of policy on asset prices well (Bernanke and Kuttner, 2005; Hanson and Stein, 2015; Nakamura and Steinsson, 2018; Swanson, 2021), but for unemployment and inflation the old puzzles often return. Four explanations have been offered, each with a fix. Announcements reveal the Fed's view of the economy, and separating that information gives larger price effects (Romer and Romer, 2000; Nakamura and Steinsson, 2018; Jarociński and Karadi, 2020; Miranda-Agrippino and Ricco, 2021). Part of each surprise is predictable, and removing it sharpens the estimates (Bauer and Swanson, 2023*b*,*a*). Markets react in minutes while unemployment and inflation are monthly averages, and measuring inflation daily removes most of the wrong sign (Jacobson, Matthes and Walker, 2026). And credit costs, stock prices and the dollar carry part of

the effect (Gertler and Karadi, 2015; Caldara and Herbst, 2019; Kroencke, Schmeling and Schrimpf, 2021; Bauer, Bernanke and Milstein, 2023; Boehm and Kroner, 2024; Bauer, Schmeling and Schrimpf, 2026; Boehm, Kim and Kroner, 2026). The conventional specifications that produce these puzzles trace the surprise through a single interest rate.

What is new. My paper is closest in spirit to Jacobson, Matthes and Walker (2026). Like them, I hold the surprise and the method fixed and change one measurement. They show that averaging daily data into months biases the estimated effects of policy, and they remove most of the price puzzle by measuring inflation with a daily price index. I change how the channel from policy to the economy is measured, and my main result is for activity. The two corrections are complementary. My model tracks when in the month each announcement falls, as they recommend, and that timing raises the unemployment response once financial conditions are in the model (Section 4.6). Omitted financial channels and temporal aggregation are two sources of the puzzles, and correcting both gives the largest responses. Bauer and Swanson (2023*b*) and Jarociński and Karadi (2020) improve the surprise itself. In my design a surprise enters only through its immediate effect on the two-year yield and the FCI and through its timing, so their fixes and mine can be combined, and Section 5 does so.

Financial channels and risk appetite. Gertler and Karadi (2015) show that policy surprises that move short rates modestly produce large movements in credit costs, through term premia and credit spreads. Caldara and Herbst (2019) find that the response of activity to policy is weak and imprecise without the excess bond premium and conventional with it. Bauer, Schmeling and Schrimpf (2026) find that monetary transmission appears to operate primarily through risk appetite and risk asset prices. My index carries the same channel through the prices that reveal it within the announcement window. The 10-year yield carries the term premium, and equity valuation carries the risk premium on the claims of firms that borrow. Credit spreads have no intraday series, so their response to policy news cannot be measured in the window, and a parsimonious index weighted by its response to policy keeps out movements unrelated to policy. Section 4.5 adds the excess bond premium and a daily credit spread, and a tightening still raises unemployment and lowers prices. Studies of the "non-yield" shock treat policy-driven moves in stock prices and the dollar as a second shock (Bauer, Schmeling and Schrimpf, 2026; Boehm and Kroner, 2024). Boehm, Kim and Kroner (2026) select the combination of two yield-curve surprises and the non-yield shock that best accounts for macroeconomic fluctuations; they choose the direction of the shock for its macroeconomic content. I fix the conventional direction, news about the path of interest rates, and ask which financial variables are needed to trace it. My estimates are therefore conditional on that direction of news; they do not apportion business-cycle fluctuations among the shocks that announcements contain.

2 Financial Conditions and the Empirical Approach

This section explains why financial conditions should matter for the effects of policy, builds the index that measures them, shows what announcement windows reveal about it, and sets out the identifying assumptions and the model.

2.1 Why Financial Conditions Matter for Monetary Policy

The workhorse evidence on policy comes from VARs with a few macroeconomic variables and one interest rate (Bernanke and Blinder, 1992; Christiano, Eichenbaum and Evans, 1999). Some studies add a credit spread (Gertler and Karadi, 2015; Caldara and Herbst, 2019), and factor models bring in many more series (Bernanke, Boivin and Eliasz, 2005). Long yields, equity valuations and the dollar are usually absent. Consider a rise in the two-year yield on an ordinary day. It comes with a modest tightening of broader financial conditions. Now consider the same rise on the day of an announcement. It comes with a much larger tightening, because a surprise about the path of policy moves long yields, stock prices and the dollar together. A model that observes only the yield cannot tell the two episodes apart. Leaving out the channel also misspecifies the model: if unemployment responds to financial conditions and not directly to the policy rate, the rate stands in for financial conditions, and the error contains past financial shocks that a VAR with few lags cannot capture (Appendix A; Fernández-Villaverde et al., 2007). This differs from the omitted information about the economy that Sims (1992) proposed to explain the price puzzle; here the omitted variables are the channel itself.

Which financial prices move matters because they reach spending through different channels. Few households and businesses borrow at the policy rate. A household financing a home faces a mortgage rate tied to long yields; a firm valuing an investment faces a cost of capital set by long yields and equity prices; an exporter faces the dollar. Arbitrage links these rates to current and expected short rates. Higher rates raise the cost of capital and lower the value of existing capital (Jorgenson, 1963; Hall and Jorgenson, 1967; Tobin, 1969). Lower stock prices lower wealth and consumption (Ando and Modigliani, 1963; Friedman, 1957). A stronger dollar shifts spending toward imports (Fleming, 1962; Mundell, 1963). Modern models of the business cycle contain the same links (Christiano, Eichenbaum and Evans, 2005; Smets and Wouters, 2007; Galí and Monacelli, 2005; Kaplan, Moll and Violante, 2018; Auclert, 2019), and the effects come with a lag (Friedman, 1961). The FOMC describes its policy in the same terms, as working through broad financial conditions.

Broad financial conditions indexes summarize this transmission (Hatzius et al., 2010; Brave and Butters, 2011; Ajello et al., 2023), and credit spreads and asset prices help predict activity (Gilchrist and Zakrajšek, 2012; Stock and Watson, 2003). Such correlations need not be causal, because financial conditions also respond to the economy. The literature on high-frequency surprises has the opposite strength and weakness: it identifies policy shocks cleanly but carries them through few variables. I combine the two. The weights of my index come from how its components respond to policy news, and the surprise is carried forward through the estimated relationship between that

index and the economy.

Why relative to r^*. What matters in these models is the real rate relative to the neutral rate, not the nominal rate. The same holds for the other parts of financial conditions: a given yield or stock valuation is tighter when r^* is low. The distinction matters most for inflation, which responds to the slack that builds up over time and so to how long conditions stay tight relative to r^*. When real rates fall alongside the neutral rate, the decline in real rates alone makes the easing of financial conditions look larger than it was.

2.2 The Financial Conditions Index

The FCI is the market index of my companion paper, Kiley (2026), which derives its weights and compares it with other indexes. Indexes of this kind are weighted sums of financial variables, and they differ mainly in where the weights come from (Hatzius et al., 2010). The best known in markets is the Goldman Sachs index (Dudley and Hatzius, 2000; Hatzius and Stehn, 2018), whose published weights fall on the federal funds rate, the 10-year yield, a corporate spread, equity valuation and the dollar. FCI-G takes its weights from large macroeconomic models (Ajello et al., 2023). Mine come from event-study regressions, long used to measure how asset prices respond to policy (Kuttner, 2001; Bernanke and Kuttner, 2005; Hanson and Stein, 2015; Nakamura and Steinsson, 2018).

Why announcement windows. The approach relies on one fact. In a narrow window around an FOMC announcement, the yield, stock prices and the dollar are all observed at high frequency, and policy news is the main systematic force moving them. The windows therefore reveal how the three respond to policy, and how large their joint movement is, without waiting for the economy to react. Unemployment and inflation cannot move in the window.

Policy news. Let ΔX_a be the 5×1 vector of changes in the current- and next-meeting federal funds futures and the second to fourth eurodollar futures in the window around announcement a. Following Nakamura and Steinsson (2018), let p_a be the first principal component of these changes, signed so that it moves with the fourth eurodollar future. Policy news is p_a rescaled so that one unit moves the two-year yield y^2 by 1 percentage point:

$$s_a = \gamma\, p_a, \qquad \gamma = \frac{\sum_a p_a\, \Delta y_a^2}{\sum_a p_a^2}. \tag{1}$$

Weights. Let ΔA_a be the vector of changes in the 10-year yield, the S&P 500 and the dollar index (DXY) in the window. The companion paper treats these changes as

$$\Delta A_a = \psi\, s_a + \eta_a, \tag{2}$$

where ψ holds the policy responses and η_a is other news, with covariance matrix Σ. It estimates ψ by regressing each element of ΔA_a on s_a and a constant, and Σ from the residuals, over 253 announcements from January 1996 to September 2026. The weights are those that recover the

Table 1: Market-Index Weights from Policy News

Component	Response to policy news	Weight	Share of a policy move
10-year Treasury yield (pp)	+0.53 (0.06)	+0.609	0.33
Equity valuation, 100 ln CAPE (%)	−7.78 (0.93)	−0.051	0.40
Real broad dollar, 100 ln (%)	+4.22 (0.53)	+0.065	0.28

Notes: Response of each 30-minute announcement-window change to the policy-news factor (scaled so the 2-year yield moves 1 pp), with robust standard errors; weights from the one-factor GLS of Kiley (2026); share = weight × response (the three shares sum to 1).

policy component most precisely (one-factor generalized least squares):

$$w = \frac{\Sigma^{-1}\psi}{\psi'\Sigma^{-1}\psi}. \tag{3}$$

An asset gets more weight when it responds strongly to policy news and moves little for other reasons in the window, so the index is the combination of the three that tracks policy news most closely. Because $w'\psi = 1$ and s_a is scaled to the two-year yield, a policy move that raises the two-year yield 1 percentage point raises the index by 1 unit. The weights are 0.61 on the 10-year yield, −0.051 per percent on stock valuations and 0.065 per percent on the dollar, and each of the three accounts for about a third of the index's response to policy (Table 1). Consider a hawkish surprise that raises the two-year yield 1 percentage point. On average it raises the 10-year yield about 0.53 percentage point, lowers stock valuations about 7.8 percent and raises the dollar about 4.2 percent. Higher long rates raise the cost of borrowing for homes and investment, lower stock prices cut household wealth and raise the cost of equity, and a stronger dollar makes exports less competitive. The index adds these three tightenings into one number in units of the two-year yield. These shares describe how the three asset prices move on announcement days. Using the same weights in the monthly equations adds an assumption about how those prices affect the economy, which Section 4.1 tests.

In month t, the index in version v is

$$F_t^v = w_B\, B_t^v + w_Q\, Q_t^v + w_D\, D_t, \tag{4}$$

measured as a deviation from its sample mean. Here B_t is the 10-year yield, Q_t a measure of stock valuation and D_t is 100 times the log of the real broad dollar in every version. The index comes in three versions, which differ in how the yield and stock prices are measured. I introduce them in turn, because each answers a problem with the one before.

The nominal version. The nominal version uses the nominal 10-year yield y_t^{10} and measures stock valuation by the log of the cyclically adjusted price-earnings ratio (CAPE):

$$\text{Nominal:}\quad B_t = y_t^{10}, \qquad\qquad Q_t = 100 \ln \text{CAPE}_t. \tag{5}$$

It is the natural point of comparison with indexes built from nominal variables, and it has one

problem: a trend. Nominal yields carry the inflation of the period. The 10-year yield was very high in the early 1980s, when expected inflation was high, and fell for decades after. Stock valuations moved the other way: CAPE was low in the early 1980s, when the earnings yield was high, and rose over the following decades. With a positive weight on the yield and a negative weight on valuation, both movements read as a steady loosening of conditions, and a trend alone explains 69 percent of the variance of the nominal version. That trend is not a feature of financial conditions that policy affects. The part that comes from inflation is a feature of measuring them in nominal terms, and it motivates the real version; the part that comes from valuations motivates the version relative to r^*.

The real version. The real version subtracts 10-year expected inflation π_t^{10} from the yield and leaves stock valuation as it is, because CAPE is already a real measure:

$$\text{Real:} \quad B_t = y_t^{10} - \pi_t^{10}, \qquad\qquad Q_t = 100 \ln \text{CAPE}_t. \tag{6}$$

The real version removes the inflation in the yield, and with it part of the drift.

The version relative to r^*. The real index still trends: it falls over four decades (a trend explains 60 percent of its variance), because real interest rates fell with the neutral rate and stock valuations rose. A real index reads a real rate of 1 percent in the 2010s as loose, but it was not loose if the neutral rate was lower still. Measuring the yield and stock valuation relative to r^* removes that source of trend. The yield enters less expected inflation and less r^*. Stocks enter through the earnings yield, the inverse of CAPE, which I compare with r^*: stocks are expensive, and conditions loose, when the earnings yield is low relative to the neutral rate. That comparison enters with its sign reversed and is rescaled to the units of log CAPE, so the stock weight keeps its meaning:

$$r^*\text{-gap (baseline):} \quad B_t = y_t^{10} - \pi_t^{10} - r_t^*, \qquad\qquad Q_t = -\frac{100}{\overline{E/P}} \left[(E/P)_t - r_t^* \right]. \tag{7}$$

The term $100/\overline{E/P}$, with $\overline{E/P}$ the sample average, converts the earnings-yield gap to the units of log CAPE: since $d \ln \text{CAPE} = -d(E/P)/(E/P)$, a change in the earnings yield of x points near the mean equals a change of $100x/\overline{E/P}$ in $100 \ln \text{CAPE}$ with the opposite sign.

A neutral level of the index. Caballero, Caravello and Simsek (2026) define FCI*, the neutral level of a financial conditions index consistent with output at potential, and show that gaps to it give useful guidance on the stance of policy, especially when financial conditions diverge from the policy rate. In their estimates on the FCI-G index, r^* co-moves with the equity premium and FCI* does not. The version of my index relative to r^* is a reduced-form counterpart of an index gap. Write $\tilde{F}_t$ for the index built from the real 10-year yield and the earnings-yield measure of valuation in equation (7) without r^*. Because r^* enters the yield with weight w_B and the earnings yield with weight $-w_Q\, 100/\overline{E/P}$,

$$F_t^{r^*} = \tilde{F}_t - \kappa\, r_t^*, \qquad \kappa = w_B - w_Q \frac{100}{\overline{E/P}} = 1.5. \tag{8}$$

The index relative to r^* is thus the gap between an index that ignores the neutral rate and a neutral

level $\kappa\, r_t^*$, up to a constant. When r^* falls 1 percentage point, the level of financial conditions that is neither tight nor loose falls 1.5 units. This neutral level moves with the macroeconomic forces behind r^* and not with asset prices, which is the property Caballero, Caravello and Simsek (2026) emphasize. It differs from their FCI* in that it is tied to an estimate of r^* rather than estimated from the relationship between the index and the output gap.

The two-year yield. The two-year yield is adjusted in the same three versions. With y_t^2 the nominal yield and π_t^2 two-year expected inflation (from the Cleveland Fed; Haubrich, Pennacchi and Ritchken, 2012),

$$R_t^{\text{nominal}} = y_t^2, \qquad R_t^{\text{real}} = y_t^2 - \pi_t^2, \qquad R_t^{r^*\text{-gap}} = y_t^2 - \pi_t^2 - r_t^*. \tag{9}$$

For r^* I use the New York Fed's one-sided Laubach–Williams estimate (Holston, Laubach and Williams, 2023). It is a filtered estimate that uses data only up to each quarter, from the August 2026 vintage with parameters estimated on the full sample, so it is not a real-time series. Expected inflation and r^* are monthly or quarterly and move slowly. The daily series add their interpolated monthly values to daily market prices, so day-to-day moves come from markets (Appendix H).

Figure 2 plots the three versions on a common scale. Each step removes some of the downward drift: a trend explains 69, 60 and 27 percent of the variance of the nominal, real and r^*-relative versions. The versions do not differ at high frequencies; the correlation of 12-month changes is 0.93 between the nominal and real versions and 0.93 between the real version and the version relative to r^*. The differences are slow. The real version is below the nominal one by about 2 units around 1980, when expected inflation was highest, and the two are close after 1990. The version relative to r^* is below the real version until the mid-2000s and above it by 1 to 2 units after 2010, as r^* fell. Relative to their own historical means, the version relative to r^* reads financial conditions after 2010 as one to two two-year-yield equivalents tighter than the real version. This is a difference in the level of the stance, which matters for prices because inflation depends on how long conditions stay tight. It is nearly invisible in changes, which is consistent with adding the FCI shifting the unemployment response by about the same amount in all three versions (Section 3.2).

Comparison with the Goldman Sachs index. A widely followed index offers a check on whether the approach captures what market participants mean by financial conditions. The companion paper rebuilds the Goldman Sachs index from public data with its published weights and shows that the rebuild mimics the published series closely (Kiley, 2026). The two indexes agree on changes: the correlation of 12-month changes is 0.95 for the nominal versions and 0.96 for the real versions from 1974. In levels the nominal versions agree since 1996 (0.91) but less in 1974–95 (0.71), when the two weight the inflation trend differently; the real versions agree closely throughout (0.99). The close agreement in levels partly reflects shared inputs and a shared trend, so it shows that the measures agree, not that either is the right one for transmission. The agreement in changes, from weights derived in very different ways, is the more informative fact (Appendix Figure G1).

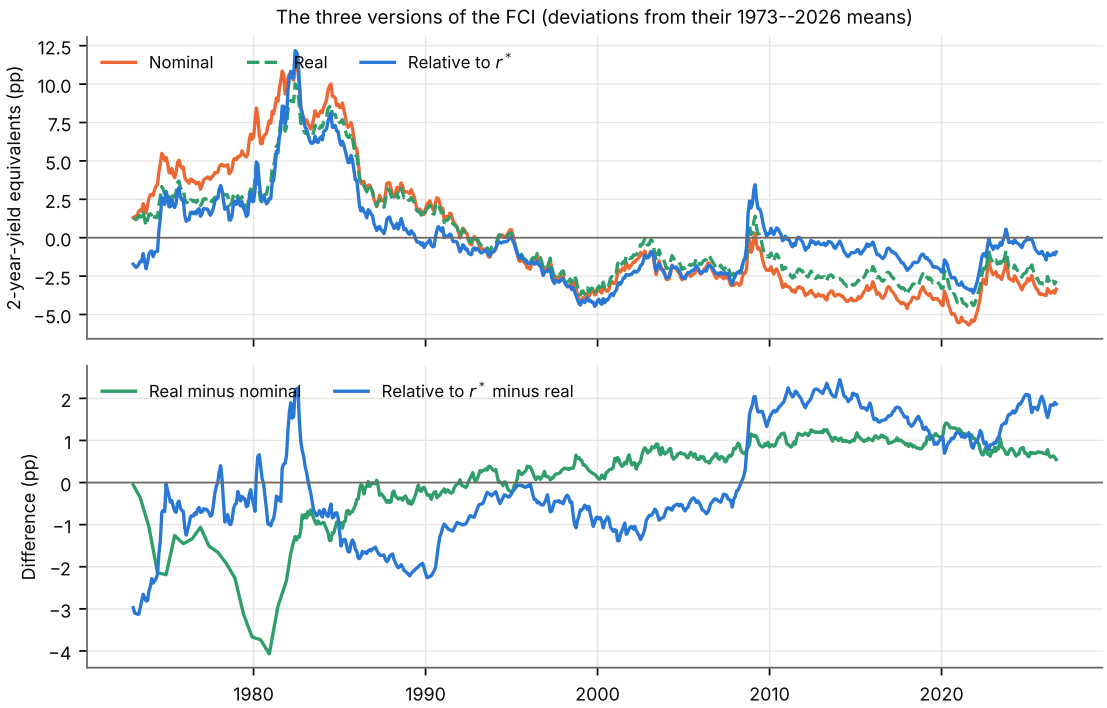


Figure 2: The Three Versions of the FCI

Notes: Monthly, in two-year-yield equivalents (a policy move that raises the two-year yield 1 percentage point raises each by one unit in the window). Each series is shown as a deviation from its mean over January 1973 to September 2026. Lower panel: real minus nominal, and relative to r^* minus real.

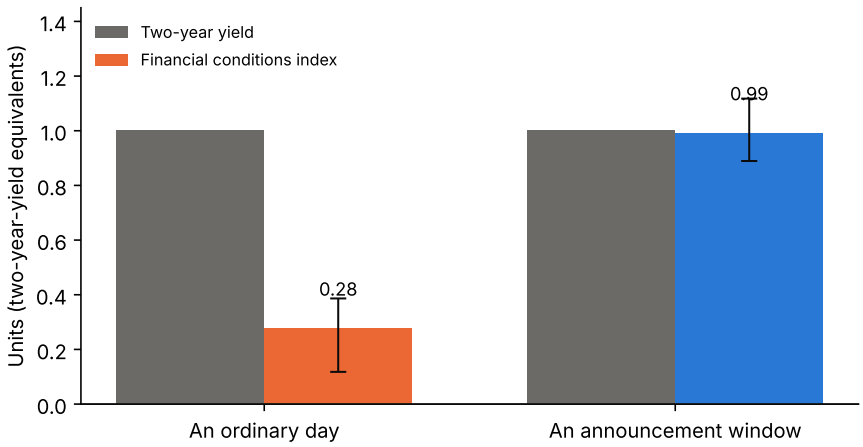


Figure 3: The Same Rise in the Two-Year Yield on an Ordinary Day and an Announcement Day

Notes: Change in the FCI relative to r^* that accompanies a 1 percentage point rise in the two-year yield, in two-year-yield units. Ordinary day: the covariance of the daily-block innovations of the FCI and the yield divided by the variance of the yield innovation, on days without an announcement. Announcement window: the FCI's response to policy news divided by the yield's, over 252 announcements. Ranges: 90 percent bootstrap intervals ([0.12, 0.39] and [0.89, 1.12]).

2.3 One Rise in the Two-Year Yield, Two Days

Two facts from the windows drive the results. The first, and the central fact of the paper, is the size of the joint movement (Figure 3).

An ordinary day and an announcement day. On an ordinary day, the two-year yield rises 1 percentage point and financial conditions tighten by 0.28 unit. On an announcement day, a policy surprise raises the two-year yield by the same 1 percentage point, and financial conditions tighten by 0.99 unit, 3.6 times as much, because long yields rise, stock prices fall and the dollar strengthens together. A model that sees only the two-year yield cannot tell the two days apart. It treats the policy surprise as an ordinary rise in rates and misses most of its financial consequences.

Why is the ordinary-day loading informative? The window loading is close to one by construction, because the weights are scaled to policy news. Nothing in that scaling fixes how the index moves with the yield on other days. On ordinary days the yield moves for many reasons, such as news about growth, inflation or risk appetite, and these move long yields, stocks and the dollar in offsetting ways; the loading measured on those days is an empirical fact about the data (Appendix H). The gap matters because the effects on the economy follow the financial movement. A model with the yield alone estimates its own response to the surprise, and in these data that response is close to the response of the model with the FCI started at the ordinary-day movement (Section 3.3). My design puts financial conditions in the system and measures the immediate effect of the surprise on both the yield and the FCI directly in the window.

Table 2: Timing Assumptions

Frequency	What can move	Assumption	Equation
Window (minutes)	Two-year yield and FCI, by the amounts measured in the window	News about the path of interest rates is the main systematic force in the window, and the only one correlated with the surprise. Unemployment and inflation do not move.	(11)
Daily	Two-year yield and FCI, each day after the announcement	They depend on their own recent history and on the unemployment and inflation of this month and last month.	(12)
Monthly	Unemployment and inflation, from the month after the announcement	Within a month, unemployment and inflation are set first. They respond to financial variables only with a lag of at least one month.	(13)

The second fact is how much of the window movement the surprise explains. The interest-rate surprise explains 80 percent of the window variation in the two-year yield and 48 percent of the variation in the FCI, but only 32 percent for the 10-year yield, 31 percent for the S&P 500 and 34 percent for the dollar. Announcements move stock prices and the dollar by more than interest-rate surprises explain (Boehm and Kroner, 2024; Bauer, Schmeling and Schrimpf, 2026). The unexplained part is either news unrelated to policy, in which case my estimates capture the effects of policy, or policy news that does not move interest rates, in which case they capture one dimension of policy news and the effects of all of it could be larger. Both readings agree on the channel: policy news reaches the economy through broad financial conditions.

2.4 Timing Assumptions and Identification

The shock is the Nakamura–Steinsson policy-news surprise, s_a in equation (1), from the San Francisco Fed's U.S. Monetary Policy Event-Study Database (Acosta et al., 2025). I use the 252 FOMC announcements from January 1996 to July 2026 with all the window measures available (Appendix H). The window runs from 10 minutes before the statement to 60 minutes after the press conference starts, or 30 minutes around the statement when there is no press conference. Identification comes from timing, at three frequencies, summarized in Table 2.

The window. The window move in the FCI is computed with the weights in equation (3):

$$\Delta F_a = w_B \, \Delta y_a^{10} + w_Q \, \Delta \mathrm{SP}_a + w_D \, \Delta \mathrm{DXY}_a. \tag{10}$$

These are the measures available within the day, and the ones used to estimate the weights. Percent changes in the S&P 500 equal percent changes in CAPE within a window, because earnings are fixed. I express all effects per percentage point on the two-year yield in the window. The effect on the FCI is the ratio of two regression slopes on the surprise, an instrumental-variables estimate with

s_a as the instrument:

$$b = \begin{pmatrix} 1 \\ b_F \end{pmatrix}, \qquad b_F = \frac{\sum_a (\Delta F_a - \overline{\Delta F})\,(s_a - \bar{s})}{\sum_a (\Delta y_a^2 - \overline{\Delta y^2})\,(s_a - \bar{s})} = 0.99. \tag{11}$$

This is close to one because the weights are normalized that way. It is not exactly one because this regression includes a constant, which the scaling in equation (1) does not, and because it uses one fewer announcement. Expected inflation and r^* move slowly, so I take the window move to be the same in every version.

The day. On the announcement day, the two-year yield and the FCI shift by the vector b. I use the window move and not the change over the whole day, because the full-day change contains other news. On later days the two series move as equation (12) implies. They affect each other only through the daily lags, so no ordering between them is needed within the day.

The month. Within each month, unemployment and inflation are set first, and markets then respond to them. In the month of the announcement, unemployment and inflation therefore have not moved. They respond from the next month on, through the monthly average of the daily financial series. That average depends on when in the month the announcement falls, since an announcement late in a month affects few days of that month's average. This is how the model takes the timing of announcements into account, as Jacobson, Matthes and Walker (2026) recommend. The ordering is the familiar recursive one, in which slow-moving macroeconomic variables come before financial variables (Bernanke and Blinder, 1992; Christiano, Eichenbaum and Evans, 1999). The daily equations include the current month's unemployment and inflation, even though those figures are published later. I treat the monthly values as a summary of conditions that markets observe as the month unfolds.

The main assumption. The design thus has three steps: identify policy news in the window, measure its immediate financial effect b, and propagate that effect through daily and monthly equations estimated on ordinary days and months. Only the first two steps use the announcements. The third carries the main assumption: once the shock is identified, the economy responds to a change in the financial variables in the same way whatever caused it. A shock identified by a Cholesky ordering or an external instrument is carried through the same estimated dynamics as every other shock, and I do the same. Suppose stock prices fall 5 percent in an announcement window because the surprise raises the rate at which future earnings are discounted. On another day they fall 5 percent because earnings forecasts are cut. The first fall raises the cost of capital and lowers wealth with no news about demand. The second may also signal weaker demand, which would lower activity whatever the policy rate does. The model carries both through one equation. If the discount-rate fall is more or less contractionary than the average fall, the estimated propagation is wrong for the policy surprise. This problem differs from central-bank information, which concerns what s_a reveals in the first step. Bauer and Swanson (2023*a*) show that what looks like an information effect largely reflects the Fed and markets responding to the same economic news, so that the surprises can be treated as policy news once that response is accounted for. I

therefore use the surprises as they are. Section 5.3 confirms that the results hold with their cleaned surprise and with the sign restriction of Jarociński and Karadi (2020).

Two further assumptions are specific to this paper. First, the surprise reaches unemployment and prices only through the yield and the FCI, and has no direct effect on them in the window. Other channels, such as credit spreads and expectations, are left out; Section 4.5 adds them. So are moves in stock prices and the dollar that are unrelated to s_a. The non-yield shock of Boehm and Kroner (2024) is uncorrelated with policy-news surprises, so such moves do not bias b_F. Second, the monthly equations see the FCI as a single index. Its weights show how the three components respond to policy news, not how the economy responds to each. I assume the three affect unemployment and prices in proportion to those weights, and Section 4.1 tests that.

2.5 A Mixed-Frequency VAR

Financial markets process policy news in minutes, while unemployment and prices take months to respond. The model therefore runs on two clocks. A daily block tracks the immediate repricing of the two-year yield and the FCI and how long that repricing lasts. A monthly block measures how the accumulation of these daily conditions shifts unemployment and inflation, which in turn feed back into the markets of the following month. The announcement enters on the day it occurs, so the model knows whether a surprise came early in a month, when it moves most of that month's financial conditions, or late, when it moves few of them. The equations below make these two clocks precise.

Structure. The model has a daily block and a monthly block. Let $x_\tau = (R_\tau, F_\tau)'$ hold the two-year yield and the FCI on day τ, in the same version. Let $m_t = (U_t, \pi_t)'$ hold the two monthly variables. The unemployment gap U_t is the unemployment rate minus the CBO estimate of its natural rate. The CBO estimate does not respond to the surprise, so the response of the gap equals that of the unemployment rate. Inflation is $\pi_t = 1200\,\Delta \ln P_t$, where P_t is the price index for personal consumption expenditures excluding food and energy (core PCE).

The daily block is a VAR that uses averages of the past day, week, month and quarter as regressors (Corsi, 2009):

$$x_\tau = \alpha + \sum_{k\in\{1,5,22,66\}} \Phi_k\, \bar{x}^{(k)}_{\tau-1} + \Gamma_0\, m_{t(\tau)} + \Gamma_1\, m_{t(\tau)-1} + \xi_\tau, \tag{12}$$

where $\bar{x}^{(k)}_{\tau-1}$ is the average of x over the k days through $\tau-1$, and $t(\tau)$ is the month of day τ. Averages over about a day, a week, a month and a quarter capture persistence with few coefficients, which matters because how long the financial movement lasts determines how much of it reaches the monthly averages. When the FCI is left out, x_τ is the two-year yield alone.

The monthly block is

$$m_t = c + \sum_{l=1}^{L} A_l\, m_{t-l} + \sum_{l=1}^{L} G_l\, \bar{x}_{t-l} + \zeta_t, \qquad \bar{x}_t = \frac{1}{n_t}\sum_{\tau\in t} x_\tau, \tag{13}$$

with n_t the number of weekdays in month t. The model is a mixed-frequency VAR (Ghysels, 2016). The equation contains no current-month term in $\bar{x}_t$, which is the timing assumption of Table 2.

The time trend. The baseline monthly equations contain a constant and no time trend. Rates drifted down along with r^* over 1996–2026, and the r^* adjustment is meant to remove that drift from the financial variables, which is the work a trend would otherwise do. A trend could still matter for other reasons: inflation was low in the 2010s and rose after 2020, and the natural rate of unemployment may have shifted in ways the CBO estimate misses. Section 5.2 replaces the r^* adjustment with a spline trend.

How the responses are computed. The response to a policy surprise is traced day by day. On the announcement day the yield and the FCI jump by the window impact b and the macro variables are at their no-surprise values. Each later day, the daily equation gives the two financial series from their own recent averages and from the macro variables of the month. At the end of each month the monthly average of the daily financial series enters the monthly equations, which give the next month's unemployment and inflation. Those feed back into the daily equations of the following month. The response is the difference from a path with no surprise. Because the model is linear, the response to a surprise of any size is a multiple of the response to a unit surprise. I average the responses over the positions of the announcements within their months, as in the data, because an announcement early in a month moves that month's average more than a late one. The response of the price level after h months is $\sum_{j=0}^{h} \tilde{\pi}_j/12$.

Relation to a monthly VAR. If every announcement fell on the first day of its month and the daily block were replaced by a monthly equation, the model would be a standard monthly VAR with a recursive ordering. The daily block adds the position of each announcement in its month and the fast dynamics of the financial variables, which it estimates on many more observations. A proxy VAR instead estimates the effect of the surprise on every variable from monthly residuals. Two facts favor starting the system from the window. The surprise is a weak instrument for monthly residuals, so a proxy VAR has wide sets, and a direct projection of the outcomes on the surprise is imprecise and changes sign with its controls. Measuring the impact in the window, where the surprise explains most of the movement, and estimating the propagation on ordinary data uses the information each source has. Section 4.4 estimates both monthly benchmarks, and Appendix B gives the algebra.

Estimation and inference. I estimate each block by ordinary least squares, on the same sample: January 1996, the month of the first announcement with all window measures, to September 2026 (369 months, and the weekdays of those months for the daily block). The lagged daily averages and the monthly lags may use earlier observations. I keep 2020 in both blocks. The baseline has $L = 12$ monthly lags, fixed in advance. Fewer lags give the same signs and weaker evidence (Section 5.4).

Intervals come from a block bootstrap with 500 draws (Künsch, 1989; Jentsch and Lunsford, 2019). Each draw resamples calendar months in blocks of 12 and uses together the monthly residuals, the daily observations and the announcements of the months drawn. That keeps the dependence

among them. The monthly equations and the daily block are re-estimated on each draw; the FCI weights and r^* are held fixed. A response is significant at the 5 or 10 percent level when its 95 or 90 percent interval excludes zero. I report 90 percent intervals, as recent studies in this area do (Bauer and Swanson, 2023*b*; Caldara and Herbst, 2019; Miranda-Agrippino and Ricco, 2021; Ramey, 2016), and 68 percent intervals, which Jarociński and Karadi (2020) report alongside them. Appendix C compares a simpler bootstrap.

Data. All inputs are public series (Appendix I). Daily market data are the 2-year and 10-year Treasury yields, the S&P 500 and the broad dollar index. Monthly data are the unemployment rate, the CBO estimate of its natural rate, core PCE inflation, expected inflation from the Cleveland Fed and the neutral-rate estimates. Policy news comes from the San Francisco Fed's event-study database. For the 1973 starts of Section 5, the months before 1990 use monthly series in place of the daily block.

3 Results

Four results follow. Standard methods, applied to my data, give a tightening the wrong effect on unemployment. Adding the FCI reverses it. The reversal comes mainly from the size of the initial financial movement. And the responses with the FCI imply a moderate cost of lowering inflation.

3.1 Standard Methods after the Early 1980s

Standard identification schemes have not delivered conventional effects of monetary policy in samples that start after the early 1980s. Ramey (2016) estimates the specification of Christiano, Eichenbaum and Evans (1999) on 1983–2007 and finds that "the results change dramatically and imply that increases in the federal funds rate lower the unemployment rate"; other schemes she examines give contractionary shocks that look expansionary, as Barakchian and Crowe (2013) found for 1988–2007, or a pronounced price puzzle. The literature reads this either as a change in the economy, with policy responding more systematically and expectations better anchored (Boivin and Giannoni, 2006; Boivin, Kiley and Mishkin, 2010; Primiceri, 2005), or as a failure of identification once policy became forward-looking (Barakchian and Crowe, 2013). One finding points to measurement. Caldara and Herbst (2019) find, for 1994–2007 with a proxy SVAR that uses high-frequency surprises, that the response of industrial production is weak and uncertain without a credit spread (about -0.2 percent, with a credible set that includes positive values) and about -0.75 percent when the excess bond premium is added.

I start from two standard methods, estimated on my own data and units so that they compare directly with the model below. Both use the monthly unemployment gap, core PCE inflation and the end-of-month two-year Treasury yield, with 12 lags and no trend. The first is the recursive (Cholesky) VAR of Christiano, Eichenbaum and Evans (1999), with the policy rate ordered last. The second is a proxy VAR (Stock and Watson, 2018; Mertens and Ravn, 2013; Gertler and Karadi, 2015) that uses the Nakamura–Steinsson surprise, summed over the announcements of the month,

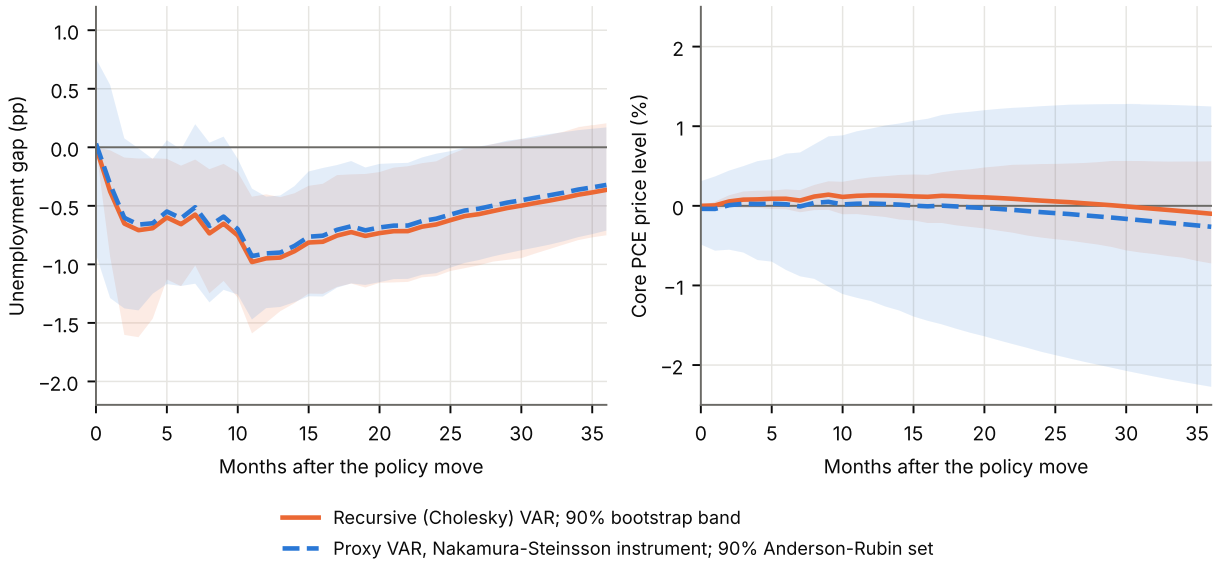


Figure 4: Standard Methods: Responses to a 1 Percentage Point Rise in the Two-Year Yield, 1996–2026

Notes: Recursive (Cholesky) VAR and proxy VAR with the Nakamura–Steinsson instrument, in the monthly unemployment gap, core PCE inflation and the two-year yield; 12 lags. Bands: 90 percent (bootstrap for the Cholesky VAR, Anderson–Rubin sets for the proxy VAR, truncated at ±4).

as an instrument for the policy rate.[2] All responses are to a 1 percentage point rise in the policy rate (Figure 4 and Table 3).

Both reproduce the puzzle. Unemployment falls after a tightening, by 0.95 percentage point after 12 months in the Cholesky VAR and 0.91 in the proxy VAR, and it is still lower after 24 months. The price level does not respond. A 1984 start gives the same answer, a funds-rate version on 1984–2007 gives the same sign in smaller numbers, and adding commodity prices, the standard remedy for the price puzzle (Sims, 1992; Ramey, 2016), leaves the response negative (Appendix Tables G29 and G30). These are the responses when the surprises are carried through the two-year yield alone.

3.2 The FCI Model: Baseline Results

Traced through the FCI, a tightening raises unemployment and lowers prices, whether the yield is measured in nominal terms, in real terms or relative to r^*. Table 4 gives the matched comparison: for each version, the responses after 24 months with the yield alone and with the yield and the FCI, on common bootstrap draws.[3]

[2]The first-stage F statistic of the proxy VAR is 4.5, so I report exact Anderson–Rubin sets, which stay valid when the instrument is weak (Montiel Olea, Stock and Watson, 2021; Lunsford, 2015; Lewis and Mertens, 2026; Bauer, Schmeling and Schrimpf, 2026).

[3]The units are the same in all results. In the model the end-of-month two-year yield moves 0.92 to 1.01 of the window move, so a 1 percentage point move in the window and a 1 percentage point move in the end-of-month yield

Table 3: Standard Methods: Responses to a 1 Percentage Point Rise in the Policy Rate

			Unemployment gap (pp)			Price level (%)		
Method	Sample	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Cholesky, 2-year yield	1996–2026	369	-0.95^{*}	-0.66^{*}	-0.36	0.13	0.07	-0.10
			[−1.50, −0.40]	[−1.10, −0.12]	[−0.75, 0.21]	[−0.12, 0.36]	[−0.40, 0.52]	[−0.72, 0.56]
Proxy VAR, 2-year yield	1996–2026	369	-0.91^{*}	-0.61^{*}	-0.32	0.03	-0.08	-0.26
			[−1.37, −0.42]	[−1.08, −0.05]	[−0.71, 0.17]	[−1.20, 0.97]	[−1.83, 1.25]	[−2.27, 1.25]

Notes: Monthly data, 12 lags, constant, no trend; unemployment gap, core PCE inflation and the end-of-month policy rate (the 2-year Treasury yield, or the effective federal funds rate where stated), policy rate ordered last in the Cholesky VARs; price level = cumulated inflation/12. Proxy VAR: Nakamura–Steinsson policy news summed within the month as instrument; first-stage $F = 4.5$. Unit: +1 pp on the policy rate on impact. Brackets: 90% intervals (residual bootstrap for the Cholesky VARs; exact Anderson–Rubin sets for the proxy VAR). * = excludes zero.

Table 4: Responses without and with the FCI after Two Years

	Unemployment gap (pp)			Price level (%)		
Yield measure	Yield alone	Yield and FCI	Difference	Yield alone	Yield and FCI	Difference
Nominal	-0.49^{**}	0.16	0.65^{**}	0.02	−0.43	-0.44^{*}
	[−0.82, −0.13]	[−0.24, 0.55]	[0.21, 1.08]	[−0.33, 0.42]	[−0.80, 0.02]	[−0.84, −0.04]
Real	-0.33^{*}	0.23	0.57^{**}	−0.11	-0.48^{**}	-0.37^{**}
	[−0.64, −0.07]	[−0.11, 0.61]	[0.18, 0.99]	[−0.37, 0.21]	[−0.84, −0.12]	[−0.71, −0.07]
Neutral rate (r^{*}-gap)	−0.07	0.50^{*}	0.56^{**}	-0.44^{**}	-0.81^{**}	-0.37^{**}
	[−0.42, 0.24]	[0.01, 0.95]	[0.10, 1.06]	[−0.73, −0.05]	[−1.23, −0.33]	[−0.77, −0.07]

Notes: Responses 24 months after a policy move that raises the two-year yield 1 pp in the window, 1996–2026, 12 lags. Differences are computed on common bootstrap draws before rounding. Brackets: 90% intervals; **, *: 5 and 10 percent levels. Responses at 12 and 36 months and at 3 and 6 lags are in Appendix Tables G5 and D2.

With the nominal or real yield alone the model gives what the standard methods give: unemployment falls and the price level does not respond. Measured relative to r^*, the yield alone lowers the price level, by 0.44 percent after two years, but still does not raise unemployment. That the adjustment helps prices first is what the reasoning of Section 2.1 leads one to expect: removing the common downward trend in rates and inflation removes a spurious link between low rates and low inflation, and inflation depends on how long conditions stay tight. Adding the FCI changes both responses in every version. It raises the unemployment response after 24 months by 0.65, 0.57 and 0.56 percentage point in the nominal, real and neutral-rate versions, and it lowers the price response by 0.44, 0.37 and 0.37 percent. The shift in unemployment is close to 0.6 percentage point whichever yield is used. That matched comparison is more stable than the absolute size of the response. The size depends on how long the financial movement lasts: with an FCI path that decays as fast as the direct evidence on the days after announcements allows, the baseline unemployment response after 24 months is 0.17 rather than 0.50 (Section 4.3). Measuring both the yield and the index relative to r^* gives the largest responses: unemployment peaks at 0.50 percentage point after 22 months, and the price level falls steadily, by 1.11 percent after 36 months.

Figure 5 shows the paths behind the table. The responses build over the first year and a half and then stabilize or continue, and in every version the FCI moves the unemployment path above the yield-alone path from the first months. Appendix Table G5 gives 12, 24 and 36 months.

How large are these effects? A surprise of 1 percentage point on the two-year yield is large: the standard deviation of the surprises is 5 basis points, and 90 percent of them are below 9 basis points. I report responses per percentage point because the model is linear and because that unit matches how policy is discussed; the Federal Reserve raised its policy rate by more than 5 percentage points in 2022–23. The responses describe how a policy move of a given size is transmitted, not the effect of any one announcement. They are larger than, and consistent with, the closest estimates in the literature. Bauer and Swanson (2023*b*) remove the predictable part of the surprise and carry it through a monthly VAR with the end-of-month two-year yield, a unit that matches mine to within a few percent. Rescaled to a 1 percentage point rise in the yield, their benchmark gives unemployment about 0.17 percentage point higher and the consumer price index about 0.5 percent lower after 24 months (their Figure 8). Both values lie inside the 90 percent intervals of the baseline (Table 4). They obtain conventional signs by cleaning the surprise; I obtain them by tracing its financial effects, and Section 5.3 shows that the two fixes combine.

3.3 Why Adding the FCI Changes the Estimated Response

Adding the FCI changes two things at once. It changes the experiment: a policy surprise now raises the FCI by 0.99 unit per percentage point on the yield, where a yield-only model has no index to move. And it changes the model: the yield is carried through dynamics estimated with the index. To separate the two I compute three paths for the neutral-rate version, on the same sample, calendar, horizon and normalization.

of the monthly VARs are the same shock to within about 8 percent.

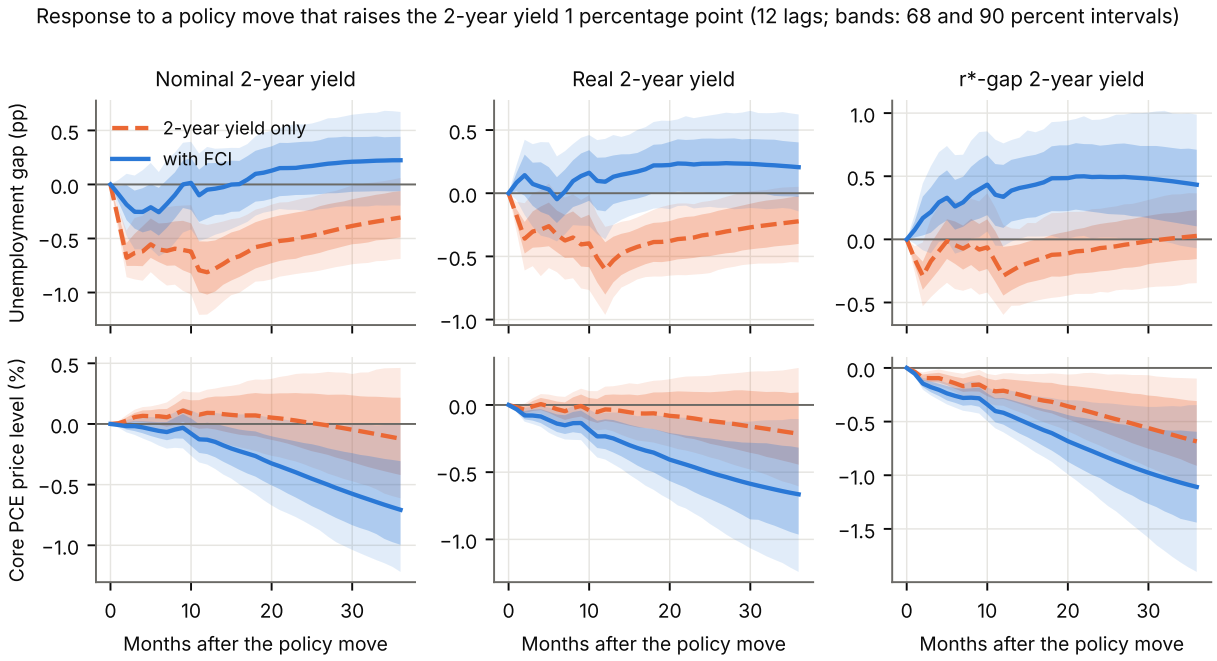


Figure 5: Responses to a Policy Move, without and with the FCI

Notes: Policy move that raises the two-year yield 1 percentage point in the window; 12 lags. Orange dashed: the yield alone. Blue: the yield and the FCI of the same version. Bands: 68 and 90 percent intervals.

- **The announcement path (A)** is the baseline: the model with the yield and the FCI, started by the yield rise and the window movement of the FCI.
- **The ordinary path (B)** uses the same fitted model, started by the same yield rise and the FCI movement that ordinarily accompanies it, 0.28 unit.
- **The yield-only path (C)** uses the matched model with the yield alone.

The ordinary movement is the covariance of the FCI and yield innovations of the daily block divided by the variance of the yield innovation, on days without an announcement. The ordinary path is therefore a model counterfactual, not an observed event. The difference between the announcement and ordinary paths isolates the initial FCI movement, holding the dynamics fixed. The difference between the ordinary and yield-only paths is what remains: the effect of including the financial state and re-estimating the propagation of the yield. All three paths use the same bootstrap draws, so the two differences add to the total at every horizon.

The initial movement accounts for most of the effect. Adding the FCI raises unemployment after 24 months by 0.56 percentage point and lowers the price level by 0.37 percent. The extra initial movement alone accounts for 0.47 and 0.33, and both intervals exclude zero. The remainder is 0.10 and 0.04, and neither interval excludes zero. The nominal and real versions give the same split (Table 5). How decisively the initial movement dominates depends on the horizon used to define an ordinary movement. Measured from the residuals of a monthly VAR, the ordinary loading is

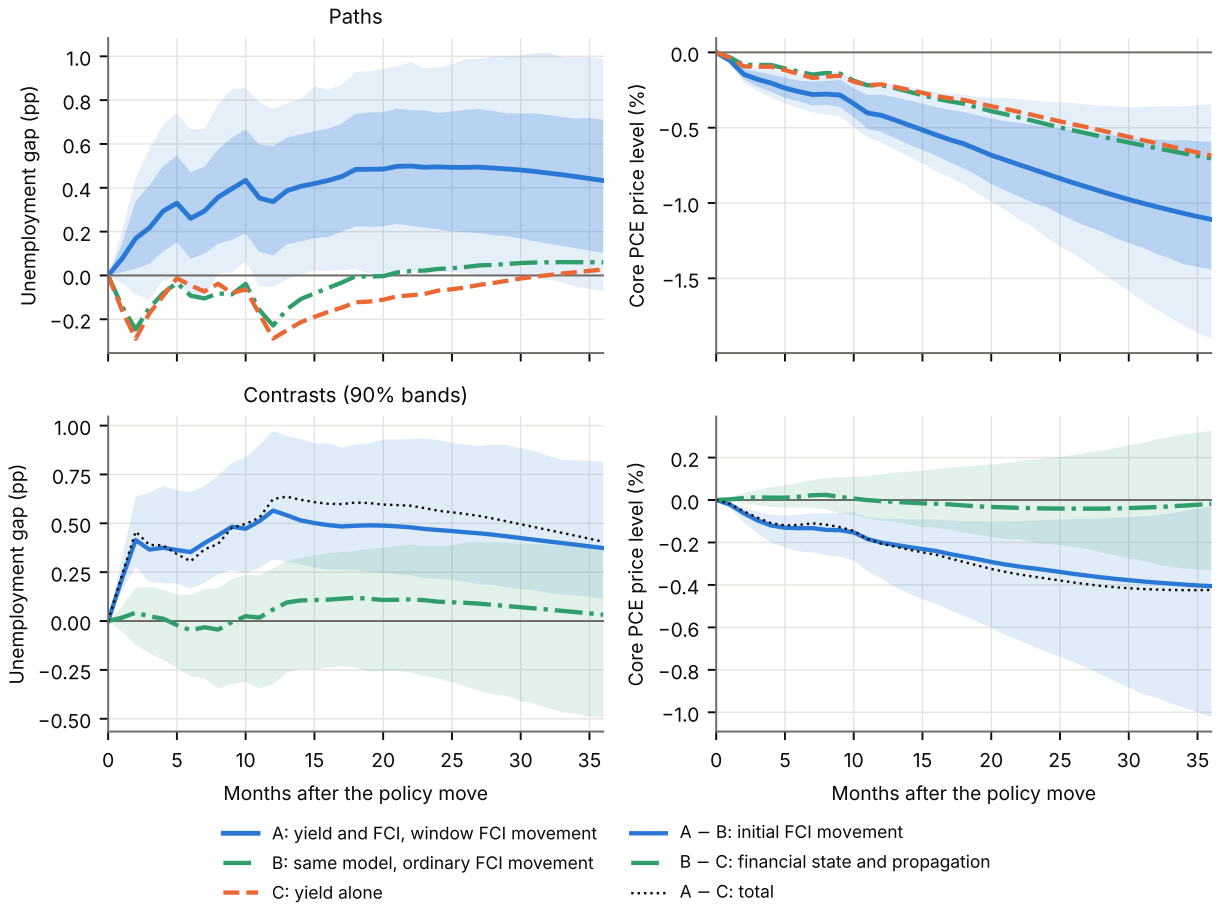


Figure 6: Paths A, B and C and Their Differences

Notes: Neutral-rate versions, per +1 pp on the two-year yield in the window; 12 lags. A: yield and FCI, started with the window movement of the FCI. B: same fitted model, started with the FCI movement that ordinarily accompanies the yield. C: yield alone. Bands: 68 and 90 percent intervals (top), 90 percent intervals of paired differences (bottom).

0.51 rather than 0.28; with that loading the initial movement accounts for 0.31 of the 0.56-point unemployment effect and the remainder for 0.25. The initial movement matters under either benchmark. The timing agrees (Figure 6). The effect of the initial movement on unemployment appears within the first quarter, peaks at about 12 months and fades as the financial movement fades; its effect on the price level builds steadily, because the price level cumulates inflation. The ordinary and yield-only paths are nearly parallel throughout, and after 24 months the unemployment responses are 0.03 and −0.07 percentage point. Nothing forces this: the ordinary path comes from a model with the FCI and the yield-only path from a model without it. A yield-only model therefore behaves like the full model fed an ordinary day's financial movement, and the gap between it and the baseline is largely the gap between the ordinary and the announcement movement of financial conditions.

Table 5: The Effect of the FCI: Initial Movement and Propagation

	Initial FCI movement	Unemployment gap (pp) 24 months	Price level (%) 24 months
Neutral-rate version (baseline)			
A. Yield and FCI, window FCI movement	0.99	0.50^{*}	-0.81^{**}
		[0.01, 0.95]	[−1.23, −0.33]
B. Same model, ordinary FCI movement	0.28	0.03	-0.48^{*}
		[−0.40, 0.30]	[−0.75, −0.04]
C. Yield alone	–	−0.07	-0.44^{**}
		[−0.42, 0.24]	[−0.73, −0.05]
A − C: effect of adding the FCI		0.56^{**}	-0.37^{**}
		[0.10, 1.06]	[−0.77, −0.07]
A − B: initial FCI movement, dynamics fixed	0.71	0.47^{**}	-0.33^{**}
		[0.22, 0.93]	[−0.71, −0.09]
B − C: the financial state and propagation		0.10	−0.04
		[−0.30, 0.38]	[−0.21, 0.20]
Nominal version			
A − C: effect of adding the FCI		0.65^{**}	-0.44^{*}
		[0.21, 1.08]	[−0.84, −0.04]
A − B: initial FCI movement, dynamics fixed	0.73	0.44^{**}	-0.30^{**}
		[0.17, 0.83]	[−0.63, −0.08]
B − C: the financial state and propagation		0.21	−0.15
		[−0.10, 0.44]	[−0.35, 0.12]
Real version			
A − C: effect of adding the FCI		0.57^{**}	-0.37^{**}
		[0.18, 0.99]	[−0.71, −0.07]
A − B: initial FCI movement, dynamics fixed	0.72	0.45^{**}	-0.29^{**}
		[0.19, 0.83]	[−0.62, −0.07]
B − C: the financial state and propagation		0.12	−0.08
		[−0.17, 0.35]	[−0.26, 0.11]

Notes: Per +1 pp on the two-year yield in the window. Path A is the baseline model with the yield and the FCI, started with the window movement of the FCI (first column). Path B is the same fitted model started with the FCI movement that ordinarily accompanies a 1 pp innovation in the yield (Appendix H). Path C is the model with the yield alone. All three use the same sample, announcements, calendar and bootstrap draws, so the contrasts are paired and A − B and B − C add to A − C in every draw. Brackets: 90% intervals; **, *: 5 and 10 percent levels.

3.4 The Implied Inflation-Unemployment Tradeoff

Once a tightening raises unemployment and lowers prices, the two responses together measure the cost of disinflation. The question is central to current policy. The inflation surge of 2021–22 has been attributed mostly to a tight labor market (Benigno and Eggertsson, 2023; Ball, Leigh and Mishra, 2022) or mostly to shocks to prices (Blanchard and Bernanke, 2023), and the two readings imply very different costs of bringing inflation down. Benigno and Eggertsson (2023) argue that appropriate policy can lower inflation without a significant recession; Ball, Leigh and Mishra (2022) find that returning inflation to target requires optimistic assumptions about expectations and the labor market. The answer depends on how much unemployment accompanies a given fall in prices. Recent work finds a small Phillips-curve slope (Hazell et al., 2022; Del Negro et al., 2020; Ball and Mazumder, 2019; Fitzgerald et al., 2024), which would make lowering inflation costly. The slope is hard to identify when policy offsets demand shocks (McLeay and Tenreyro, 2020), and conventional methods understate it (Barnichon and Mesters, 2020). Barnichon and Mesters (2021) measure the tradeoff directly, by the ratio of the price response to the cumulative unemployment response after a policy shock. I follow them and use their Phillips multiplier at horizon H:

$$\mathcal{P}_H = \frac{\tilde{P}_H}{\tilde{U}_H}, \qquad \tilde{U}_H = \frac{1}{12}\sum_{h=1}^{H} \tilde{U}_h, \tag{14}$$

where $\tilde{P}_H$ is the response of the core price level after H months, in percent, and $\tilde{U}_H$ is the cumulative response of the unemployment gap, in percentage-point years. A larger price decline for the same cumulative unemployment response gives a larger multiplier in absolute value. The multiplier is not the slope of a Phillips curve alone, because import prices and expectations can also carry the price response. Its inverse, $-1/\mathcal{P}_H$, is a sacrifice ratio: the percentage-point years of unemployment that come with a 1 percent lower price level. The unit is the price level at a stated horizon, not a permanent fall in the inflation rate. When $\tilde{U}_H$ is close to zero the ratio is not well defined, so I form 90 percent sets for $\mathcal{P}_H$ in the spirit of Anderson and Rubin (1949): the set contains every value $\mathcal{P}$ for which the 90 percent bootstrap interval of $\tilde{P}_H - \mathcal{P}\,\tilde{U}_H$ contains zero.

The baseline pins down the tradeoff. With the yield and the FCI relative to r^*, $\mathcal{P}_{24}$ is -1.07 with a set of $[-3.78, -0.51]$, and $\mathcal{P}_{36}$ is -0.90 (Table 6). The sacrifice ratio after two years is 0.9 percentage-point years of unemployment per 1 percent lower price level, with a set of 0.3 to 2.0; after three years it is 1.1.[4] In the other versions the ratio is undefined: the 90 percent interval of cumulative unemployment includes zero, so the data cannot say how much unemployment accompanies the fall in prices. A yield-only model that does not raise unemployment says nothing about the cost of lowering inflation, and it is not evidence of a flat tradeoff. Appendix Table G6 gives every case.

The baseline tradeoff is much steeper than the one estimated with high-frequency surprises after

[4] In the sample from 1996 the price decline behind this ratio depends on tying the dollar to the long-term yield in the inflation equation (Section 4.1). The dollar would work through import prices: a stronger dollar lowers them and with them core inflation.

Table 6: Implied Trade-Off: The Phillips Multiplier

	24 months		36 months	
Yield and FCI, measured as	Estimate	90% set	Estimate	90% set
Nominal	7.03	undefined; 68%: undefined	−4.85	undefined; 68%: undefined
Real	−1.74	undefined; 68%: undefined	−1.32	undefined; 68%: undefined
Neutral rate, 1996 start (baseline)	**−1.07**	**[−3.78, −0.51]**	**−0.90**	**[−3.62, −0.39]**
Neutral rate, 1973 start	−2.24	undefined; 68%: [−30.98, −1.26]	−2.37	undefined; 68%: undefined

Notes: κ_H is the core PCE price level at month H (percent) per percentage-point year of cumulative unemployment-gap response (Barnichon and Mesters, 2021); its inverse in absolute value is the sacrifice ratio. Estimate: ratio of the point responses. 90% set: Anderson–Rubin type, all values for which the 90% bootstrap interval of $\tilde{P}_H - \kappa\tilde{U}_H$ contains zero. The ratio is undefined when the 90% interval of the cumulative unemployment response includes zero, because the data then cannot rule out unemployment responses of zero or either sign; the 68% set is then shown where it exists. 12 lags. All cases in Appendix Table G6.

1990. Barnichon and Mesters (2021) report a multiplier of about −0.15 after three to four years for 1990–2008, estimated with high-frequency surprises, and one that diverges before 1990 and is about −3 after five years, estimated with Romer–Romer shocks. Inverted, these imply about 7 and about 0.3 percentage-point years of unemployment per 1 percent of prices. The baseline, at 1.1 after three years, lies between the two and far from the post-1990 estimate. Traced through financial conditions, the surprises of recent decades imply a tradeoff closer to the one measured in the decades before.

4 Tests of the Approach

The baseline rests on three choices the data can check: one index, with one set of weights, in place of its three components, the persistence of the financial movement implied by the daily block, and an impact measured in the window rather than estimated from monthly data. The literature offers two other explanations of the puzzles, credit spreads and the averaging of daily data into months, and this section tests both.

4.1 Which Financial Variables Carry the Response

The baseline assumes that the 10-year yield, equity valuation and the dollar affect unemployment and prices in proportion to the weights with which they respond to policy news. That is an assumption about the economy, and it can be relaxed and tested. I compare three specifications of the monthly equations. In the first the FCI enters as one variable. In the second equities enter separately and the 10-year yield and the dollar enter as one variable. In the third all three enter separately. The daily block is the same in all three, so the specifications differ only in the monthly equations and share their bootstrap draws (Appendix H).

The unemployment response does not depend on the specification (Table 7). The price response does, in the sample from 1996. Freeing equities leaves most of it in place (−0.52 percent after 24 months, against −0.72 with the index as one variable). Freeing the dollar as well removes it (0.06). The coefficients show why. In the inflation equation a tighter 10-year yield lowers inflation, as the

Table 7: Price and Unemployment Responses with the Components Entered Separately

		Monthly equations with				Difference from the index	
Start	Response	Index (baseline)	Index, three-component daily block	Equities free	All three free	Equities free	All three free
1996	Price level, 24 m (%)	−0.81**	−0.72**	−0.52**	0.06	0.20	0.78**
		[−1.23, −0.33]	[−1.11, −0.31]	[−0.89, −0.09]	[−0.25, 0.43]	[−0.03, 0.47]	[0.44, 1.12]
1996	Unemployment gap, 24 m (pp)	0.50*	0.40*	0.33	0.22	−0.08	−0.19
		[0.01, 0.95]	[0.03, 0.86]	[−0.06, 0.71]	[−0.26, 0.67]	[−0.37, 0.13]	[−0.63, 0.11]
1973	Price level, 24 m (%)	−0.63**	−0.65**	−0.60	−0.60	0.05	0.05
		[−0.89, −0.22]	[−0.97, −0.17]	[−0.98, 0.02]	[−0.96, 0.06]	[−0.22, 0.42]	[−0.24, 0.57]
1973	Unemployment gap, 24 m (pp)	0.14	0.26	0.15	0.16	−0.11	−0.10
		[−0.17, 0.36]	[−0.09, 0.52]	[−0.31, 0.43]	[−0.27, 0.50]	[−0.50, 0.16]	[−0.49, 0.19]

Notes: r^*-gap yield and FCI, 12 lags, per +1 pp on the two-year yield in the window. The last three columns share one daily block (the three components and the two-year yield), so they differ only in the monthly equations: the FCI built from the components as one variable, equities separate with the 10-year yield and the dollar as one variable, or all three separate. The difference columns are computed on common bootstrap draws. The first column is the baseline model with its own daily block. Brackets: 90% intervals; **, *: 5 and 10 percent levels. Nominal and real versions: Appendix Table G26.

baseline assumes, and a tighter dollar, holding the yield and equities fixed, has a conditional effect of the opposite sign (−0.66 for the yield and 0.23 for the dollar). A conditional coefficient of this kind does not identify the effect of an exogenous change in the dollar, because the dollar moves with the yield and with equities. It does show that the price result needs the two to enter in proportion.

The formal tests agree (Appendix Table G27). Equality of the yield and dollar coefficients, with equities free, is rejected in the inflation equation from 1996 and not in the unemployment equation. In the sample from 1973 the three specifications give the same price response (−0.65, −0.60 and −0.60) and no test rejects. Equities do not need to be tied to the yield and the dollar; the restriction that matters for prices is the one that ties the dollar to the 10-year yield. A stronger dollar lowers import prices, so a dollar channel should lower inflation, and the baseline imposes that it does so in proportion to the yield. In the longer sample, relaxing the restriction barely changes the price response.[5]

4.2 Four Calibrations of the Weights

The weights of the index come from one estimate of how the three asset prices respond to policy news. The companion paper shows that other calibrations of the same three assets value their movements differently (Kiley, 2026). Market weights estimated with the two-year yield as the policy signal, and FRB/US funds-rate equivalents, give the dollar more than twice the importance relative to equities that the baseline does; the published Goldman Sachs weights value the two almost as the baseline does. If the result depended on that relative importance, the paper would be about one index rather than about financial conditions. I therefore change only the weights. Each calibration is applied to the same r^*-gap series, announcements, dynamics and bootstrap draws, and each gets its own window and ordinary-day loadings (Table 8).

[5] In the sample from 1996 the data do not support the proportion in the inflation equation; the estimate is imprecise because the sample is short and the dollar's movements are few. A split of core inflation into goods and services would show where the dollar acts.

Table 8: Four Calibrations of the Index Weights (r^*-Gap Yield and FCI; 12 Lags)

Weights	Dollar relative to equities	Window loading	Ordinary-day loading	Yield and FCI, 24 m		Shift in unemployment from adding the FCI, 24 m
				Unemployment	Price level	
Market, futures factor (baseline)	1.00	0.99	0.28	0.50*	−0.81**	0.56 [0.10, 1.06]
Market, two-year yield	2.06	0.99	0.65	0.39	−0.66**	0.46 [0.04, 0.87]
FRB/US	2.51	0.99	0.37	0.56*	−0.71**	0.63 [0.14, 1.14]
Goldman Sachs, published	0.96	0.99	0.18	0.52*	−0.84**	0.59 [0.12, 1.11]

Notes: Per +1 pp on the two-year yield in the announcement window, 1996–2026. Each row builds the index from the same three r^*-gap series with the weights of one calibration in the companion paper (Kiley, 2026): market weights estimated with the futures factor or the two-year yield as the policy signal, FRB/US funds-rate equivalents, and the published Goldman Sachs weights; all are scaled to the same policy-news direction. Dollar relative to equities: the weight on a 3.9 percent dollar appreciation relative to that on a 5 percent fall in stock valuations. Ordinary-day loading: the FCI movement that accompanies a 1 pp rise in the yield on days without an announcement. Shift: the response with the FCI minus the response with the yield alone (same draws), with its 90 percent interval. ** and *: the 95 and 90 percent intervals exclude zero.

The result holds under every calibration. Adding financial conditions raises the two-year unemployment response by 0.46 to 0.63 percentage point, and every interval excludes zero. The price level falls by 0.66 to 0.84 percent, significantly in each case. All four are scaled to the same policy-news direction, so the window loading is 0.99 in each, and what differs is the ordinary-day loading and the propagation. The market weights with the two-year yield put most of their weight on the 10-year yield, which moves with the two-year yield on ordinary days as well; their ordinary-day loading is 0.65, the gap to the window is the smallest, and so is the shift in unemployment (0.46). The finding is about the bundle of financial prices that moves with policy news, not about one weighting of it.

4.3 How Long Does the Financial Movement Last?

In the window the FCI moves one for one with the yield. After the window, the daily block decides how long the movement lasts, and that matters because the monthly equations respond to monthly averages. Figure 7 shows the responses of the yield and the FCI in the baseline.

The days after announcements offer a check on that persistence. I measure the change in each series at 5, 22 and 66 trading days after each announcement, and its average over the first 22 days, on the same clock as the model (Appendix E). For the yield the direct estimates agree with the model at every horizon. For the FCI they agree at 5 and 22 days and have little power at 66 days, where the interval runs from a complete reversal to more than the model's value (Figure 8). The first-month average of the FCI is higher in the data than in the model when measured from the window, because part of the window's movement reverses by the close, and about the same when measured from the close before the announcement; neither difference changes the responses. Persistence beyond the first month would matter: a shorter FCI path would lower the baseline unemployment response after 24 months from 0.50 to 0.17. The model's persistence is consistent with the data, which cannot distinguish it from that shorter path.

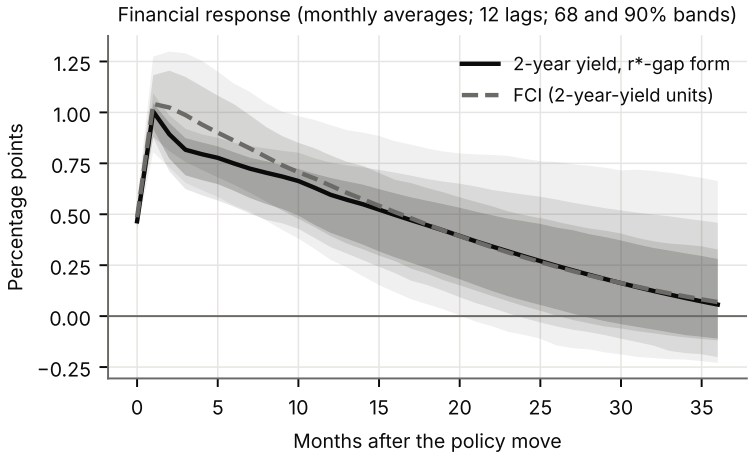


Figure 7: Response of the Two-Year Yield and the FCI to a Policy Move

Notes: The FCI is measured relative to r^* and in two-year-yield units; the policy move raises the two-year yield 1 percentage point in the window. Monthly averages; 12 lags; 68 and 90 percent bands.

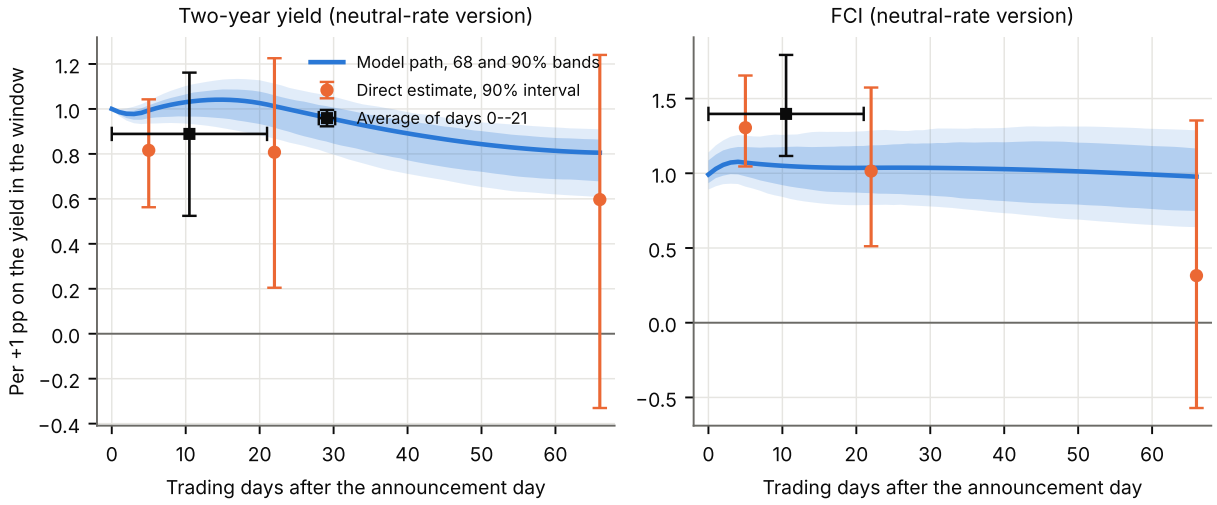


Figure 8: Financial Persistence: Direct Estimates and the Model

Notes: Per +1 pp on the two-year yield in the window, r^*-gap versions. Blue: the model's daily path after the announcement day (day 0), with 68 and 90 percent bands. Orange: direct estimates at 5, 22 and 66 trading days with 90 percent intervals. Black square: the average of days 0 to 21, with its interval; the horizontal bar shows the days averaged. The calendar-month averages of Figure 7 measure something different.

Table 9: Monthly VARs with the FCI and the Main Model (r^*-gap Two-Year Yield and FCI; 12 Lags)

	Unemployment gap (pp)		Price level (%)	
	12 m	24 m	12 m	24 m
Proxy VAR	0.95*	0.73	−0.84*	−1.24*
	[0.01, 5.87]	[−0.04, 4.55]	[−3.17, −0.15]	[−4.39, −0.24]
Window-impact VAR	0.33	0.31	−0.45*	−0.77*
	[−0.25, 0.82]	[−0.25, 0.76]	[−0.71, −0.16]	[−1.26, −0.20]
Main model (daily block)	0.34	0.50*	−0.42*	−0.81*
	[−0.05, 0.76]	[0.01, 0.95]	[−0.60, −0.20]	[−1.23, −0.33]

Notes: Per +1 pp on the two-year yield. *: the 90% interval excludes zero; intervals in brackets (Anderson–Rubin sets for the proxy VAR; bootstrap for the others). Monthly VARs use end-of-month values.

4.4 Monthly Benchmarks

Could a standard monthly model with the FCI added do the same job? A valid external instrument can recover the total response with the transmission channels unobserved, so a yield-only model is not wrong by construction; the question is what works in these data. I estimate two monthly VARs with the yield and the FCI relative to r^*. A proxy VAR estimates the immediate effect of the surprise on every variable from monthly residuals and the instrument. A window-impact VAR takes the effect on the yield and the FCI from the windows, as the main model does, and sets the effect on unemployment and inflation to zero within the month; it has no daily block, so the timing of announcements within the month is lost.

Both give the signs of the main model (Table 9). The proxy VAR has wide sets, because the surprise is a weak instrument for monthly residuals (first-stage F of 4.4). The window-impact VAR is close to the main model after 12 months (0.33 against 0.34 percentage point for unemployment) and delivers 0.31 of the 0.50 after 24 months. Much of what the main model delivers is therefore already in a monthly model that takes the impact from the windows; the daily block adds the timing of announcements and a path for the financial variables at the frequency of the surprise. A simulation with the baseline model as the true process shows what to expect: the proxy VAR with the FCI is centred on the true response with a wide range, the proxy VAR without the FCI is biased toward zero, and the window-impact VAR recovers the true response with a narrower range (Appendix Table B1). Measuring the impact in the window gives the same answer with less noise.

A direct projection of each outcome on the surprise imposes no channel at all. It gives the noisy, wrong-signed estimates the literature has found, its sign flips when lags of the yield and the FCI are added as controls, and no interval excludes zero (Appendix F). The surprise by itself does not pin down the macroeconomic response. A model of financial propagation, or at least the monthly dynamics of the proxy VAR, is needed to obtain an informative estimate.

Table 10: Credit and the Response (r^*-Gap Yield; 12 Lags)

	Yield alone	Yield and FCI		Credit measure
	Unemployment, 24 m	Unemployment, 24 m	Price level, 24 m	Response, 12 m (pp)
Baseline	−0.07	0.50*	−0.81**	–
Excess bond premium in the monthly block	0.08	0.52*	−0.78**	−0.01 [−0.18, 0.17]
Baa spread in the daily block	−0.07	0.33	−0.69**	−0.07 [−0.29, 0.09]

Notes: Per +1 pp on the two-year yield in the announcement window, 1996–2026. Excess bond premium: a third monthly variable, set like unemployment and inflation before markets within the month. Baa spread: Moody's Baa yield less the 10-year Treasury yield, in the daily block next to the yield and the FCI; its impact is its announcement-day change, because it has no intraday series. In the Baa row the yield-alone entry is the baseline's. Credit response: the excess bond premium, or the monthly average of the Baa spread, 12 months after the move, with its 90 percent interval. ** and *: the 95 and 90 percent intervals exclude zero.

4.5 Credit Spreads

Credit is the most important channel the baseline leaves out (Gertler and Karadi, 2015; Gilchrist and Zakrajšek, 2012; Caldara and Herbst, 2019). If a credit premium that responds to policy carried part of what the FCI carries, the FCI would take credit for effects that belong to credit. I test this in two ways (Table 10). First, the monthly excess bond premium of Gilchrist and Zakrajšek (2012) enters as a third monthly variable, set within the month before markets like unemployment and inflation. Second, the daily Baa corporate spread over the 10-year Treasury enters the daily block next to the yield and the FCI. It has no intraday series, so its impact is its change on the announcement day, −0.25 percentage point per percentage point on the yield: the 10-year yield rises on the day by more than the Baa yield.

Neither credit measure changes the result. With the excess bond premium, unemployment rises 0.52 percentage point after 24 months and the price level falls 0.78 percent, against 0.50 and 0.81 in the baseline. With the daily spread they are 0.33 and 0.69; the unemployment response is smaller and its interval includes zero, and the price response is significant. The credit measures themselves move little after a tightening once the FCI is in the model: the response of the excess bond premium after 12 months is −0.01 percentage point, with an interval that includes zero. The index already contains much of what moves credit premia. The three components of the index account for 43 percent of the variation in three-month changes of the excess bond premium since 1996, and equities alone for 37 percent, consistent with risk appetite moving both (Bauer, Schmeling and Schrimpf, 2026). Without the FCI, adding the excess bond premium moves the unemployment response toward zero, in the direction that adding the FCI moves it, because the premium then stands in for part of the channel. The three-variable index captures the risk-taking channel through the prices that reveal it in the announcement window.

4.6 Temporal Aggregation and Financial Conditions

Jacobson, Matthes and Walker (2026) show that averaging daily data into months biases the estimated effects of policy, because a surprise late in a month barely affects that month's average while one

Table 11: Two Corrections: Announcement Timing and Financial Conditions (24 Months; 12 Lags)

		Yield alone		Yield and FCI	
Yield	Response	Monthly VAR	Daily block	Monthly VAR	Daily block
Nominal	Unemployment gap (pp)	-0.63^{*}	-0.49^{**}	-0.09	0.16
	Price level (%)	0.06	0.02	-0.36	-0.43
Real	Unemployment gap (pp)	-0.46	-0.33^{*}	-0.04	0.23
	Price level (%)	-0.16	-0.11	-0.49	-0.48^{**}
r^{*}-gap	Unemployment gap (pp)	-0.03	-0.07	0.31	0.50^{*}
	Price level (%)	-0.51^{*}	-0.44^{**}	-0.77^{*}	-0.81^{**}

Notes: Per +1 pp on the two-year yield in the announcement window, 1996–2026. Monthly VAR: the window-impact monthly VAR of Section 4.4, which takes the impact from the windows and treats every announcement as if it fell at the start of its month (end-of-month series). Daily block: the main model, which tracks when in the month each announcement falls. ** and *: the 95 and 90 percent intervals exclude zero.

early in the month affects most of it. My model tracks when in the month each announcement falls; the window-impact monthly VAR of Section 4.4 does not. Comparing the two, with and without the FCI, separates the two corrections (Table 11).

Both corrections raise the unemployment response, and they compound. With the yield alone, neither model gives a rise in unemployment, whether the timing is tracked or not. Adding the FCI raises the unemployment response after 24 months in every version, by 0.60, 0.50 and 0.45 percentage point on average across the two models for the nominal, real and r^{*}-gap yields. Tracking the timing adds 0.25, 0.27 and 0.19 once the FCI is in the model, and 0.14, 0.13 and -0.04 without it. Timing matters most when the financial movement it times is large. Omitted financial channels and temporal aggregation are thus two sources of the puzzle, and the financial channel is the larger one. Jacobson, Matthes and Walker (2026) correct the second with a daily price index; this paper corrects the first with standard monthly data on core prices and unemployment.

5 Robustness

A result about the transmission of monetary policy can rest on one sample, one estimate of r^{*}, one trend, one set of omitted variables or one surprise series. I vary each in turn, changing one feature of the baseline and keeping the rest (Table 12). The rows in which the three components replace the FCI, each with its own window impact, repeat the test of Section 4.1 with a different daily block and give the same answer, and the credit rows are those of Section 4.5.

The main results hold across the variations. With the FCI, the wrong-signed unemployment response disappears everywhere: unemployment rises in 13 of the 14 variations that keep the index relative to r^{*} and never falls significantly, while without the FCI it falls in 12. The price level falls in all 14, and significantly in most.

Table 12: The Baseline and the Robustness Variations (r^*-gap Two-Year Yield; 12 Lags)

	Yield alone		Yield and FCI	
	Unemployment, 12 m	Unemployment, 24 m	Unemployment, 24 m	Price level, 24 m
Baseline	−0.29	−0.07	0.50*	−0.81**
Sample				
Start 1973	−0.05	−0.01	0.14	−0.63**
2020 dropped	−0.10	−0.21	0.45**	−0.69**
2020 dropped, start 1973	0.17**	0.15	0.24	−0.76**
Ends 2019	−0.15	−0.24	0.13	−0.14
Ends 2019, start 1973	0.19**	0.18	0.16	−0.50**
The r^* adjustment and trends				
Kiley r^*	−0.53**	−0.32*	0.28	−0.18
Kiley r^*, start 1973	−0.11	−0.05	−0.04	−0.37**
Real yield and FCI, spline trend	−0.64**	−0.34*	0.28	−0.25
Real yield and FCI, spline trend, start 1973	−0.10	0.08	0.18	−0.39**
Credit conditions				
Excess bond premium added	−0.08	0.08	0.52*	−0.78**
Excess bond premium added, start 1973	−0.03	−0.01	0.03	−0.57**
Baa spread in the daily block	−0.29	−0.07	0.33	−0.69**
Weights of the FCI				
Three components in place of the FCI	–	–	0.22	0.06
Three components, start 1973	–	–	0.16	−0.60
The surprise				
Bauer–Swanson surprise	−0.29	−0.07	0.54*	−0.84**
Jarocinski–Karadi surprise	−0.29	−0.07	0.56*	−0.85**

Notes: Per +1 pp on the two-year yield; unemployment gap in percentage points, price level in percent. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero). The variations are described in Sections 4 and 5; Appendix Tables give each at 12, 24 and 36 months and at 3, 6 and 12 lags. The yield-alone columns use the same case without the FCI; the 24-month columns give the matched comparison. The three-component rows replace the FCI, so they have no yield-alone entry.

5.1 The Sample

A result from one short sample may reflect one monetary environment. The sample since 1996 is short, it contains the pandemic, when unemployment moved by more than in any other period, and it ends with the largest tightening in the sample. I start the monthly equations in 1973 instead of 1996 (earlier months use monthly series in place of the daily block), drop March to December 2020, and end all equations in December 2019. In every case the announcements and their window impacts are those of the baseline.

With 2020 dropped or the start moved to 1973, the results are those of the baseline. From 1996, ending the sample in 2019 weakens the price response, from -0.81 to -0.14 percent after two years, with an interval that includes zero; from 1973 the response is -0.50, close to the baseline. Core inflation varied little before 2020 (a standard deviation of 1.1 percentage points for 1996–2019, against 1.8 for 2020–26), so the shorter sample has little information on how inflation responds to financial conditions, and the pattern is consistent with the later years supplying it. Starting in 1973 leaves unemployment close to zero without the FCI, so the wrong-signed response that the FCI removes belongs to the sample since 1996.

5.2 The r^* Adjustment and Trends

The neutral rate is not observed, so the results could be an artifact of the Laubach–Williams estimate. One variation replaces it with Kiley's estimate, in the yield and the FCI alike. Another uses no r^* at all: it keeps the real yield and the real FCI and adds a natural cubic spline in time to every monthly equation. In both, the FCI removes the fall in unemployment. The price response is smaller from 1996 and as in the baseline from 1973. The choice of r^* matters for the size of the price response, not for the sign pattern of unemployment.

5.3 The Surprise and Information Effects

An announcement can reveal the Fed's view of the economy as well as a change in policy, and part of each surprise can be predicted from public data. If stock prices fall in a window because the Fed signals a weak outlook rather than because the discount rate rises, the window responses mix information with policy. Two variations change the surprise. One uses the orthogonalized surprise of Bauer and Swanson (2023*b*), which removes the predictable part and is available through 2019 (201 announcements). The other keeps the Nakamura–Steinsson surprise only when the two-year yield and the S&P 500 move in opposite directions in the window, the sign restriction of Jarociński and Karadi (2020) (157 announcements). With the FCI the responses are at least as large as in the baseline.

5.4 Lag Length

The baseline uses 12 monthly lags, fixed in advance. A short model may miss slow dynamics, and a long one spends data. I repeat the main results with 3 and 6 lags, on the same sample,

announcements and bootstrap. In the baseline the direction of the results is the same at every lag length: with the FCI the price level falls and unemployment rises, and without it unemployment falls. Across the variations the price level falls at every lag length; with 3 lags unemployment rises in fewer of them, and one response, from 1973 with Kiley's r^*, falls significantly. The strength of the evidence grows with the lag length; the price response is larger and significant in more cases with 12 lags than with 3 (Appendix D).

6 Conclusion

Interest-rate surprises around Federal Reserve announcements identify policy shocks well. The difficulty has been tracing their effects. I kept the surprise as it is and changed how its effects are traced: through broad financial conditions measured relative to the neutral rate, rather than through one interest rate. Traced this way, a tightening raises unemployment and lowers prices, where the standard methods give a fall in unemployment and no response of prices.

The reason is the size of the financial movement. On announcement days a rise in the two-year yield comes with a tightening of financial conditions 3.6 times as large as on ordinary days, and the effects on unemployment and prices follow that movement. Started with an ordinary day's financial movement, the model with financial conditions gives almost the same unemployment response as a model without them. Credit spreads, the timing of announcements within the month and cleaned surprises do not explain the result away.

The results change the measured cost of lowering inflation. In the baseline, a 1 percent lower core price level after two years comes with about 0.9 percentage-point years of unemployment. That tradeoff is much steeper than earlier high-frequency estimates for the period since 1990 imply, and it bears directly on the debate over what the recent disinflation required. Estimates that leave financial conditions out cannot measure that cost, and earlier high-frequency estimates put it several times higher.

The most durable finding is the matched comparison. In the sample since 1996, adding financial conditions raises the two-year unemployment response by about 0.6 percentage point whether the yield is nominal, real or relative to the neutral rate. The linear model used here removes the wrong-signed responses that have marked high-frequency estimates of monetary transmission in recent decades. That policymakers watch financial conditions is familiar. What the paper shows is that estimates of transmission need them: for a given surprise to the expected path of rates, the accompanying movement in long yields, equities and the dollar determines the estimated employment consequences.

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Appendix A A Two-Equation Illustration

Let U_t be the unemployment gap, i_t the policy rate and f_t financial conditions, with a higher f_t meaning tighter conditions:

$$U_t = \rho_U \, U_{t-1} + \kappa \, f_{t-1} + \varepsilon_t^U, \tag{15}$$

$$f_t = \rho_f \, f_{t-1} + \lambda \, i_t + \varepsilon_t^f. \tag{16}$$

Unemployment responds to financial conditions and not directly to the policy rate. Financial conditions respond to the policy rate and to other forces, ε_t^f, such as changes in risk appetite. Some of these other forces may themselves be policy news that does not move interest rates (Boehm and Kroner, 2024; Bauer, Schmeling and Schrimpf, 2026). Suppose the economist observes only U_t and i_t. To remove f_t, lag equation (15) one month, multiply it by ρ_f, subtract it from equation (15), and use equation (16). This gives

$$U_t = (\rho_U + \rho_f) \, U_{t-1} - \rho_U \rho_f \, U_{t-2} + \kappa\lambda \, i_{t-1} + \underbrace{\varepsilon_t^U - \rho_f \, \varepsilon_{t-1}^U + \kappa \, \varepsilon_{t-1}^f}_{\text{error}}. \tag{17}$$

The policy rate has no direct effect in this model. It appears in equation (17) because it stands in for financial conditions. The error is a moving average that includes past financial shocks, so a VAR in U_t and i_t with few lags cannot capture it. The VAR is misspecified. With the lags and samples available in practice, this can make the effects of monetary policy harder to measure.

Appendix B Relation to a Monthly VAR and a Proxy VAR

Suppose the daily block were replaced by a monthly equation for $\bar{x}_t$, and every announcement occurred on the first day of the month. With $Z_t = (m_t', \bar{x}_t')'$, the model would then be a standard monthly VAR with a recursive ordering, the macroeconomic variables first, and impact vector $(0, 0, b')'$. The daily block adds two things: the position of each announcement in its month, and fast dynamics of the financial variables, estimated on many more observations. A proxy VAR (Gertler and Karadi, 2015; Mertens and Ravn, 2013; Stock and Watson, 2018) instead estimates $Z_t = \sum_l C_l Z_{t-l} + \iota_t$ and uses as an instrument z_t the surprises summed over the month. The effect on the FCI per unit effect on the two-year yield is then

$$\frac{\mathrm{Cov}(\iota_{F,t}, z_t)}{\mathrm{Cov}(\iota_{R,t}, z_t)}. \tag{18}$$

The window ratio b_F in equation (11) has the same form, with three differences. It replaces monthly VAR residuals with changes measured inside the window, which do not depend on how strongly the surprise predicts monthly residuals. It sets the entries for unemployment and inflation to zero rather than estimating them. And it dates each shock to its day rather than summing shocks over a month. Section 4.4 estimates both monthly benchmarks, and Table B1 shows how each performs when the

Table B1: A Monthly Proxy VAR when the r*-gap Model is the True Process

Estimate	Data	True	Simulated median	5th–95th percentile
A. Proxy VAR with the FCI				
First-stage F	4.4		11.1	[2.5, 27.2]
Unemployment gap, 12 m	0.95	0.33	0.35	[−0.31, 1.26]
Price level, 24 m	−1.24	−0.80	−0.69	[−1.91, 0.17]
B. Proxy VAR without the FCI				
Unemployment gap, 12 m	−0.33	0.33	0.02	[−0.70, 0.70]
C. Monthly VAR with the window impact and the FCI				
Unemployment gap, 12 m	0.33	0.34	0.35	[−0.10, 0.80]

Notes: 1,000 samples of 369 months generated by the estimated r*-gap model with the FCI (12 lags), with the data's calendar and announcement days; policy reaches unemployment and prices only through the 2-year yield and the FCI. Data: the 1996 sample, 12 lags, r*-gap measures; end-of-month series in the monthly VAR. True: the model's response per +1 pp on the 2-year yield, in the window (panel C) and on the end-of-month yield (panels A and B; the window response divided by the model's end-of-month response of 0.92–1.01). Simulated: median and 5th–95th percentiles of the estimates.

baseline model is the true process. In large samples a VAR of this kind estimates the same effects as local projections (Plagborg-Møller and Wolf, 2021). In the language of mixed-data sampling, the monthly equation gives equal weights to the days within a month and unrestricted weights to the months (Ghysels, Sinko and Valkanov, 2007; Foroni, Marcellino and Schumacher, 2015).

Appendix C The Bootstrap

Every interval in the note comes from a block bootstrap. Each draw resamples the 369 calendar months from January 1996 in moving blocks of 12 months and uses together the monthly residuals, the daily observations and the announcements of the months drawn, which keeps the dependence between them. The announcements drawn give new values of b and new positions. The monthly equations are re-estimated on a series rebuilt recursively from the drawn residuals, with the macro lags taken from the simulated series and the financial lags from the data, and the daily block is re-estimated on the drawn daily observations. When the monthly equations start in 1973, the residuals before 1996 are drawn in blocks of 12 months of their own. A month without a monthly observation (2020 dropped, or a sample ending in 2019) contributes its daily observations and announcements but no residual. A simpler bootstrap resamples the three sources of sampling variation separately: the announcements and the monthly residuals independently across months (with the monthly lags held at their values in the data), and the daily observations in moving blocks of 66 days. I ran it with 12 lags and 500 draws for the nominal, real and r^*-relative two-year yield, each without and with the FCI of the same version. Across the 36 responses at 12, 24 and 36 months, its 90 percent intervals are wider than those of the block bootstrap in 36, by a median of 1.14 times (range 1.03 to 1.34). The two agree on whether a response is significant at the 10 percent level in 34 of the 36 responses and at the 5 percent level in 30. The price response of the baseline

is significant at the 5 percent level at every horizon under both. The 90 percent interval of the baseline unemployment response after 24 months is [0.01, 0.95] under the block bootstrap and [0.02, 1.07] under the simpler one.

Appendix D Lag Length

The baseline uses 12 monthly lags, fixed in advance. Table D2 repeats the main results with 3 and 6 lags. The sample, the announcements and the bootstrap are the same at every lag length: the block bootstrap with 500 draws. The tables that follow give every case at 3, 6 and 12 lags.

The direction of every result is the same at every lag length. With the FCI, the price level falls in all 66 responses (16 cases at 12, 24 and 36 months), and one response of unemployment is significantly negative, at 3 lags only (Kiley's r^* from 1973, after 24 months: -0.11 [-0.28, -0.01]). Unemployment rises in 47 of the 66 responses with 3 lags, 61 with 6 and 60 with 12. Without the FCI, the Cholesky and proxy VARs show a fall in unemployment at every lag length; the Cholesky fall at 12 months is significant at all three. The weights test gives the same verdicts: in the sample from 1996 it rejects proportional weights in the inflation equation at the 10 percent level and does not reject them in the unemployment equation at the 5 percent level, and in the sample from 1973 it rejects in neither. In the simulation, the median proxy-VAR estimate of the unemployment response with the FCI is close to the true response at every lag length.

The size of the responses and the strength of the evidence increase with the lag length. The median price response with the FCI across the 48 responses is -0.21 with 3 lags, -0.43 with 6 and -0.50 with 12. The baseline price response at 36 months is -0.27, -0.87 and -1.11 percent. The number of significant price responses is 5, 45 and 55 of 66. The Phillips multiplier is bounded at 12 lags only; with 3 or 6 lags the data do not rule out arbitrarily steep trade-offs.

Table D2: The Main Results with 3, 6 and 12 Monthly Lags

	3 lags	6 lags	12 lags
Standard methods (per +1 pp on the policy rate)			
Cholesky, 2-year yield: unemployment gap, 12 m	−0.64* [−1.01, −0.15]	−0.56* [−0.97, −0.12]	−0.95* [−1.50, −0.40]
Cholesky, 2-year yield: price level, 36 m	0.09 [−0.49, 0.47]	−0.08 [−0.74, 0.36]	−0.10 [−0.72, 0.56]
Proxy VAR: unemployment gap, 24 m	−0.43* [−0.64, −0.10]	−0.36 [−0.76, 0.34]	−0.61* [−1.08, −0.05]
FCI model, r-gap 2-year yield (baseline)*			
With FCI: unemployment gap, 24 m	0.13 [−0.28, 0.49]	0.36 [−0.12, 0.71]	0.50* [0.01, 0.95]
With FCI: price level, 24 m	−0.25 [−0.61, 0.16]	−0.63* [−1.01, −0.16]	−0.81* [−1.23, −0.33]
With FCI: price level, 36 m	−0.27 [−0.75, 0.26]	−0.87* [−1.38, −0.18]	−1.11* [−1.90, −0.35]
Without FCI: unemployment gap, 12 m	−0.17 [−0.44, 0.14]	−0.09 [−0.38, 0.21]	−0.29 [−0.60, 0.11]
Phillips multiplier, 24 m	−0.65 [unbounded]	−1.07 [unbounded]	−1.07 [−3.78, −0.51]
All cases with the FCI in Sections 3 and 4 (16 cases, 3 horizons, 48 responses each)			
Price level falls	66 of 66	66 of 66	66 of 66
Price level falls significantly	5 of 66	45 of 66	55 of 66
Unemployment gap rises	47 of 66	61 of 66	60 of 66
Unemployment gap rises significantly	4 of 66	8 of 66	13 of 66
Financial weights and simulation (r-gap)*			
Proportional weights, 1996: bootstrap p, unemployment equation	0.201	0.236	0.399
Proportional weights, 1996: bootstrap p, inflation equation	0.017	0.050	0.013
Proportional weights, 1973: bootstrap p, inflation equation	0.609	0.752	0.374
Proxy VAR with FCI, simulated: median unemployment, 12 m (true value)	0.25 (0.25)	0.36 (0.33)	0.35 (0.33)
Proxy VAR with FCI, simulated: first-stage F, median	12.2	11.8	11.1

Notes: Same sample (1996 to 2026), announcements and block bootstrap (500 draws) at every lag length. Responses per +1 pp on the policy rate; **, *: 95% and 90% intervals exclude zero; 90% intervals in brackets. Counts (at the 10 percent level): the 16 cases with the FCI in the baseline and Section 4.1, 2, 3 and 5 (components excluded), responses at 12, 24 and 36 months.

Appendix E Financial Persistence beyond the Announcement Window

The monthly equations respond to the monthly average of the daily financial variables, so the model's answer depends on how long the window movement of the yield and the FCI lasts. The daily block (equation (12)) is estimated on ordinary days. I check it against the data in the days after announcements.

Definitions. Day 0 is the announcement day and day h is h trading days later. The model sets the level of each variable on day 0 equal to its window movement and propagates it from there. I build the direct estimate on the same clock. The change on day h is the window movement plus the change in the closing level from day 0 to day h, $D_h = w_a + (x_{a,h} - x_{a,0})$, so day 0 is the window movement itself. The endpoints are D_5, D_{22} and D_{66}. The average is the mean of $D_0, \ldots, D_{21}$, 22 trading days with the announcement day included, which corresponds to the first month of the monthly average. The model works on weekdays and the data on trading days, so 66 weekdays are about 63 to 65 trading days. As a check I also build the change from the close before the announcement, $x_{a,h} - x_{a,-1}$. The two differ by the part of the announcement day's close-to-close move that the window does not contain, the window-to-close gap in the notes of Table E3.

Estimation. Each D_h is regressed on the policy-news surprise over the 251 announcements with 66 trading days after them, the common set for all horizons, and the slope is divided by the slope of the window movement of the two-year yield on the same announcements. The unit is then a one-point rise in the yield in the window, as in the model. Announcements less than 66 trading days apart overlap. Two things address this. Intervals come from moving blocks of 12 calendar months, resampling the announcements of the months drawn and re-estimating the normalization, the scheme of the main bootstrap. And a second estimate adds the sum of the surprises of the announcements that follow within the horizon as a control. The model paths are those of the baseline, evaluated at the same trading-day horizons, with the same bootstrap draws.

Results. Table E3 and Figure 8 give the direct estimates and the model. For the two-year yield the direct estimates are 0.82 at 5 days, 0.81 at 22 days and 0.60 at 66 days, against 0.99, 1.01 and 0.81 in the model; every model value lies inside the 90 percent interval of the direct estimate, and so does the model's first-month average (1.02 against 0.89, interval [0.52, 1.16]). For the FCI the direct estimates are 1.31 at 5 days and 1.01 at 22 days against the model's 1.07 and 1.04, again inside the intervals. At 66 days the direct estimate is 0.32 with an interval of $[-0.57, 1.35]$, which contains the model's 0.98 and also a complete reversal: the data cannot distinguish persistence from decay at that horizon. Adding the surprises of later announcements as controls changes none of these conclusions.

The one difference is the first-month average of the FCI. On the model's clock the direct estimate is 1.40 (interval [1.12, 1.79]) and the model's value 1.05 lies below it. The difference comes from the announcement day. The close-to-close move of the FCI on the announcement day is -0.28 $[-0.44, -0.15]$ below the window move: part of the window's movement in stock prices, long yields and

Table E3: Financial Persistence: Direct Estimates and the Model

Series		Direct estimate	With later announcements controlled	Model
Two-year yield	Day 5	0.82	0.80	0.99
		[0.56, 1.04]	[0.55, 1.04]	[0.94, 1.04]
	Day 22	0.81	0.76	1.01
		[0.20, 1.23]	[0.18, 1.21]	[0.87, 1.11]
	Day 66	0.60	0.66	0.81
		[−0.33, 1.24]	[−0.22, 1.42]	[0.61, 0.91]
	Average, days 0–21	0.89	0.85	1.02
		[0.52, 1.16]	[0.49, 1.14]	[0.93, 1.08]
FCI	Day 5	1.31	1.33	1.07
		[1.05, 1.65]	[1.07, 1.69]	[0.91, 1.25]
	Day 22	1.01	1.05	1.04
		[0.51, 1.57]	[0.54, 1.66]	[0.79, 1.29]
	Day 66	0.32	0.30	0.98
		[−0.57, 1.35]	[−0.60, 1.43]	[0.64, 1.29]
	Average, days 0–21	1.40	1.48	1.05
		[1.12, 1.79]	[1.22, 1.84]	[0.86, 1.25]

Notes: Response per +1 pp on the two-year yield in the window, r^*-gap versions, 251 announcements with 66 trading days after them. Day 0 is the announcement day; the change on day h is the window move plus the change in the close from day 0 to day h, the convention of the model, and the average is over days 0 to 21 (22 trading days). Direct estimate: slope of that change on the policy-news surprise divided by the window slope of the yield; second column adds the surprises of announcements within the horizon. 90% intervals from 2,000 draws of moving blocks of 12 calendar months with the normalization re-estimated. Model: the baseline of Table 4 on weekdays; 90% bootstrap interval. Close minus window on the announcement day (the window-to-close gap): −0.12 [−0.32, 0.11] for the yield and −0.28 [−0.44, −0.15] for the FCI, per +1 pp in the window.

the dollar has reversed by the close. Built from the close before the announcement, the average is 1.12 and the model lies inside the interval. The window-to-close gap is also a statement about the starting point: if the FCI started the model at the closing level and not at the window level, the 24-month responses would be −0.18 percentage point for unemployment and 0.13 percent for the price level different, which is a third of path A − C in Section 3.3 and does not change its sign.

What the differences imply for the macro response. A sensitivity calculation traces the macro response through the monthly equations of the baseline, holding the daily block fixed. If the event month's average of the FCI and the yield are those of the direct estimate on the model's clock (the FCI 0.35 higher and the yield −0.13 lower), the responses after 24 months change by 0.00 percentage point for unemployment and 0.00 percent for the price level. If the same excess lasted through the first three months, the changes are 0.00 and −0.01. The first-month average therefore does not matter for the results. Persistence at longer horizons would. If the FCI path from the second month on were scaled by the ratio of the direct to the model estimate at 66 days (0.32), the responses after 24 months would be 0.17 for unemployment and −0.55 for the price level, against 0.50 and −0.81; with the ratio at the ends of the 90 percent interval (-0.58 and 1.38) they would be −0.26 and −0.20, and 0.68 and −0.95. The data at 66 days cannot narrow that range. The check shows that the model's persistence is consistent with the days after announcements. It cannot show that it is right beyond the first month.

Appendix F A Direct Projection on the Surprise

The main model imposes that the surprise reaches unemployment and prices through the yield and the FCI. A direct projection imposes nothing: all channels operate, and no variable of the financial block enters. The surprise, summed over the announcements of a month, is the regressor, and the unemployment gap, or the cumulated core inflation of the months from the announcement month to month $t + h$, is the outcome. The specification, the controls and the inference are in the notes of Table F4. The projection here is the direct response, scaled by the window slope of the yield, with no first stage.

Results. The direct projection has the features of the earlier direct estimates. With macro lags the unemployment response is -2.86 percentage point after 12 months and -3.27 after 24, and the price level 0.67 and 2.18 percent. The sign of unemployment is the wrong one and the price response is not negative. The estimates are noisy: the 90 percent bootstrap intervals include zero for all four ([-4.84, 0.70] for unemployment after 12 months), and Newey–West intervals exclude zero for unemployment at both horizons and for the price level after 24 months. When the lags of the yield and the FCI are added to the controls, the estimates change sign for unemployment (0.75 and 0.26) and the price level stays above zero (0.28 and 0.73); no interval excludes zero. The main model's responses lie inside the bootstrap intervals of both projections at both horizons, except for the price level after 24 months in the first projection.

The direct projection allows all transmission channels to operate, including the exchange rate, expectations and the response of policy to the economy after the announcement, and nothing is imposed. A perverse estimate does not show that omitting the FCI biases the result, and I do not control for the contemporaneous FCI. It shows that the direct response of the economy to the surprise, taken at face value, does not have the signs that the theory gives, and that the data do not pin it down. The sign change when lagged financial conditions are added is a feature of the estimates, not a test of the model. The comparison is informative for identification. The announcement surprise by itself gives an imprecise direct macro estimate; the paper obtains a more informative estimate by imposing a model of financial propagation. The proxy VAR of Table 9 is the benchmark that keeps the monthly dynamics and is therefore the comparison for the main model.

Table F4: A Direct Projection on the Policy Surprise

Outcome	Months	Direct projection	Direct projection, financial lags	Main model	Proxy VAR
Unemployment gap (pp)	12	−2.86	0.75	0.34	0.95*
		[−4.84, 0.70]	[−1.46, 4.08]	[−0.05, 0.76]	[0.01, 5.87]
	24	−3.27	0.26	0.50*	0.73
		[−6.32, 0.75]	[−2.64, 3.01]	[0.01, 0.95]	[−0.04, 4.55]
Price level (%)	12	0.67	0.28	−0.42**	−0.84*
		[−0.88, 1.46]	[−1.36, 1.08]	[−0.60, −0.20]	[−3.17, −0.15]
	24	2.18	0.73	−0.81**	−1.24*
		[−0.52, 4.21]	[−1.64, 3.01]	[−1.23, −0.33]	[−4.39, −0.24]

Notes: Direct projection: the outcome in month $t + h$ (unemployment gap, or the cumulated core PCE inflation of months t to $t + h$ divided by 12, as in the main model) regressed on the sum of the policy-news surprises of announcement month t, with a constant and 12 lags of the unemployment gap and inflation (and, in the second column, 12 lags of the monthly averages of the r^*-gap yield and FCI); all controls are dated before month t and the contemporaneous FCI is not included. January 1996 to September 2026, nothing dropped. The coefficient is divided by the window slope of the yield on the surprise (1.01), so the unit is +1 pp on the two-year yield in the window and there is no first stage. Brackets: 90% intervals from moving blocks of 12 (12 months) or 24 (24 months) calendar months with the scaling re-estimated. Main model and proxy VAR: Tables 4 and 9. *: the 90% interval excludes zero.

Appendix G Additional Tables and Figures

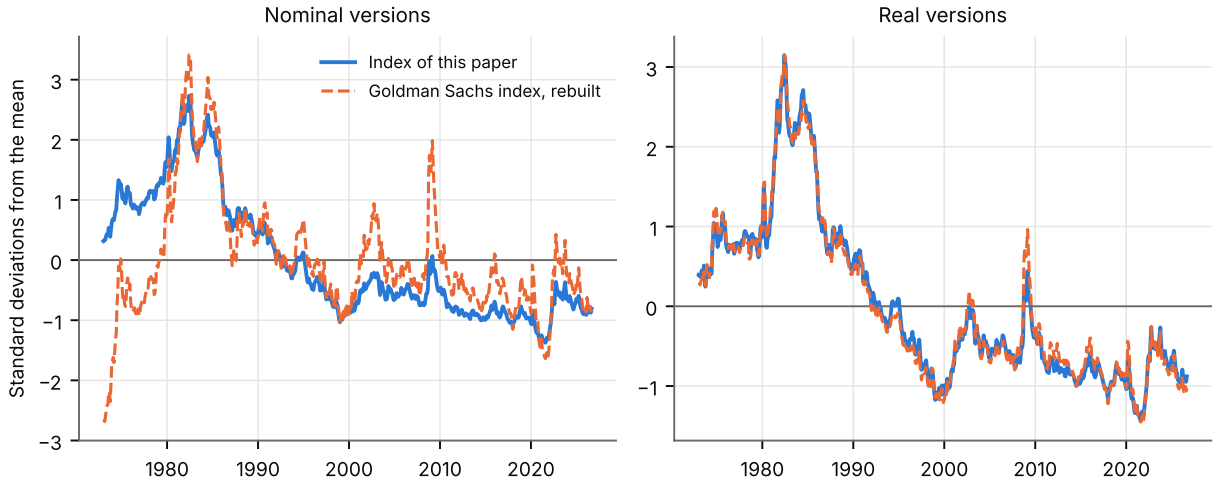


Figure G1: The Index and the Goldman Sachs Index, Nominal and Real Versions

Notes: Monthly, January 1973 to September 2026, each series in units of its standard deviation from its mean. The Goldman Sachs index is rebuilt from public data with its published weights (companion paper), in the same version as the index of this paper. Left: nominal versions. Right: real versions, with the 10-year yield less 10-year expected inflation.

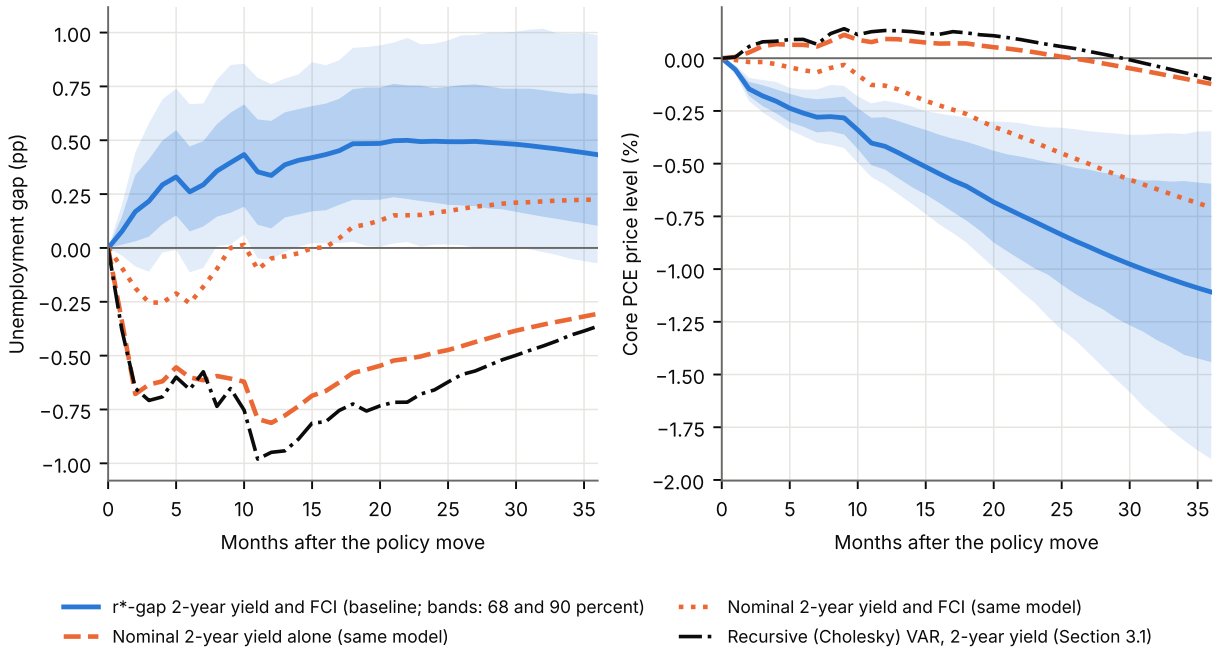


Figure G2: Responses to a Policy Move: Baseline, Nominal Yield Alone and with the FCI, and Cholesky VAR

Notes: Policy move that raises the two-year yield 1 percentage point. Baseline: two-year yield and FCI relative to r^*; 12 lags; shaded bands 68 and 90 percent. The nominal yield alone and with the FCI are in the same model; the Cholesky VAR is that of Section 3.1.

Table G5: Baseline: 1996 to the Present, All Data in, No Trend (12 Lags)

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Nominal	none	12	369	-0.81^{**}	-0.49^{**}	−0.31	0.09	0.02	−0.12
				[−1.20, −0.38]	[−0.82, −0.13]	[−0.69, 0.06]	[−0.11, 0.28]	[−0.33, 0.42]	[−0.61, 0.46]
	nominal	12	369	−0.05	0.16	0.22	−0.13	−0.43	−0.71
				[−0.50, 0.35]	[−0.24, 0.55]	[−0.20, 0.67]	[−0.33, 0.09]	[−0.80, 0.02]	[−1.22, 0.01]
Real	none	12	369	-0.60^{**}	-0.33^{*}	−0.22	−0.03	−0.11	−0.21
				[−0.96, −0.27]	[−0.64, −0.07]	[−0.55, 0.05]	[−0.18, 0.14]	[−0.37, 0.21]	[−0.61, 0.28]
	real	12	369	0.09	0.23	0.21	-0.23^{**}	-0.48^{**}	-0.66^{**}
				[−0.36, 0.43]	[−0.11, 0.61]	[−0.14, 0.62]	[−0.41, −0.06]	[−0.84, −0.12]	[−1.24, −0.10]
r*-gap	none	12	369	−0.29	−0.07	0.03	-0.21^{**}	-0.44^{**}	-0.69^{**}
				[−0.60, 0.11]	[−0.42, 0.24]	[−0.35, 0.36]	[−0.35, −0.05]	[−0.73, −0.05]	[−1.13, −0.10]
	r*-gap	12	369	0.34	0.50^{*}	0.43	-0.42^{**}	-0.81^{**}	-1.11^{**}
				[−0.05, 0.76]	[0.01, 0.95]	[−0.07, 0.99]	[−0.60, −0.20]	[−1.23, −0.33]	[−1.90, −0.35]

Notes: Nominal, real and r*-gap 2-year yield; the FCI is the index of Kiley (2026) in the matching form in each case. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G6: Implied Trade-Off: Phillips Multiplier κ_H (12 Lags), All Cases

Case	FCI	$H = 24$ months	$H = 36$ months
Nominal	none	−0.01 [−0.31, 0.47]	0.08 [−0.25, 0.62]
	nominal	7.03 (undefined; 68%: undefined)	−4.85 (undefined; 68%: undefined)
Real	none	0.14 [−0.23, 0.71]	0.21 [−0.21, 1.06]
	real	−1.74 (undefined; 68%: undefined)	−1.32 (undefined; 68%: undefined)
r*-gap	none	1.67 (undefined; 68%: undefined)	2.48 (undefined; 68%: undefined)
	r*-gap	−1.07 [−3.78, −0.51]	−0.90 [−3.62, −0.39]
Start 1973	r*-gap	−2.24 (undefined; 68%: [−30.98, −1.26])	−2.37 (undefined; 68%: undefined)
2020 dropped	r*-gap	−0.95 [−2.00, −0.33]	−0.82 [−2.13, −0.17]
2020 dropped, start 1973	r*-gap	−1.49 [−2.91, −0.72]	−1.64 [−5.42, −0.72]
Ends 2019	r*-gap	−0.31 (undefined; 68%: [−1.05, 0.01])	−0.43 (undefined; 68%: undefined)
Ends 2019, start 1973	r*-gap	−1.21 [−6.44, −0.39]	−1.58 (undefined; 68%: [−7.95, −0.86])
Kiley r*	r*-gap (Kiley)	−0.22 [−0.71, 0.46]	−0.03 [−0.58, 3.56]
Kiley r*, start 1973	r*-gap (Kiley)	28.26 (undefined; 68%: undefined)	9.45 (undefined; 68%: undefined)
Real, spline trend	real	−0.55 (undefined; 68%: undefined)	−0.39 (undefined; 68%: undefined)
Real, spline trend, start 1973	real	−1.31 (undefined; 68%: [−3.74, −0.69])	−1.18 (undefined; 68%: [−8.55, −0.61])
r*-gap minus nominal, with FCI		[−1.12, 6.57]	[−1.08, 8.74]

Notes: κ_H = core PCE price level at month H (percent) per percentage-point year of cumulative unemployment-gap response (Barnichon and Mesters 2021); the sacrifice ratio is $-1/\kappa_H$. Point estimate and 90% confidence set (Anderson–Rubin type) in brackets, computed exactly (a wide grid refined by bisection), so a finite end is never an artifact of the grid. An infinite end means that the 90% interval of the cumulative unemployment response includes zero: the data then cannot rule out arbitrarily steep trade-offs on that side; "unbounded": both sides. Last row: paired difference over common announcement draws.

Table G7: Sample (r*-gap 2-Year Yield and FCI) (12 Lags)

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Start 1973	none	12	633	−0.05	−0.01	0.00	−0.22**	−0.50**	−0.79**
				[−0.20, 0.08]	[−0.17, 0.16]	[−0.16, 0.17]	[−0.33, −0.08]	[−0.73, −0.17]	[−1.17, −0.21]
	r*-gap	12	633	0.18	0.14	0.13	−0.27**	−0.63**	−0.98**
				[−0.07, 0.38]	[−0.17, 0.36]	[−0.19, 0.35]	[−0.41, −0.10]	[−0.89, −0.22]	[−1.42, −0.26]
2020 dropped	none	12	359	−0.10	−0.21	−0.25	−0.20**	−0.32	−0.44
				[−0.28, 0.10]	[−0.47, 0.08]	[−0.54, 0.11]	[−0.35, −0.03]	[−0.63, 0.03]	[−0.91, 0.06]
	r*-gap	12	359	0.41**	0.45**	0.40	−0.38**	−0.69**	−0.94**
				[0.17, 0.60]	[0.09, 0.77]	[−0.04, 0.87]	[−0.55, −0.16]	[−1.08, −0.21]	[−1.60, −0.16]
2020 dropped, start 1973	none	12	623	0.17**	0.15	0.05	−0.28**	−0.64**	−0.97**
				[0.04, 0.29]	[−0.03, 0.31]	[−0.14, 0.22]	[−0.37, −0.16]	[−0.83, −0.32]	[−1.27, −0.45]
	r*-gap	12	623	0.33**	0.24	0.15	−0.32**	−0.76**	−1.14**
				[0.14, 0.46]	[−0.02, 0.40]	[−0.09, 0.35]	[−0.42, −0.16]	[−0.93, −0.36]	[−1.46, −0.50]
Ends 2019	none	12	288	−0.15	−0.24	−0.26	0.08	0.06	0.03
				[−0.37, 0.11]	[−0.62, 0.19]	[−0.75, 0.26]	[−0.05, 0.20]	[−0.10, 0.20]	[−0.17, 0.22]
	r*-gap	12	288	0.30*	0.13	0.00	−0.08	−0.14	−0.21
				[0.04, 0.55]	[−0.30, 0.49]	[−0.48, 0.42]	[−0.23, 0.08]	[−0.38, 0.09]	[−0.53, 0.09]
Ends 2019, start 1973	none	12	552	0.19**	0.18	0.08	−0.21**	−0.49**	−0.82**
				[0.06, 0.31]	[−0.04, 0.32]	[−0.17, 0.25]	[−0.31, −0.06]	[−0.69, −0.15]	[−1.20, −0.25]
	r*-gap	12	552	0.27**	0.16	0.09	−0.22**	−0.50**	−0.84**
				[0.06, 0.41]	[−0.16, 0.35]	[−0.23, 0.28]	[−0.33, −0.06]	[−0.70, −0.16]	[−1.19, −0.23]

Notes: Start 1973: monthly equations from 1973, with monthly series in place of daily data before 1990. 2020 dropped: March to December 2020 removed from the monthly and daily equations (2020 values still enter as lags). Ends 2019: all equations, monthly and daily. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G8: the r* Adjustment and Trends (12 Lags)

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Kiley r*	none	12	369	−0.53**	−0.32*	−0.23	−0.09	−0.10	−0.13
				[−0.86, −0.12]	[−0.62, −0.07]	[−0.55, 0.04]	[−0.24, 0.06]	[−0.37, 0.22]	[−0.55, 0.34]
	r*-gap (Kiley)	12	369	0.39	0.28	−0.01	−0.25**	−0.18	−0.03
				[−0.03, 0.79]	[−0.12, 0.69]	[−0.48, 0.36]	[−0.45, −0.05]	[−0.59, 0.21]	[−0.55, 0.56]
Kiley r*, start 1973	none	12	633	−0.11	−0.05	−0.03	−0.18**	−0.35**	−0.50*
				[−0.24, 0.02]	[−0.19, 0.07]	[−0.17, 0.10]	[−0.26, −0.04]	[−0.52, −0.07]	[−0.79, −0.04]
	r*-gap (Kiley)	12	633	0.00	−0.04	−0.03	−0.20**	−0.37**	−0.50**
				[−0.18, 0.17]	[−0.24, 0.11]	[−0.21, 0.11]	[−0.28, −0.07]	[−0.55, −0.11]	[−0.79, −0.07]
Real, spline trend	none	12	369	−0.64**	−0.34*	−0.20	0.03	−0.06	−0.21
				[−1.02, −0.27]	[−0.70, −0.01]	[−0.55, 0.10]	[−0.13, 0.20]	[−0.33, 0.26]	[−0.61, 0.26]
	real	12	369	0.19	0.28	0.17	−0.14	−0.25	−0.27
				[−0.24, 0.55]	[−0.20, 0.66]	[−0.25, 0.52]	[−0.30, 0.07]	[−0.66, 0.15]	[−0.91, 0.26]
Real, spline trend, start 1973	none	12	633	−0.10	0.08	0.11	−0.09	−0.25**	−0.38**
				[−0.26, 0.04]	[−0.15, 0.28]	[−0.12, 0.25]	[−0.17, 0.01]	[−0.41, −0.04]	[−0.61, −0.07]
	real	12	633	0.18	0.18	0.11	−0.17**	−0.39**	−0.53**
				[−0.03, 0.39]	[−0.11, 0.42]	[−0.17, 0.31]	[−0.26, −0.04]	[−0.59, −0.14]	[−0.79, −0.17]

Notes: Kiley r*: 2-year minus expected inflation minus Kiley's r*, with the index of Kiley (2026) built with the same r*. Real, spline trend: real 2-year and real FCI with a natural cubic spline trend (knots at the sample ends and at NBER business-cycle peaks inside the sample) in every monthly equation, in place of any r* measure. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G9: Excess Bond Premium (r*-gap) (12 Lags)

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
EBP added	none	12	369	−0.08	0.08	0.16	−0.27**	−0.53**	−0.78**
				[−0.40, 0.25]	[−0.27, 0.36]	[−0.18, 0.44]	[−0.39, −0.08]	[−0.80, −0.17]	[−1.21, −0.24]
	r*-gap	12	369	0.27	0.52*	0.42	−0.39**	−0.78**	−1.10**
				[−0.17, 0.63]	[0.04, 0.99]	[−0.10, 1.03]	[−0.56, −0.17]	[−1.24, −0.31]	[−1.93, −0.32]
EBP added, start 1973	none	12	633	−0.03	−0.01	0.01	−0.22**	−0.50**	−0.78**
				[−0.17, 0.09]	[−0.17, 0.12]	[−0.15, 0.15]	[−0.31, −0.07]	[−0.67, −0.16]	[−1.10, −0.24]
	r*-gap	12	633	0.06	0.03	0.04	−0.24**	−0.57**	−0.89**
				[−0.14, 0.23]	[−0.18, 0.24]	[−0.15, 0.23]	[−0.35, −0.06]	[−0.77, −0.16]	[−1.22, −0.22]
Baa spread in the daily block	none	12	369	−0.29	−0.07	0.03	−0.21**	−0.44**	−0.69**
				[−0.60, 0.11]	[−0.42, 0.24]	[−0.35, 0.36]	[−0.35, −0.05]	[−0.73, −0.05]	[−1.13, −0.10]
	r*-gap + Baa spread	12	369	0.18	0.33	0.18	−0.32**	−0.69**	−0.97**
				[−0.32, 0.58]	[−0.17, 0.77]	[−0.33, 0.74]	[−0.52, −0.06]	[−1.11, −0.23]	[−1.70, −0.27]

Notes: EBP added: the excess bond premium is a third monthly variable, treated like unemployment and inflation (u, inflation, EBP system); responses shown for u and the price level. Baa spread: the daily Baa-10-year spread enters the daily block next to the yield and the FCI, with its announcement-day response as impact. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G10: the FCI Replaced by Its Three Weighted Components (12 Lags)

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Nominal	components	12	369	0.03	0.25	0.09	0.03	0.21	0.42
				[−0.55, 0.48]	[−0.29, 0.83]	[−0.52, 0.93]	[−0.19, 0.27]	[−0.23, 0.66]	[−0.25, 1.02]
Real	components	12	369	0.17	0.29	−0.03	−0.06	0.14	0.41
				[−0.38, 0.52]	[−0.19, 0.75]	[−0.53, 0.63]	[−0.23, 0.13]	[−0.27, 0.48]	[−0.21, 0.92]
r*-gap	components	12	369	0.20	0.22	−0.09	−0.14	0.06	0.35
				[−0.31, 0.65]	[−0.26, 0.67]	[−0.67, 0.45]	[−0.29, 0.04]	[−0.25, 0.43]	[−0.25, 0.87]
Nominal, start 1973	components	12	633	−0.28	−0.24	−0.26	0.10	0.45*	0.92**
				[−0.77, 0.09]	[−0.78, 0.17]	[−0.89, 0.28]	[−0.08, 0.37]	[0.08, 1.13]	[0.25, 2.07]
Real, start 1973	components	12	633	−0.11	−0.14	−0.15	−0.14	−0.05	0.16
				[−0.51, 0.17]	[−0.61, 0.13]	[−0.63, 0.12]	[−0.31, 0.15]	[−0.36, 0.70]	[−0.34, 1.39]
r*-gap, start 1973	components	12	633	0.17	0.16	0.09	−0.35**	−0.60	−0.80
				[−0.30, 0.52]	[−0.27, 0.50]	[−0.31, 0.38]	[−0.56, −0.10]	[−0.96, 0.06]	[−1.42, 0.32]

Notes: Components: the 10-year yield, equity valuation and real dollar, each multiplied by its weight, enter separately in the daily and monthly equations in the same version as the 2-year yield, each with its own window impact (the three impacts sum to the FCI's). Baseline rows without the FCI are in the baseline table. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G11: Alternative Surprises (r*-gap) (12 Lags)

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Bauer-Swanson surprise	none	12	369	−0.29	−0.07	0.03	−0.21**	−0.44**	−0.69**
				[−0.60, 0.11]	[−0.42, 0.24]	[−0.35, 0.36]	[−0.35, −0.05]	[−0.73, −0.05]	[−1.13, −0.10]
	r*-gap	12	369	0.40	0.54*	0.47	−0.44**	−0.84**	−1.15**
				[−0.05, 0.88]	[0.06, 1.05]	[−0.04, 1.08]	[−0.64, −0.22]	[−1.29, −0.34]	[−2.00, −0.36]
Jarocinski-Karadi surprise	none	12	369	−0.29	−0.07	0.03	−0.21**	−0.44**	−0.68**
				[−0.60, 0.11]	[−0.42, 0.24]	[−0.35, 0.36]	[−0.35, −0.05]	[−0.72, −0.05]	[−1.13, −0.10]
	r*-gap	12	369	0.42*	0.56*	0.49	−0.45**	−0.85**	−1.17**
				[0.00, 0.88]	[0.05, 1.06]	[−0.04, 1.05]	[−0.64, −0.22]	[−1.29, −0.36]	[−2.01, −0.34]

Notes: Bauer-Swanson: orthogonalized surprise of Bauer and Swanson (2023), announcements through 2019. Jarocinski-Karadi: Nakamura-Steinsson surprise kept when the 2-year yield and the S&P 500 move in opposite directions in the window. The window impact and the bootstrap use the events with a surprise. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G12: Baseline: 1996 to the Present, All Data in, No Trend

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Nominal	none	3	369	−0.59**	−0.45**	−0.36**	0.11	0.08	0.05
				[−0.81, −0.29]	[−0.72, −0.13]	[−0.66, −0.04]	[−0.06, 0.28]	[−0.18, 0.35]	[−0.29, 0.44]
		6	369	−0.55**	−0.42**	−0.30*	0.07	0.01	−0.10
				[−0.80, −0.24]	[−0.67, −0.10]	[−0.59, 0.00]	[−0.11, 0.26]	[−0.31, 0.32]	[−0.52, 0.36]
		12	369	−0.81**	−0.49**	−0.31	0.09	0.02	−0.12
				[−1.20, −0.38]	[−0.82, −0.13]	[−0.69, 0.06]	[−0.11, 0.28]	[−0.33, 0.42]	[−0.61, 0.46]
	nominal	3	369	−0.02	0.07	0.05	−0.10	−0.27	−0.37
				[−0.33, 0.27]	[−0.32, 0.38]	[−0.32, 0.41]	[−0.31, 0.10]	[−0.59, 0.08]	[−0.81, 0.09]
		6	369	0.01	0.17	0.17	−0.14	−0.39	−0.60*
				[−0.29, 0.35]	[−0.19, 0.54]	[−0.22, 0.58]	[−0.34, 0.09]	[−0.77, 0.01]	[−1.15, −0.03]
		12	369	−0.05	0.16	0.22	−0.13	−0.43	−0.71
				[−0.50, 0.35]	[−0.24, 0.55]	[−0.20, 0.67]	[−0.33, 0.09]	[−0.80, 0.02]	[−1.22, 0.01]
Real	none	3	369	−0.34**	−0.33**	−0.29**	−0.05	−0.07	−0.09
				[−0.58, −0.14]	[−0.58, −0.08]	[−0.58, −0.05]	[−0.17, 0.11]	[−0.27, 0.21]	[−0.37, 0.32]
		6	369	−0.33**	−0.29*	−0.22	−0.01	−0.09	−0.19
				[−0.57, −0.12]	[−0.55, −0.03]	[−0.51, 0.03]	[−0.17, 0.15]	[−0.39, 0.20]	[−0.58, 0.26]
		12	369	−0.60**	−0.33*	−0.22	−0.03	−0.11	−0.21
				[−0.96, −0.27]	[−0.64, −0.07]	[−0.55, 0.05]	[−0.18, 0.14]	[−0.37, 0.21]	[−0.61, 0.28]
	real	3	369	0.12	0.06	0.00	−0.20*	−0.31	−0.37
				[−0.17, 0.37]	[−0.26, 0.36]	[−0.30, 0.31]	[−0.37, −0.01]	[−0.59, 0.01]	[−0.73, 0.05]
		6	369	0.14	0.19	0.14	−0.20*	−0.42**	−0.60**
				[−0.16, 0.41]	[−0.13, 0.55]	[−0.19, 0.53]	[−0.40, −0.02]	[−0.80, −0.08]	[−1.10, −0.11]
		12	369	0.09	0.23	0.21	−0.23**	−0.48**	−0.66**
				[−0.36, 0.43]	[−0.11, 0.61]	[−0.14, 0.62]	[−0.41, −0.06]	[−0.84, −0.12]	[−1.24, −0.10]
r*-gap	none	3	369	−0.17	−0.16	−0.14	−0.12	−0.15	−0.17
				[−0.44, 0.14]	[−0.45, 0.16]	[−0.42, 0.15]	[−0.27, 0.06]	[−0.43, 0.14]	[−0.54, 0.25]
		6	369	−0.09	−0.06	−0.01	−0.16	−0.35*	−0.53*
				[−0.38, 0.21]	[−0.43, 0.25]	[−0.37, 0.26]	[−0.33, 0.02]	[−0.68, 0.00]	[−1.02, −0.04]
		12	369	−0.29	−0.07	0.03	−0.21**	−0.44**	−0.69**
				[−0.60, 0.11]	[−0.42, 0.24]	[−0.35, 0.36]	[−0.35, −0.05]	[−0.73, −0.05]	[−1.13, −0.10]
	r*-gap	3	369	0.26	0.13	0.01	−0.20	−0.25	−0.27
				[−0.09, 0.63]	[−0.28, 0.49]	[−0.42, 0.40]	[−0.41, 0.04]	[−0.61, 0.16]	[−0.75, 0.26]
		6	369	0.34	0.36	0.26	−0.33**	−0.63**	−0.87**
				[−0.03, 0.65]	[−0.12, 0.71]	[−0.22, 0.65]	[−0.51, −0.11]	[−1.01, −0.16]	[−1.38, −0.18]
		12	369	0.34	0.50*	0.43	−0.42**	−0.81**	−1.11**
				[−0.05, 0.76]	[0.01, 0.95]	[−0.07, 0.99]	[−0.60, −0.20]	[−1.23, −0.33]	[−1.90, −0.35]

Notes: Nominal, real and r*-gap 2-year yield; the FCI is the matching index of Kiley (2026) in each case. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G13: Monthly Equations Start in 1973

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap	none	3	642	0.01	0.05	0.05	−0.09	−0.15	−0.20

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
				[−0.10, 0.15]	[−0.09, 0.21]	[−0.08, 0.21]	[−0.13, 0.18]	[−0.17, 0.46]	[−0.20, 0.77]
		6	639	0.00	0.03	0.03	−0.12	−0.31	−0.53
				[−0.11, 0.12]	[−0.11, 0.19]	[−0.12, 0.16]	[−0.22, 0.04]	[−0.49, 0.08]	[−0.78, 0.17]
		12	633	−0.05	−0.01	0.00	−0.22**	−0.50**	−0.79**
				[−0.20, 0.08]	[−0.17, 0.16]	[−0.16, 0.17]	[−0.33, −0.08]	[−0.73, −0.17]	[−1.17, −0.21]
	r*-gap	3	642	0.06	0.00	−0.04	−0.08	−0.16	−0.27
				[−0.15, 0.18]	[−0.29, 0.12]	[−0.32, 0.10]	[−0.15, 0.17]	[−0.29, 0.38]	[−0.51, 0.54]
		6	639	0.09	0.05	0.05	−0.14	−0.35	−0.61
				[−0.11, 0.23]	[−0.23, 0.22]	[−0.26, 0.21]	[−0.26, 0.04]	[−0.56, 0.08]	[−0.94, 0.10]
		12	633	0.18	0.14	0.13	−0.27**	−0.63**	−0.98**
				[−0.07, 0.38]	[−0.17, 0.36]	[−0.19, 0.35]	[−0.41, −0.10]	[−0.89, −0.22]	[−1.42, −0.26]

Notes: r*-gap only. Pre-1990 months use monthly series in place of the daily data; shocks are the 252 announcements of 1996 on. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G14: 2020 Dropped from All Equations, Start 1996

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap	none	3	359	0.13	0.22	0.26	−0.18*	−0.28	−0.35
				[−0.07, 0.29]	[−0.11, 0.47]	[−0.13, 0.53]	[−0.33, 0.00]	[−0.54, 0.05]	[−0.70, 0.12]
		6	359	0.04	0.05	0.07	−0.15	−0.30	−0.44
				[−0.16, 0.24]	[−0.24, 0.35]	[−0.27, 0.38]	[−0.29, 0.03]	[−0.56, 0.06]	[−0.81, 0.06]
		12	359	−0.10	−0.21	−0.25	−0.20**	−0.32	−0.44
				[−0.28, 0.10]	[−0.47, 0.08]	[−0.54, 0.11]	[−0.35, −0.03]	[−0.63, 0.03]	[−0.91, 0.06]
	r*-gap	3	359	0.37**	0.44**	0.39*	−0.22	−0.35	−0.47
				[0.14, 0.57]	[0.10, 0.75]	[0.01, 0.82]	[−0.42, 0.01]	[−0.70, 0.07]	[−0.94, 0.11]
		6	359	0.38**	0.44**	0.43	−0.30**	−0.57**	−0.80*
				[0.15, 0.56]	[0.07, 0.72]	[0.00, 0.75]	[−0.45, −0.08]	[−0.90, −0.09]	[−1.27, −0.08]
		12	359	0.41**	0.45**	0.40	−0.38**	−0.69**	−0.94**
				[0.17, 0.60]	[0.09, 0.77]	[−0.04, 0.87]	[−0.55, −0.16]	[−1.08, −0.21]	[−1.60, −0.16]

Notes: r*-gap only. March to December 2020 dropped from the monthly and the daily equations. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G15: 2020 Dropped from All Equations, Start 1973

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap	none	3	632	0.06	0.11	0.13	−0.11	−0.20	−0.27
				[−0.04, 0.16]	[−0.05, 0.25]	[−0.05, 0.30]	[−0.13, 0.15]	[−0.23, 0.40]	[−0.30, 0.64]
		6	629	0.11	0.10	0.05	−0.16	−0.39	−0.62
				[−0.01, 0.21]	[−0.08, 0.23]	[−0.12, 0.20]	[−0.26, 0.01]	[−0.56, 0.03]	[−0.86, 0.07]
		12	623	0.17**	0.15	0.05	−0.28**	−0.64**	−0.97**

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
				[0.04, 0.29]	[−0.03, 0.31]	[−0.14, 0.22]	[−0.37, −0.16]	[−0.83, −0.32]	[−1.27, −0.45]
	r*-gap	3	632	0.12	0.09	0.06	−0.09	−0.25	−0.48
				[−0.02, 0.18]	[−0.12, 0.19]	[−0.16, 0.18]	[−0.16, 0.16]	[−0.42, 0.29]	[−0.76, 0.31]
		6	629	0.27**	0.15	0.05	−0.20*	−0.49*	−0.80*
				[0.10, 0.36]	[−0.09, 0.27]	[−0.19, 0.19]	[−0.31, −0.01]	[−0.68, −0.03]	[−1.06, −0.06]
		12	623	0.33**	0.24	0.15	−0.32**	−0.76**	−1.14**
				[0.14, 0.46]	[−0.02, 0.40]	[−0.09, 0.35]	[−0.42, −0.16]	[−0.93, −0.36]	[−1.46, −0.50]

Notes: r*-gap only. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G16: Sample Ends in December 2019, Start 1996

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap	none	3	288	−0.06	−0.12	−0.14	−0.03	0.01	0.03
				[−0.29, 0.15]	[−0.46, 0.20]	[−0.56, 0.21]	[−0.12, 0.08]	[−0.16, 0.16]	[−0.18, 0.23]
		6	288	−0.09	−0.17	−0.19	0.00	0.01	0.02
				[−0.33, 0.13]	[−0.57, 0.22]	[−0.62, 0.24]	[−0.11, 0.11]	[−0.17, 0.17]	[−0.21, 0.23]
		12	288	−0.15	−0.24	−0.26	0.08	0.06	0.03
				[−0.37, 0.11]	[−0.62, 0.19]	[−0.75, 0.26]	[−0.05, 0.20]	[−0.10, 0.20]	[−0.17, 0.22]
	r*-gap	3	288	0.24	0.19	0.11	−0.11	−0.10	−0.08
				[−0.07, 0.54]	[−0.21, 0.64]	[−0.30, 0.62]	[−0.24, 0.02]	[−0.32, 0.10]	[−0.36, 0.16]
		6	288	0.23	0.10	0.02	−0.12	−0.10	−0.10
				[−0.06, 0.46]	[−0.31, 0.48]	[−0.36, 0.47]	[−0.26, 0.04]	[−0.35, 0.14]	[−0.40, 0.18]
		12	288	0.30*	0.13	0.00	−0.08	−0.14	−0.21
				[0.04, 0.55]	[−0.30, 0.49]	[−0.48, 0.42]	[−0.23, 0.08]	[−0.38, 0.09]	[−0.53, 0.09]

Notes: r*-gap only. All equations, monthly and daily. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G17: Sample Ends in December 2019, Start 1973

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap	none	3	561	0.03	0.05	0.06	−0.04	−0.06	−0.07
				[−0.08, 0.13]	[−0.09, 0.19]	[−0.08, 0.21]	[−0.07, 0.23]	[−0.08, 0.56]	[−0.10, 0.85]
		6	558	0.11	0.09	0.04	−0.10	−0.26	−0.44
				[−0.02, 0.20]	[−0.09, 0.22]	[−0.15, 0.18]	[−0.18, 0.07]	[−0.40, 0.20]	[−0.68, 0.31]
		12	552	0.19**	0.18	0.08	−0.21**	−0.49**	−0.82**
				[0.06, 0.31]	[−0.04, 0.32]	[−0.17, 0.25]	[−0.31, −0.06]	[−0.69, −0.15]	[−1.20, −0.25]
	r*-gap	3	561	0.04	−0.02	−0.04	−0.02	−0.13	−0.32
				[−0.11, 0.11]	[−0.22, 0.11]	[−0.26, 0.10]	[−0.07, 0.20]	[−0.30, 0.30]	[−0.63, 0.31]
		6	558	0.21*	0.04	−0.02	−0.12	−0.32	−0.56
				[0.01, 0.30]	[−0.22, 0.14]	[−0.27, 0.10]	[−0.21, 0.07]	[−0.48, 0.07]	[−0.82, 0.07]

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
		12	552	0.27**	0.16	0.09	−0.22**	−0.50**	−0.84**
				[0.06, 0.41]	[−0.16, 0.35]	[−0.23, 0.28]	[−0.33, −0.06]	[−0.70, −0.16]	[−1.19, −0.23]

Notes: r*-gap only. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G18: Kiley r*, Start 1996

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap (Kiley)	none	3	369	−0.33**	−0.35**	−0.31**	−0.06	−0.04	−0.03
				[−0.57, −0.10]	[−0.61, −0.09]	[−0.59, −0.05]	[−0.21, 0.10]	[−0.32, 0.24]	[−0.41, 0.36]
		6	369	−0.28**	−0.28*	−0.23	−0.07	−0.12	−0.19
				[−0.57, −0.07]	[−0.56, −0.02]	[−0.53, 0.03]	[−0.21, 0.10]	[−0.37, 0.17]	[−0.58, 0.24]
		12	369	−0.53**	−0.32*	−0.23	−0.09	−0.10	−0.13
				[−0.86, −0.12]	[−0.62, −0.07]	[−0.55, 0.04]	[−0.24, 0.06]	[−0.37, 0.22]	[−0.55, 0.34]
	r*-gap (Kiley)	3	369	0.15	−0.06	−0.14	−0.10	−0.07	−0.07
				[−0.18, 0.43]	[−0.33, 0.23]	[−0.37, 0.12]	[−0.33, 0.11]	[−0.43, 0.20]	[−0.48, 0.25]
		6	369	0.34*	0.15	0.00	−0.21*	−0.27	−0.33
				[0.03, 0.66]	[−0.18, 0.50]	[−0.27, 0.32]	[−0.40, −0.01]	[−0.68, 0.08]	[−0.94, 0.12]
		12	369	0.39	0.28	−0.01	−0.25**	−0.18	−0.03
				[−0.03, 0.79]	[−0.12, 0.69]	[−0.48, 0.36]	[−0.45, −0.05]	[−0.59, 0.21]	[−0.55, 0.56]

Notes: 2-year minus expected inflation minus Kiley's r*; the FCI is the index of Kiley (2026) built with Kiley's r* (same adjustment in rate and FCI). Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G19: Kiley r*, Start 1973

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap (Kiley)	none	3	642	−0.02	0.00	0.00	−0.04	−0.02	0.01*
				[−0.12, 0.09]	[−0.12, 0.12]	[−0.10, 0.11]	[−0.06, 0.20]	[−0.03, 0.49]	[0.01, 0.78]
		6	639	−0.04	−0.01	−0.01	−0.07	−0.17	−0.28
				[−0.15, 0.07]	[−0.14, 0.12]	[−0.12, 0.12]	[−0.16, 0.09]	[−0.32, 0.21]	[−0.50, 0.36]
		12	633	−0.11	−0.05	−0.03	−0.18**	−0.35**	−0.50*
				[−0.24, 0.02]	[−0.19, 0.07]	[−0.17, 0.10]	[−0.26, −0.04]	[−0.52, −0.07]	[−0.79, −0.04]
	r*-gap (Kiley)	3	642	−0.07	−0.11*	−0.11	−0.05	−0.11	−0.18
				[−0.22, 0.02]	[−0.28, −0.01]	[−0.26, 0.00]	[−0.11, 0.12]	[−0.26, 0.25]	[−0.41, 0.31]
		6	639	−0.06	−0.09	−0.07	−0.08	−0.18	−0.30
				[−0.24, 0.05]	[−0.29, 0.05]	[−0.28, 0.05]	[−0.16, 0.08]	[−0.35, 0.13]	[−0.60, 0.20]
		12	633	0.00	−0.04	−0.03	−0.20**	−0.37**	−0.50**
				[−0.18, 0.17]	[−0.24, 0.11]	[−0.21, 0.11]	[−0.28, −0.07]	[−0.55, −0.11]	[−0.79, −0.07]

Notes: As 2a. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G20: Real 2-Year and Real FCI with a Cubic Spline Trend, Start 1996

			Unemployment gap (pp)			Price level (%)		
Case FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Real none	3	369	−0.44**	−0.40**	−0.34**	−0.07	−0.14	−0.21
			[−0.71, −0.17]	[−0.69, −0.10]	[−0.69, −0.06]	[−0.24, 0.08]	[−0.45, 0.12]	[−0.62, 0.19]
	6	369	−0.44**	−0.34**	−0.24	−0.03	−0.21	−0.41
			[−0.77, −0.20]	[−0.67, −0.05]	[−0.62, 0.01]	[−0.16, 0.13]	[−0.49, 0.11]	[−0.76, 0.08]
	12	369	−0.64**	−0.34*	−0.20	0.03	−0.06	−0.21
			[−1.02, −0.27]	[−0.70, −0.01]	[−0.55, 0.10]	[−0.13, 0.20]	[−0.33, 0.26]	[−0.61, 0.26]
real	3	369	0.00	−0.03	−0.05	−0.17	−0.29	−0.36
			[−0.40, 0.28]	[−0.41, 0.22]	[−0.40, 0.17]	[−0.35, 0.03]	[−0.59, 0.05]	[−0.76, 0.06]
	6	369	0.11	0.20	0.15	−0.20*	−0.49**	−0.68**
			[−0.33, 0.42]	[−0.25, 0.46]	[−0.23, 0.38]	[−0.38, 0.00]	[−0.78, −0.10]	[−1.05, −0.15]
	12	369	0.19	0.28	0.17	−0.14	−0.25	−0.27
			[−0.24, 0.55]	[−0.20, 0.66]	[−0.25, 0.52]	[−0.30, 0.07]	[−0.66, 0.15]	[−0.91, 0.26]

Notes: No r* measure: the trend is a natural cubic spline in time (knots at the sample ends and at the NBER business-cycle peaks inside the sample), estimated in every monthly equation. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G21: Real 2-Year and Real FCI with a Cubic Spline Trend, Start 1973

			Unemployment gap (pp)			Price level (%)		
Case FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Real none	3	642	0.01	0.04	0.04	−0.11*	−0.22**	−0.29**
			[−0.15, 0.16]	[−0.14, 0.19]	[−0.11, 0.15]	[−0.21, −0.01]	[−0.38, −0.03]	[−0.51, −0.05]
	6	639	0.01	0.06	0.06	−0.11	−0.31**	−0.47**
			[−0.13, 0.19]	[−0.10, 0.24]	[−0.09, 0.17]	[−0.19, 0.00]	[−0.45, −0.07]	[−0.66, −0.12]
	12	633	−0.10	0.08	0.11	−0.09	−0.25**	−0.38**
			[−0.26, 0.04]	[−0.15, 0.28]	[−0.12, 0.25]	[−0.17, 0.01]	[−0.41, −0.04]	[−0.61, −0.07]
real	3	642	0.22	0.15	0.06	−0.17**	−0.31**	−0.38**
			[−0.01, 0.42]	[−0.10, 0.40]	[−0.16, 0.32]	[−0.30, −0.04]	[−0.51, −0.09]	[−0.65, −0.10]
	6	639	0.23**	0.21	0.11	−0.17**	−0.43**	−0.61**
			[0.04, 0.42]	[−0.04, 0.43]	[−0.12, 0.33]	[−0.27, −0.03]	[−0.61, −0.13]	[−0.85, −0.20]
	12	633	0.18	0.18	0.11	−0.17**	−0.39**	−0.53**
			[−0.03, 0.39]	[−0.11, 0.42]	[−0.17, 0.31]	[−0.26, −0.04]	[−0.59, −0.14]	[−0.79, −0.17]

Notes: As 2c; knots at the NBER peaks of 1973, 1980, 1981, 1990, 2001, 2007 and 2020. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G22: Excess Bond Premium as a Third Monthly Variable, Start 1996

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap	none	3	369	−0.11	−0.14	−0.14	−0.14	−0.17	−0.19
				[−0.40, 0.19]	[−0.43, 0.18]	[−0.41, 0.13]	[−0.28, 0.02]	[−0.43, 0.14]	[−0.52, 0.25]
		6	369	0.02	−0.05	−0.09	−0.19**	−0.36*	−0.53*
				[−0.24, 0.29]	[−0.36, 0.22]	[−0.42, 0.17]	[−0.34, −0.03]	[−0.66, −0.05]	[−0.95, −0.04]
		12	369	−0.08	0.08	0.16	−0.27**	−0.53**	−0.78**
				[−0.40, 0.25]	[−0.27, 0.36]	[−0.18, 0.44]	[−0.39, −0.08]	[−0.80, −0.17]	[−1.21, −0.24]
	r*-gap	3	369	0.19	0.03	−0.14	−0.18	−0.20	−0.19
				[−0.12, 0.50]	[−0.38, 0.38]	[−0.53, 0.26]	[−0.39, 0.03]	[−0.53, 0.23]	[−0.59, 0.36]
		6	369	0.31	0.22	0.04	−0.29**	−0.55**	−0.76**
				[−0.02, 0.61]	[−0.20, 0.59]	[−0.40, 0.44]	[−0.47, −0.09]	[−0.90, −0.12]	[−1.33, −0.14]
		12	369	0.27	0.52*	0.42	−0.39**	−0.78**	−1.10**
				[−0.17, 0.63]	[0.04, 0.99]	[−0.10, 1.03]	[−0.56, −0.17]	[−1.24, −0.31]	[−1.93, −0.32]

Notes: r*-gap. Monthly system u, inflation, EBP (EBP treated like u and inflation; responses shown for u and the price level). Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G23: Excess Bond Premium as a Third Monthly Variable, Start 1973

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap	none	3	642	0.00	0.04	0.04	−0.09	−0.15	−0.19
				[−0.10, 0.12]	[−0.09, 0.16]	[−0.07, 0.15]	[−0.12, 0.16]	[−0.16, 0.43]	[−0.20, 0.71]
		6	639	0.01	0.03	0.01	−0.12	−0.31	−0.51
				[−0.11, 0.10]	[−0.12, 0.13]	[−0.13, 0.11]	[−0.21, 0.04]	[−0.44, 0.10]	[−0.70, 0.19]
		12	633	−0.03	−0.01	0.01	−0.22**	−0.50**	−0.78**
				[−0.17, 0.09]	[−0.17, 0.12]	[−0.15, 0.15]	[−0.31, −0.07]	[−0.67, −0.16]	[−1.10, −0.24]
	r*-gap	3	642	0.03	0.01	−0.02	−0.10	−0.20	−0.33
				[−0.14, 0.11]	[−0.24, 0.14]	[−0.24, 0.13]	[−0.15, 0.15]	[−0.29, 0.33]	[−0.53, 0.53]
		6	639	0.04	0.02	0.00	−0.12	−0.32	−0.58
				[−0.13, 0.14]	[−0.22, 0.16]	[−0.23, 0.14]	[−0.21, 0.08]	[−0.48, 0.12]	[−0.82, 0.18]
		12	633	0.06	0.03	0.04	−0.24**	−0.57**	−0.89**
				[−0.14, 0.23]	[−0.18, 0.24]	[−0.15, 0.23]	[−0.35, −0.06]	[−0.77, −0.16]	[−1.22, −0.22]

Notes: As 3a. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G24: Daily Baa-10-Year Spread in the Daily Block, Start 1996

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap	none	3	369	−0.17	−0.16	−0.14	−0.12	−0.15	−0.17
				[−0.44, 0.14]	[−0.45, 0.16]	[−0.42, 0.15]	[−0.27, 0.06]	[−0.43, 0.14]	[−0.54, 0.25]
		6	369	−0.09	−0.06	−0.01	−0.16	−0.35*	−0.53*

Case	FCI	Lags	Obs	Unemployment gap (pp) 12 m	24 m	36 m	Price level (%) 12 m	24 m	36 m
				[−0.38, 0.21]	[−0.43, 0.25]	[−0.37, 0.26]	[−0.33, 0.02]	[−0.68, 0.00]	[−1.02, −0.04]
		12	369	−0.29	−0.07	0.03	−0.21**	−0.44**	−0.69**
				[−0.60, 0.11]	[−0.42, 0.24]	[−0.35, 0.36]	[−0.35, −0.05]	[−0.73, −0.05]	[−1.13, −0.10]
	r*-gap + Baa spread	3	369	0.22	0.07	−0.11	−0.15	−0.17	−0.16
				[−0.17, 0.60]	[−0.40, 0.45]	[−0.56, 0.32]	[−0.38, 0.14]	[−0.54, 0.30]	[−0.66, 0.46]
		6	369	0.26	0.21	0.05	−0.26*	−0.52*	−0.73*
				[−0.18, 0.61]	[−0.23, 0.64]	[−0.42, 0.47]	[−0.45, 0.00]	[−0.90, −0.02]	[−1.27, −0.04]
		12	369	0.18	0.33	0.18	−0.32**	−0.69**	−0.97**
				[−0.32, 0.58]	[−0.17, 0.77]	[−0.33, 0.74]	[−0.52, −0.06]	[−1.11, −0.23]	[−1.70, −0.27]

Notes: r*-gap. The daily Baa-10-year Treasury spread enters the daily block next to the 2-year yield and the FCI, and its lagged monthly average enters the monthly equations; its impact is its announcement-day change on the surprise (no intraday series). Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G25: the FCI Replaced by Its Three Weighted Components

Case	FCI	Lags	Obs	Unemployment gap (pp) 12 m	24 m	36 m	Price level (%) 12 m	24 m	36 m
Nominal	components	3	369	−0.08	−0.04	−0.04	0.07	0.11	0.09
				[−0.47, 0.27]	[−0.42, 0.32]	[−0.41, 0.36]	[−0.17, 0.28]	[−0.30, 0.48]	[−0.41, 0.61]
		6	369	0.08	0.23	0.12	−0.11	−0.20	−0.26
				[−0.32, 0.47]	[−0.23, 0.69]	[−0.28, 0.66]	[−0.35, 0.14]	[−0.64, 0.22]	[−0.87, 0.32]
		12	369	0.03	0.25	0.09	0.03	0.21	0.42
				[−0.55, 0.48]	[−0.29, 0.83]	[−0.52, 0.93]	[−0.19, 0.27]	[−0.23, 0.66]	[−0.25, 1.02]
Real	components	3	369	0.09	−0.01	−0.06	−0.03	0.00	−0.02
				[−0.22, 0.38]	[−0.29, 0.23]	[−0.34, 0.25]	[−0.21, 0.15]	[−0.30, 0.30]	[−0.38, 0.36]
		6	369	0.25	0.21	0.01	−0.11	−0.14	−0.14
				[−0.10, 0.54]	[−0.14, 0.59]	[−0.32, 0.46]	[−0.29, 0.08]	[−0.50, 0.19]	[−0.64, 0.27]
		12	369	0.17	0.29	−0.03	−0.06	0.14	0.41
				[−0.38, 0.52]	[−0.19, 0.75]	[−0.53, 0.63]	[−0.23, 0.13]	[−0.27, 0.48]	[−0.21, 0.92]
r*-gap	components	3	369	0.05	−0.10	−0.16	0.06	0.23	0.29
				[−0.26, 0.36]	[−0.39, 0.21]	[−0.46, 0.18]	[−0.12, 0.28]	[−0.14, 0.58]	[−0.20, 0.75]
		6	369	0.23	0.12	−0.05	−0.13	−0.10	−0.07
				[−0.16, 0.52]	[−0.26, 0.43]	[−0.41, 0.34]	[−0.28, 0.10]	[−0.43, 0.34]	[−0.56, 0.53]
		12	369	0.20	0.22	−0.09	−0.14	0.06	0.35
				[−0.31, 0.65]	[−0.26, 0.67]	[−0.67, 0.45]	[−0.29, 0.04]	[−0.25, 0.43]	[−0.25, 0.87]

Notes: The 10-year yield, equity valuation and the real dollar, each multiplied by its weight, enter the daily and monthly equations separately, in the same version as the 2-year yield; each has its own window impact. Replaces the FCI, so the same step without the FCI is the baseline row. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G26: the Components with Common Daily Dynamics, 1996 and 1973 Starts

				Unemployment gap (pp)			Price level (%)		
Case	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Nominal	index	3	369	−0.04	0.10	0.09	−0.10	−0.31	−0.46
				[−0.38, 0.29]	[−0.31, 0.47]	[−0.30, 0.52]	[−0.34, 0.11]	[−0.68, 0.07]	[−0.93, 0.08]
		6	369	−0.01	0.21	0.23	−0.15	−0.45	−0.72*
				[−0.36, 0.38]	[−0.18, 0.63]	[−0.20, 0.72]	[−0.39, 0.10]	[−0.93, 0.01]	[−1.34, −0.06]
		12	369	−0.09	0.20	0.29	−0.14	−0.50	−0.85*
				[−0.56, 0.36]	[−0.24, 0.66]	[−0.17, 0.80]	[−0.37, 0.11]	[−0.91, 0.01]	[−1.48, −0.11]
	equities free	3	369	−0.05	0.07	0.06	−0.09	−0.28	−0.41
				[−0.38, 0.26]	[−0.30, 0.43]	[−0.30, 0.46]	[−0.31, 0.12]	[−0.62, 0.06]	[−0.86, 0.08]
		6	369	−0.05	0.19	0.18	−0.13	−0.41	−0.64
				[−0.37, 0.29]	[−0.19, 0.58]	[−0.24, 0.58]	[−0.37, 0.13]	[−0.85, 0.04]	[−1.27, 0.01]
		12	369	−0.18	0.14	0.22	−0.10	−0.39	−0.70
				[−0.67, 0.24]	[−0.30, 0.56]	[−0.25, 0.72]	[−0.28, 0.16]	[−0.80, 0.13]	[−1.34, 0.09]
	index	3	642	0.11	0.10	0.05	0.20**	0.57**	0.95**
				[−0.12, 0.28]	[−0.20, 0.32]	[−0.31, 0.34]	[0.13, 0.51]	[0.47, 1.20]	[0.76, 1.90]
		6	639	0.02	0.07	0.07	0.07	0.23*	0.42*
				[−0.26, 0.18]	[−0.25, 0.29]	[−0.28, 0.31]	[−0.08, 0.35]	[0.01, 0.87]	[0.09, 1.47]
		12	633	0.05	0.03	0.01	−0.01	0.01	0.07
				[−0.32, 0.32]	[−0.32, 0.27]	[−0.37, 0.24]	[−0.18, 0.23]	[−0.30, 0.56]	[−0.38, 0.96]
	equities free	3	642	−0.17	−0.20	−0.22	0.18**	0.48**	0.80**
				[−0.49, 0.02]	[−0.63, 0.10]	[−0.70, 0.17]	[0.06, 0.51]	[0.25, 1.20]	[0.43, 1.91]
		6	639	−0.26**	−0.18	−0.15	0.09	0.24	0.43
				[−0.61, −0.06]	[−0.58, 0.10]	[−0.65, 0.21]	[−0.10, 0.38]	[−0.12, 0.95]	[−0.15, 1.64]
		12	633	−0.36*	−0.24	−0.17	0.04	0.11	0.19
				[−0.78, −0.04]	[−0.73, 0.08]	[−0.74, 0.24]	[−0.17, 0.32]	[−0.29, 0.78]	[−0.48, 1.35]
Real	index	3	369	0.15	0.10	0.03	−0.21*	−0.35	−0.41
				[−0.13, 0.41]	[−0.19, 0.40]	[−0.26, 0.41]	[−0.40, −0.01]	[−0.65, 0.01]	[−0.81, 0.02]
		6	369	0.17	0.24	0.17	−0.22*	−0.47**	−0.66**
				[−0.13, 0.46]	[−0.09, 0.62]	[−0.17, 0.54]	[−0.42, −0.02]	[−0.84, −0.10]	[−1.16, −0.13]
		12	369	0.12	0.28	0.23	−0.25**	−0.53**	−0.72**
				[−0.34, 0.48]	[−0.08, 0.68]	[−0.13, 0.68]	[−0.42, −0.06]	[−0.93, −0.14]	[−1.34, −0.14]
	equities free	3	369	0.07	0.03	−0.02	−0.15	−0.24	−0.28
				[−0.19, 0.34]	[−0.25, 0.31]	[−0.30, 0.27]	[−0.33, 0.04]	[−0.53, 0.09]	[−0.69, 0.14]
		6	369	0.08	0.16	0.09	−0.14	−0.31	−0.43
				[−0.22, 0.36]	[−0.18, 0.47]	[−0.24, 0.44]	[−0.32, 0.06]	[−0.64, 0.07]	[−0.94, 0.13]
		12	369	−0.07	0.16	0.15	−0.15	−0.34	−0.49
				[−0.54, 0.29]	[−0.24, 0.52]	[−0.24, 0.58]	[−0.32, 0.07]	[−0.70, 0.08]	[−1.05, 0.17]
	index	3	642	0.21	0.11	0.02	0.08**	0.32**	0.49**
				[−0.05, 0.33]	[−0.20, 0.30]	[−0.28, 0.27]	[0.08, 0.43]	[0.33, 1.08]	[0.36, 1.63]
		6	639	0.16	0.15	0.09	−0.10	−0.12	−0.10
				[−0.11, 0.24]	[−0.17, 0.26]	[−0.22, 0.23]	[−0.20, 0.16]	[−0.22, 0.49]	[−0.20, 0.93]
		12	633	0.24	0.12	0.05	−0.26**	−0.45*	−0.57
				[−0.07, 0.46]	[−0.19, 0.27]	[−0.24, 0.21]	[−0.41, −0.06]	[−0.71, −0.03]	[−0.92, 0.11]
	equities free	3	642	−0.05	−0.15	−0.20	0.16**	0.52**	0.85**
				[−0.38, 0.09]	[−0.57, 0.08]	[−0.70, 0.11]	[0.11, 0.55]	[0.41, 1.35]	[0.51, 2.18]
		6	639	−0.11	−0.09	−0.09	−0.02	0.05	0.17
				[−0.47, 0.03]	[−0.52, 0.08]	[−0.60, 0.11]	[−0.16, 0.26]	[−0.18, 0.80]	[−0.17, 1.45]
		12	633	−0.23	−0.18	−0.14	−0.13	−0.19	−0.22
				[−0.61, 0.04]	[−0.63, 0.07]	[−0.64, 0.11]	[−0.33, 0.11]	[−0.53, 0.40]	[−0.76, 0.82]
r*-gap	index	3	369	0.24	0.10	−0.03	−0.18	−0.22	−0.24
				[−0.06, 0.55]	[−0.23, 0.41]	[−0.34, 0.32]	[−0.37, 0.03]	[−0.54, 0.14]	[−0.65, 0.22]

Case	FCI	Lags	Obs	Unemployment gap (pp)			Price level (%)		
				12 m	24 m	36 m	12 m	24 m	36 m
		6	369	0.32	0.29	0.17	−0.30**	−0.56**	−0.76**
				[−0.01, 0.60]	[−0.09, 0.65]	[−0.23, 0.55]	[−0.48, −0.10]	[−0.92, −0.15]	[−1.28, −0.18]
		12	369	0.30	0.40*	0.30	−0.38**	−0.72**	−0.97**
				[−0.09, 0.68]	[0.03, 0.86]	[−0.12, 0.84]	[−0.55, −0.19]	[−1.11, −0.31]	[−1.62, −0.32]
	equities free	3	369	0.13	0.00	−0.11	−0.09	−0.04	0.00
				[−0.16, 0.45]	[−0.30, 0.30]	[−0.38, 0.22]	[−0.27, 0.14]	[−0.38, 0.37]	[−0.45, 0.52]
		6	369	0.22	0.20	0.08	−0.22	−0.39	−0.51
				[−0.12, 0.51]	[−0.17, 0.50]	[−0.28, 0.40]	[−0.38, 0.00]	[−0.74, 0.07]	[−1.04, 0.15]
		12	369	0.17	0.33	0.22	−0.29**	−0.52**	−0.66*
				[−0.30, 0.56]	[−0.06, 0.71]	[−0.21, 0.69]	[−0.45, −0.08]	[−0.89, −0.09]	[−1.29, −0.02]
	index	3	642	0.34*	0.20	0.04	−0.01	0.20**	0.29**
				[0.03, 0.50]	[−0.21, 0.45]	[−0.31, 0.35]	[0.00, 0.40]	[0.28, 1.02]	[0.17, 1.57]
		6	639	0.34**	0.26	0.13	−0.22	−0.30	−0.38
				[0.07, 0.52]	[−0.06, 0.49]	[−0.18, 0.35]	[−0.32, 0.04]	[−0.44, 0.35]	[−0.58, 0.67]
		12	633	0.41*	0.26	0.12	−0.37**	−0.65**	−0.86**
				[0.06, 0.67]	[−0.09, 0.52]	[−0.18, 0.36]	[−0.53, −0.16]	[−0.97, −0.17]	[−1.42, −0.11]
	equities free	3	642	0.14	−0.01	−0.14	0.04	0.36**	0.60**
				[−0.24, 0.33]	[−0.50, 0.22]	[−0.61, 0.16]	[−0.01, 0.48]	[0.26, 1.36]	[0.24, 2.05]
		6	639	0.15	0.13	0.05	−0.19	−0.28	−0.37
				[−0.19, 0.35]	[−0.25, 0.34]	[−0.33, 0.25]	[−0.30, 0.10]	[−0.48, 0.47]	[−0.77, 0.89]
		12	633	0.09	0.15	0.12	−0.32**	−0.60	−0.88
				[−0.37, 0.44]	[−0.31, 0.43]	[−0.30, 0.45]	[−0.52, −0.07]	[−0.98, 0.02]	[−1.47, 0.19]

Notes: The daily block is that of the three components in all three versions, so the versions differ only in the monthly equations: one variable (the FCI built from the components), equities separately with the 10-year yield and the dollar as one variable, or all three separately. Per +1 pp on the 2-year yield. ** and *: significant at the 5 and 10 percent levels (the 95% and 90% bootstrap intervals exclude zero); 90% intervals in brackets. Obs = monthly observations in the equations.

Table G27: Tests of the Proportional-Weights Restriction

	Three components equal		Yield and dollar equal, equities free		Equities equal to yield and dollar	
Version	Unemployment	Inflation	Unemployment	Inflation	Unemployment	Inflation
Nominal	0.984	0.053	0.821	0.024	0.978	0.142
Real	0.996	0.041	0.966	0.073	0.960	0.143
r*-gap	0.399	0.013	0.425	0.057	0.216	0.055
Nominal, start 1973	0.930	0.539	0.671	0.242	0.667	0.740
Real, start 1973	0.886	0.232	0.546	0.212	0.718	0.404
r*-gap, start 1973	0.408	0.374	0.134	0.561	0.358	0.371

Notes: Bootstrap p-values of Wald statistics (heteroskedasticity-robust) for the restriction that the coefficients on the weighted components are equal at each lag of the monthly equation, 12 lags: the three components (24 restrictions); the 10-year yield and the dollar with equities free (12); equities and the yield-dollar variable, the yield and dollar being equal (12). Residuals are resampled in moving blocks of 12 months under the restricted equation, 999 draws. Wald statistics and 3 and 6 lags are in Appendix Table G28.

Table G28: Weights Tests: Wald Statistics and Bootstrap p-Values by Lag Length

		Three equal		Yield = dollar		Equities = rest	
Version, start	Lags	U	Inflation	U	Inflation	U	Inflation
Nominal, 1996	12	8.9 (0.984)	41.9 (0.053)	6.1 (0.821)	24.9 (0.024)	4.0 (0.978)	18.9 (0.142)
Nominal, 1996	6	6.7 (0.874)	23.4 (0.035)	4.0 (0.726)	13.0 (0.059)	4.1 (0.670)	12.0 (0.082)
Nominal, 1996	3	6.8 (0.469)	19.7 (0.011)	2.4 (0.579)	11.2 (0.022)	5.5 (0.204)	10.8 (0.031)
Real, 1996	12	7.0 (0.996)	42.9 (0.041)	4.1 (0.966)	22.1 (0.073)	4.4 (0.960)	18.9 (0.143)
Real, 1996	6	5.9 (0.912)	21.6 (0.055)	3.8 (0.714)	13.0 (0.048)	4.1 (0.668)	10.3 (0.137)
Real, 1996	3	7.9 (0.362)	18.8 (0.013)	3.7 (0.339)	10.0 (0.032)	5.6 (0.181)	10.2 (0.033)
r*-gap, 1996	12	21.7 (0.399)	53.9 (0.013)	9.9 (0.425)	22.9 (0.057)	13.9 (0.216)	22.6 (0.055)
r*-gap, 1996	6	16.4 (0.236)	23.6 (0.050)	11.3 (0.120)	11.0 (0.094)	5.2 (0.521)	11.5 (0.087)
r*-gap, 1996	3	11.6 (0.201)	17.8 (0.017)	4.3 (0.302)	9.0 (0.045)	5.6 (0.171)	9.8 (0.040)
Nominal, 1973	12	24.5 (0.930)	26.0 (0.539)	9.0 (0.671)	15.6 (0.242)	20.0 (0.667)	9.3 (0.740)
Nominal, 1973	6	11.0 (0.984)	12.9 (0.495)	2.7 (0.907)	7.5 (0.299)	10.1 (0.785)	1.9 (0.929)
Nominal, 1973	3	9.6 (0.941)	13.8 (0.085)	2.3 (0.643)	7.8 (0.044)	9.6 (0.636)	0.9 (0.868)
Real, 1973	12	22.2 (0.886)	32.4 (0.232)	10.7 (0.546)	16.6 (0.212)	14.9 (0.718)	13.3 (0.404)
Real, 1973	6	8.5 (0.990)	12.3 (0.568)	4.1 (0.710)	7.2 (0.358)	6.2 (0.858)	3.2 (0.795)
Real, 1973	3	6.9 (0.950)	8.2 (0.473)	4.0 (0.358)	5.6 (0.115)	5.8 (0.662)	1.2 (0.800)
r*-gap, 1973	12	33.4 (0.408)	27.9 (0.374)	17.6 (0.134)	11.0 (0.561)	18.5 (0.358)	14.4 (0.371)
r*-gap, 1973	6	20.3 (0.622)	9.2 (0.752)	11.4 (0.156)	4.4 (0.626)	6.9 (0.717)	3.5 (0.766)
r*-gap, 1973	3	13.2 (0.713)	5.6 (0.609)	5.1 (0.272)	3.5 (0.292)	6.1 (0.480)	1.0 (0.800)

Notes: Wald statistic with the bootstrap p-value in parentheses; U = unemployment gap equation. Tests as in Table G27.

Table G29: Standard Methods with Other Samples and the Federal Funds Rate

			Unemployment gap (pp)			Price level (%)		
Method	Sample	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Cholesky, 2-year yield	1996–2026	369	−0.95*	−0.66*	−0.36	0.13	0.07	−0.10
			[−1.50, −0.40]	[−1.10, −0.12]	[−0.75, 0.21]	[−0.12, 0.36]	[−0.40, 0.52]	[−0.72, 0.56]
Cholesky, 2-year yield	1984–2026	513	−0.61*	−0.36*	−0.16	0.11	0.15	0.13
			[−0.99, −0.20]	[−0.59, −0.05]	[−0.37, 0.16]	[−0.06, 0.29]	[−0.16, 0.45]	[−0.30, 0.51]
Cholesky, federal funds rate	1984–2007	288	−0.04	−0.02	0.00	−0.01	−0.01	0.00
			[−0.09, 0.00]	[−0.06, 0.02]	[−0.03, 0.03]	[−0.08, 0.03]	[−0.11, 0.07]	[−0.12, 0.10]
Proxy VAR, 2-year yield	1996–2026	369	−0.91*	−0.61*	−0.32	0.03	−0.08	−0.26
			[−1.37, −0.42]	[−1.08, −0.05]	[−0.71, 0.17]	[−1.20, 0.97]	[−1.83, 1.25]	[−2.27, 1.25]

Notes: Monthly data, 12 lags, constant, no trend; unemployment gap, core PCE inflation and the end-of-month policy rate (the 2-year Treasury yield, or the effective federal funds rate where stated), policy rate ordered last in the Cholesky VARs; price level = cumulated inflation/12. Proxy VAR: Nakamura–Steinsson policy news summed within the month as instrument; first-stage $F = 4.5$. Unit: +1 pp on the policy rate on impact. Brackets: 90% intervals (residual bootstrap for the Cholesky VARs; exact Anderson–Rubin sets for the proxy VAR). * = excludes zero.

Table G30: Standard Methods with a Commodity Price Index in the First Block

			Unemployment gap (pp)			Price level (%)		
Method	Sample	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Cholesky + commodity prices, 2-year yield	1996–2026	369	−0.81*	−0.44	−0.13	0.11	0.06	−0.05
			[−1.24, −0.28]	[−0.83, 0.03]	[−0.45, 0.34]	[−0.12, 0.35]	[−0.36, 0.48]	[−0.64, 0.49]
Cholesky + commodity prices, federal funds rate	1984–2007	288	−0.03	−0.02	−0.01	−0.02	−0.04	−0.04
			[−0.07, 0.01]	[−0.06, 0.03]	[−0.04, 0.04]	[−0.09, 0.02]	[−0.13, 0.05]	[−0.15, 0.07]

Notes: Monthly data, 12 lags, constant, no trend; unemployment gap, core PCE inflation and the end-of-month policy rate (the 2-year Treasury yield, or the effective federal funds rate where stated), policy rate ordered last in the Cholesky VARs; price level = cumulated inflation/12. The log PPI for all commodities (monthly average) is added to the system and ordered before the policy rate. Unit: +1 pp on the policy rate on impact. Brackets: 90% intervals (residual bootstrap for the Cholesky VARs; exact Anderson–Rubin sets for the proxy VAR). * = excludes zero.

Table G31: Monthly Proxy VAR: First-Stage Strength and Impact on the FCI

2-year	FCI	F (3 lags)	F (6)	F (12)	Proxy impact on FCI	Model impact on FCI
Nominal	none	5.0	4.6	4.5		
	nominal	2.7	2.1	1.6	1.73	1.13
Real	none	9.0	7.3	6.9		
	real	6.0	4.2	3.0	1.50	1.03
r*-gap	none	9.1	8.2	8.0		
	r*-gap	8.4	6.7	4.4	1.44	1.03

Notes: F: robust first-stage statistic of the policy-variable residual on the instrument (instrument months only, 1996–2026). Impact on FCI: end-of-month response of the FCI per +1 pp on the end-of-month 2-year yield, estimated from monthly residuals (proxy VAR, 12 lags) and implied by the daily model.

Table G32: Monthly VAR Benchmark (12 Lags)

					Unemployment gap (pp)			Price level (%)		
2-year	FCI	Identification	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Nominal	none	Proxy VAR	12	369	−0.91*	−0.61*	−0.32	0.03	−0.08	−0.26
					[−1.37, −0.42]	[−1.08, −0.05]	[−0.71, 0.17]	[−1.20, 0.97]	[−1.83, 1.25]	[−2.27, 1.25]
		Window impact	12	369	−0.90*	−0.63*	−0.35	0.13	0.06	−0.09
					[−1.42, −0.37]	[−1.01, −0.04]	[−0.74, 0.21]	[−0.11, 0.36]	[−0.41, 0.52]	[−0.73, 0.54]
	nominal	Proxy VAR	12	369	0.72	0.51	0.32	−0.67	−1.02	−1.17
					unbounded	unbounded	unbounded	unbounded	unbounded	unbounded
		Window impact	12	369	−0.14	−0.09	−0.01	−0.13	−0.36	−0.57
					[−0.64, 0.38]	[−0.60, 0.43]	[−0.51, 0.48]	[−0.38, 0.12]	[−0.86, 0.15]	[−1.29, 0.16]
Real	none	Proxy VAR	12	369	−0.72*	−0.48*	−0.22	−0.12	−0.29	−0.46
					[−1.29, −0.35]	[−0.99, −0.07]	[−0.62, 0.15]	[−0.97, 0.71]	[−1.50, 0.85]	[−1.85, 0.80]
		Window impact	12	369	−0.65*	−0.46	−0.23	−0.04	−0.16	−0.29
					[−1.12, −0.15]	[−0.94, 0.02]	[−0.66, 0.23]	[−0.30, 0.20]	[−0.66, 0.31]	[−0.97, 0.35]
	real	Proxy VAR	12	369	0.72	0.49	0.30	−0.72	−1.05	−1.12
					[−0.21, 24.27]	[−0.33, 19.69]	[−0.25, 12.47]	[−11.42, 0.16]	[−16.08, 0.22]	[−16.57, 0.33]
		Window impact	12	369	−0.02	−0.04	0.00	−0.26	−0.49	−0.63
					[−0.61, 0.48]	[−0.54, 0.47]	[−0.49, 0.44]	[−0.57, 0.01]	[−1.00, 0.02]	[−1.30, 0.08]
r*-gap	none	Proxy VAR	12	369	−0.33	−0.10	0.06	−0.29	−0.57	−0.79
					[−0.98, 0.02]	[−0.64, 0.24]	[−0.30, 0.32]	[−0.97, 0.48]	[−1.51, 0.47]	[−1.83, 0.31]
		Window impact	12	369	−0.19	−0.03	0.09	−0.27*	−0.51*	−0.69*
					[−0.75, 0.23]	[−0.52, 0.37]	[−0.28, 0.44]	[−0.53, 0.00]	[−0.96, −0.02]	[−1.25, −0.05]
	r*-gap	Proxy VAR	12	369	0.95*	0.73	0.47	−0.84*	−1.24*	−1.35*
					[0.01, 5.87]	[−0.04, 4.55]	[−0.05, 2.89]	[−3.17, −0.15]	[−4.39, −0.24]	[−4.51, −0.24]
		Window impact	12	369	0.33	0.31	0.25	−0.45*	−0.77*	−0.94*
					[−0.25, 0.82]	[−0.25, 0.76]	[−0.23, 0.60]	[−0.71, −0.16]	[−1.26, −0.20]	[−1.54, −0.18]

Notes: Monthly VAR in the unemployment gap, core PCE inflation, the end-of-month 2-year yield and, when included, the end-of-month FCI (same version), 1996 to September 2026, no trend, nothing dropped. Proxy VAR: Nakamura–Steinsson surprise as instrument; sets are exact 90% Anderson–Rubin sets, "unbounded" when the instrument cannot reject large effects. Window impact: impact vector taken from the daily model (the end-of-month response to a window surprise); 90% bootstrap intervals. Unit in both: +1 pp on the 2-year yield (the end-of-month response to a +1 pp window surprise is 0.92 to 1.01, so the two units are the same up to 8%). * = 90% interval excludes zero.

Table G33: Monthly VAR Benchmark (3, 6 and 12 Lags)

					Unemployment gap (pp)			Price level (%)		
2-year	FCI	Identification	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Nominal	none	Proxy VAR	3	369	−0.53	−0.43*	−0.35*	0.00	−0.03	−0.06
					[−0.90, 0.06]	[−0.64, −0.10]	[−0.49, −0.13]	[−1.08, 0.77]	[−1.14, 0.76]	[−1.16, 0.72]
			6	369	−0.46	−0.36	−0.26	−0.05	−0.15	−0.27
					[−0.93, 0.36]	[−0.76, 0.34]	[−0.57, 0.27]	[−1.54, 0.85]	[−2.09, 1.02]	[−2.34, 0.98]
			12	369	−0.91*	−0.61*	−0.32	0.03	−0.08	−0.26
					[−1.37, −0.42]	[−1.08, −0.05]	[−0.71, 0.17]	[−1.20, 0.97]	[−1.83, 1.25]	[−2.27, 1.25]
		Window impact	3	369	−0.61*	−0.46	−0.36	0.14	0.12	0.09
					[−0.89, −0.13]	[−0.66, 0.05]	[−0.55, 0.09]	[−0.12, 0.29]	[−0.34, 0.34]	[−0.48, 0.38]
			6	369	−0.54*	−0.42	−0.30	0.09	0.03	−0.07
					[−0.86, −0.16]	[−0.67, 0.05]	[−0.53, 0.11]	[−0.15, 0.27]	[−0.41, 0.31]	[−0.65, 0.31]
			12	369	−0.90*	−0.63*	−0.35	0.13	0.06	−0.09
					[−1.42, −0.37]	[−1.01, −0.04]	[−0.74, 0.21]	[−0.11, 0.36]	[−0.41, 0.52]	[−0.73, 0.54]
	nominal	Proxy VAR	3	369	0.35	0.13	0.02	−0.29	−0.42	−0.48
					[−0.34, 173.16]	[−0.40, 100.92]	[−0.38, 62.73]	[−73.88, 0.60]	[−87.91, 0.46]	[−90.42, 0.40]
			6	369	0.63	0.37	0.17	−0.49	−0.78	−0.95
					unbounded	unbounded	unbounded	unbounded	unbounded	unbounded
			12	369	0.72	0.51	0.32	−0.67	−1.02	−1.17
					unbounded	unbounded	unbounded	unbounded	unbounded	unbounded
		Window impact	3	369	−0.06	0.02	0.00	−0.06	−0.22	−0.32
					[−0.41, 0.31]	[−0.30, 0.44]	[−0.31, 0.42]	[−0.32, 0.15]	[−0.63, 0.14]	[−0.80, 0.16]
			6	369	0.02	0.08	0.05	−0.12	−0.34*	−0.52*
					[−0.33, 0.39]	[−0.28, 0.42]	[−0.32, 0.35]	[−0.36, 0.04]	[−0.78, −0.03]	[−1.09, −0.06]
			12	369	−0.14	−0.09	−0.01	−0.13	−0.36	−0.57
					[−0.64, 0.38]	[−0.60, 0.43]	[−0.51, 0.48]	[−0.38, 0.12]	[−0.86, 0.15]	[−1.29, 0.16]
Real	none	Proxy VAR	3	369	−0.45*	−0.41*	−0.35*	−0.04	−0.06	−0.08
					[−0.88, −0.13]	[−0.65, −0.22]	[−0.52, −0.22]	[−0.68, 0.62]	[−0.72, 0.62]	[−0.73, 0.59]
			6	369	−0.48*	−0.38	−0.26	−0.06	−0.17	−0.31
					[−1.04, −0.05]	[−0.84, 0.03]	[−0.60, 0.06]	[−0.91, 0.76]	[−1.29, 0.89]	[−1.51, 0.82]
			12	369	−0.72*	−0.48*	−0.22	−0.12	−0.29	−0.46
					[−1.29, −0.35]	[−0.99, −0.07]	[−0.62, 0.15]	[−0.97, 0.71]	[−1.50, 0.85]	[−1.85, 0.80]
		Window impact	3	369	−0.38*	−0.37*	−0.32	−0.04	−0.06	−0.07
					[−0.67, −0.05]	[−0.61, −0.01]	[−0.56, 0.01]	[−0.26, 0.14]	[−0.45, 0.23]	[−0.60, 0.29]
			6	369	−0.41	−0.34	−0.24	−0.03	−0.13	−0.26
					[−0.73, 0.01]	[−0.64, 0.14]	[−0.47, 0.19]	[−0.32, 0.17]	[−0.67, 0.19]	[−0.98, 0.17]
			12	369	−0.65*	−0.46	−0.23	−0.04	−0.16	−0.29
					[−1.12, −0.15]	[−0.94, 0.02]	[−0.66, 0.23]	[−0.30, 0.20]	[−0.66, 0.31]	[−0.97, 0.35]
	real	Proxy VAR	3	369	0.26	0.01	−0.09	−0.23	−0.30	−0.32
					[−0.27, 2.00]	[−0.40, 1.23]	[−0.38, 0.77]	[−1.28, 0.48]	[−1.48, 0.40]	[−1.54, 0.37]
			6	369	0.49	0.26	0.07	−0.46	−0.72	−0.85
					[−0.22, 4.80]	[−0.35, 3.58]	[−0.34, 2.24]	[−3.03, 0.44]	[−4.25, 0.40]	[−4.56, 0.31]
			12	369	0.72	0.49	0.30	−0.72	−1.05	−1.12
					[−0.21, 24.27]	[−0.33, 19.69]	[−0.25, 12.47]	[−11.42, 0.16]	[−16.08, 0.22]	[−16.57, 0.33]
		Window impact	3	369	0.04	−0.04	−0.10	−0.18	−0.28	−0.32
					[−0.29, 0.38]	[−0.35, 0.36]	[−0.36, 0.28]	[−0.41, 0.04]	[−0.64, 0.10]	[−0.76, 0.16]
			6	369	0.06	0.04	−0.03	−0.23*	−0.45*	−0.60*
					[−0.37, 0.43]	[−0.36, 0.46]	[−0.37, 0.37]	[−0.55, −0.02]	[−0.97, −0.07]	[−1.22, −0.07]
			12	369	−0.02	−0.04	0.00	−0.26	−0.49	−0.63
					[−0.61, 0.48]	[−0.54, 0.47]	[−0.49, 0.44]	[−0.57, 0.01]	[−1.00, 0.02]	[−1.30, 0.08]
r*-gap	none	Proxy VAR	3	369	−0.27	−0.22*	−0.17*	−0.10	−0.13	−0.15
					[−0.80, 0.06]	[−0.51, −0.03]	[−0.34, −0.06]	[−0.71, 0.59]	[−0.75, 0.57]	[−0.77, 0.55]

					Unemployment gap (pp)			Price level (%)		
2-year	FCI	Identification	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
			6	369	−0.21	−0.11	−0.03	−0.18	−0.38	−0.56
					[−0.86, 0.18]	[−0.61, 0.22]	[−0.36, 0.21]	[−0.88, 0.67]	[−1.28, 0.68]	[−1.49, 0.54]
			12	369	−0.33	−0.10	0.06	−0.29	−0.57	−0.79
					[−0.98, 0.02]	[−0.64, 0.24]	[−0.30, 0.32]	[−0.97, 0.48]	[−1.51, 0.47]	[−1.83, 0.31]
		Window impact	3	369	−0.16	−0.17	−0.14	−0.13	−0.15	−0.17
					[−0.56, 0.23]	[−0.52, 0.25]	[−0.46, 0.21]	[−0.37, 0.09]	[−0.58, 0.20]	[−0.71, 0.28]
			6	369	−0.06	−0.02	0.03	−0.24*	−0.45*	−0.61*
					[−0.62, 0.33]	[−0.48, 0.41]	[−0.34, 0.38]	[−0.56, 0.00]	[−1.05, −0.02]	[−1.28, 0.00]
			12	369	−0.19	−0.03	0.09	−0.27*	−0.51*	−0.69*
					[−0.75, 0.23]	[−0.52, 0.37]	[−0.28, 0.44]	[−0.53, 0.00]	[−0.96, −0.02]	[−1.25, −0.05]
	r*-gap	Proxy VAR	3	369	0.33	0.13	−0.01	−0.19	−0.24	−0.25
					[−0.15, 1.34]	[−0.26, 0.93]	[−0.30, 0.59]	[−0.89, 0.48]	[−0.95, 0.43]	[−0.98, 0.40]
			6	369	0.67	0.41	0.16	−0.59	−0.87	−1.00*
					[0.00, 2.51]	[−0.12, 1.84]	[−0.20, 1.11]	[−1.80, 0.12]	[−2.40, 0.02]	[−2.53, −0.09]
			12	369	0.95*	0.73	0.47	−0.84*	−1.24*	−1.35*
					[0.01, 5.87]	[−0.04, 4.55]	[−0.05, 2.89]	[−3.17, −0.15]	[−4.39, −0.24]	[−4.51, −0.24]
		Window impact	3	369	0.19	0.06	−0.05	−0.19	−0.24	−0.26
					[−0.26, 0.56]	[−0.39, 0.47]	[−0.46, 0.36]	[−0.43, 0.05]	[−0.65, 0.16]	[−0.79, 0.27]
			6	369	0.36	0.22	0.04	−0.41*	−0.67*	−0.81*
					[−0.14, 0.81]	[−0.35, 0.60]	[−0.42, 0.27]	[−0.72, −0.15]	[−1.20, −0.14]	[−1.45, −0.12]
			12	369	0.33	0.31	0.25	−0.45*	−0.77*	−0.94*
					[−0.25, 0.82]	[−0.25, 0.76]	[−0.23, 0.60]	[−0.71, −0.16]	[−1.26, −0.20]	[−1.54, −0.18]

Notes: Monthly VAR in the unemployment gap, core PCE inflation, the end-of-month 2-year yield and, when included, the end-of-month FCI (same version), 1996 to September 2026, no trend, nothing dropped. Proxy VAR: Nakamura–Steinsson surprise as instrument; sets are exact 90% Anderson–Rubin sets, "unbounded" when the instrument cannot reject large effects. Window impact: impact vector taken from the daily model (the end-of-month response to a window surprise); 90% bootstrap intervals. Unit in both: +1 pp on the 2-year yield (the end-of-month response to a +1 pp window surprise is 0.92 to 1.01, so the two units are the same up to 8%). * = 90% interval excludes zero.

Appendix H Construction and Estimation Details

Events. I use the 252 FOMC announcements from January 1996 to July 2026 with all the window measures available in the U.S. Monetary Policy Event-Study Database (Acosta et al., 2025). As in the companion paper, I leave out unscheduled announcements with no change in the policy rate, and March–April 2020. The announcements of September and October 2026 are left out because too few later days are available. The DXY index used in the window covers fewer currencies than the broad dollar used in the daily and monthly index, which I treat as a measurement difference.

From monthly to daily. Expected inflation and r^* are not available daily, and they move slowly. I take the monthly gap between R_t^v in equation (9) and y_t^2, interpolate it linearly between the middles of adjacent months, and add it to the daily yield. The daily index is

$$F_\tau^v = w_B\, y_\tau^{10} + w_Q\, 100 \ln \mathrm{CAPE}_\tau + w_D\, 100 \ln \mathrm{DOL}_\tau + o_\tau^v, \tag{19}$$

Table H34: Measures of Stocks and the Dollar at Each Frequency

Frequency	Stocks	Dollar
Window	S&P 500	DXY index
Daily	CAPE	Nominal broad dollar, plus offset
Monthly	CAPE, or earnings-yield gap to r^*	Real broad dollar

where DOL_τ is the daily nominal broad dollar. The offset o^v_τ is the monthly difference between the index in equation (4) and the average of the first three terms, interpolated in the same way. It also absorbs the difference between the real and the nominal dollar. The monthly averages of the daily series are very close to the monthly measures: the root-mean-square difference is at most 0.02 unit for the FCI and 0.04 percentage point for the two-year yield. The offsets change little from day to day, so day-to-day moves in the index come from market prices. Table H34 shows the measures used at each frequency. The daily calendar has every weekday; missing values, such as on holidays, are filled from the previous observation for up to three days. Each daily equation has 13 coefficients with the FCI; each monthly equation has $1 + 4L$ with the FCI and $1 + 3L$ without it.

Tracing the effect of a surprise. The response is computed recursively, as a deviation from a path with no surprise. Let the announcement occur on weekday d_0 of the announcement month, and let $h = 0, 1, \ldots, 36$ count months from then. Tildes denote responses.

1. In each month, unemployment and inflation come first: $\tilde{m}_0 = 0$, and for $h \geq 1$,

$$\tilde{m}_h = \sum_{l=1}^{L} A_l \, \tilde{m}_{h-l} + \sum_{l=1}^{L} G_l \, \tilde{x}^M_{h-l}, \tag{20}$$

   with terms dated before the announcement month equal to zero, and $\tilde{x}^M_h$ the response of the monthly average of x.

2. The days of the month follow. Before day d_0, $\tilde{x}_\tau = 0$. On day d_0, $\tilde{x}_\tau = b$ from equation (11). On every later day, with $\tilde{x}^{(k)}_{\tau-1}$ the average of the responses over the k days through $\tau - 1$,

$$\tilde{x}_\tau = \sum_{k \in \{1,5,22,66\}} \Phi_k \, \tilde{x}^{(k)}_{\tau-1} + \Gamma_0 \, \tilde{m}_{h(\tau)} + \Gamma_1 \, \tilde{m}_{h(\tau)-1}, \tag{21}$$

   where $h(\tau)$ is the month of day τ, counted from the announcement month.

3. The monthly average $\tilde{x}^M_h$ then enters equation (20) for later months.

Months after the announcement month have 21 weekdays. To avoid computing a path for every date, I form six groups of announcement dates by the weekday of the month, in blocks of four days, and compute the path at each group's average day and month length. With ω_g the share of announcements in group g, the reported response is $\sum_g \omega_g \, \tilde{m}^{(g)}_h$. Because the model is linear, these responses do not depend on the constant or the trend.

Three-component specification. Each component's equation in the daily block contains its own 1-, 5-, 22- and 66-day averages and those of the two-year yield, plus the monthly macro variables, and the two-year yield's equation its own averages and the macro variables. That is 48 coefficients in all, against 26 in the baseline daily block with the FCI. The three window impacts add up to the impact of the FCI.

Ordinary movement of the FCI. The ordinary loading is the covariance of the FCI and yield innovations divided by the variance of the yield innovation, in FCI units per percentage point on the yield, so it is comparable with the window loading b_F. For path B of Section 3.3 I take the innovations from the daily block, the nearest ordinary observations to the announcement window: the residuals of equation (12) on days without an announcement (conditioning on the 1-, 5-, 22- and 66-day averages of the yield and the FCI and on the monthly unemployment gap and inflation of this month and last). The 90 percent interval re-estimates the daily block and the loading on the days of each block-bootstrap draw. The earlier estimate in monthly data is the same ratio from the residuals of a monthly VAR in unemployment, inflation, the end-of-month two-year yield and the end-of-month FCI of the same version, with 12 lags, over 1996 to 2026. Neither measures an announcement. Daily innovations are close-to-close changes that include all of the day's news; monthly innovations add the dynamics within the month. Because the model is linear, the response to any initial FCI movement ϕ is the response to the yield alone plus ϕ times the response to the FCI, so path B can be recomputed for any loading: with the monthly loading (0.51) the A − B contrast after 24 months is 0.31 for unemployment and −0.22 for the price level, and with no FCI movement at all (a loading of zero) 0.65 and −0.46.

Simulation. The process is the estimated baseline model (relative to r^*, with the FCI; 12 lags), on the data's calendar of weekdays from January 1996 to September 2026 (369 months) and the actual announcement days. Within each month the macro variables are set first and the days of the month follow. Daily innovations are drawn with replacement from the model's daily residuals, separately for announcement days and other days; on announcement days the policy impact $b\,s_a$ is first removed from the residual and then added back with a drawn surprise. Monthly innovations are drawn jointly from the monthly residuals. Surprises are drawn with replacement from the 252 observed surprises. The twelve months before the sample and the 70 days before it are the actual 1995 data. On each sample I estimate the proxy VAR with and without the FCI, with the instrument and instrument months as in the data, and the window-impact VAR, taking the impact on the yield and the FCI from the model.

Bootstrap. The draws are those of Appendix C: 500 block-bootstrap draws, from each of which I compute the response and report percentile intervals. The sets for the Phillips multiplier in Table 6 use the same draws.

Table I35: Data Sources

Series	Frequency	Source
Unemployment rate	Monthly	FRED UNRATE
Natural rate of unemployment	Quarterly	CBO, FRED NROU
Core PCE price index	Monthly	FRED PCEPILFE
Two-year Treasury yield	Daily	FRED DGS2; before June 1976, the Gürkaynak–Sack–Wright zero-coupon yield (Gürkaynak, Sack and Wright, 2007) (Federal Reserve Board)
10-year Treasury yield	Daily, monthly	FRED DGS10, GS10
Expected inflation, 1, 2 and 10 years	Monthly	Cleveland Fed, FRED EXPINF1YR, EXPINF2YR, EXPINF10YR; before 1982, Livingston Survey (Philadelphia Fed)
r^*, Laubach–Williams	Quarterly	New York Fed, one-sided estimates (data through 2026Q2)
r^*, Kiley	Quarterly	One-sided estimates of the author
CAPE	Monthly	Shiller, spliced over 1990–92 to the monthly average of daily CAPE
Daily CAPE	Daily	S&P 500 (FRED SP500) over Shiller's 10-year earnings, constructed by the daily workflow of the repository
Real broad dollar	Monthly	FRED RTWEXBGS, spliced to TWEXBPA in 2006
Nominal broad dollar	Daily	FRED DTWEXBGS; earlier DTWEXB, TWEXBMTH
Excess bond premium	Monthly	Gilchrist and Zakrajšek (2012), Federal Reserve Board
Federal funds rate; commodity prices	Daily; monthly	FRED DFF; FRED PPIACO (producer price index, all commodities)
Futures, yields, S&P 500 and DXY in the window	Event	U.S. Monetary Policy Event-Study Database, "monetary events" (Acosta et al., 2025)
Orthogonalized surprise	Event	Bauer and Swanson (2023*b*), posted data (announcements through 2019)

Appendix I Data Sources

Table I35 lists the data. Series from FRED are identified by their mnemonics. Quarterly series are placed in the middle month of the quarter and interpolated linearly.